

In the opinion of Nixon Peabody LLP, Bond Counsel, under existing law and assuming compliance with the tax covenants described herein, and the accuracy of certain representations and certifications made by the District described herein, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended (the “Code”). Bond Counsel is also of the opinion that such interest is not treated as a preference item in calculating the alternative minimum tax imposed under the Code with respect to individuals and corporations. Bond Counsel is further of the opinion that interest on the Bonds is exempt from personal income taxes of the State of California (the “State”) under present State law. See “TAX MATTERS” herein regarding certain other tax considerations.

\$22,000,000
BAKERSFIELD CITY SCHOOL DISTRICT
(Kern County, California)
GENERAL OBLIGATION BONDS, ELECTION OF 2016, 2017 SERIES A

Dated: Date of Delivery**Due: November 1, as shown on inside cover.**

The above-captioned bonds (the “Bonds”) offered hereunder by Bakersfield City School District (the “District”) are issued for the purposes of (i) acquiring, constructing, furnishing and equipping certain District facilities, and (ii) paying the related costs of issuance of the Bonds, as more fully described under the caption “PLAN OF FINANCE” herein.

The Bonds were authorized at a bond election conducted in the District on November 8, 2016 (the “2016 Election”) at which more than 55% of the voters within the District voting on the measure voted to approve the issuance by the District of \$110,000,000 aggregate principal amount of its general obligation bonds (the “2016 Authorization”). The Bonds are the first series of bonds issued pursuant to the 2016 Authorization and, following the issuance thereof, \$88,000,000 of authorization under the 2016 Election will remain. The Bonds are issued on a parity with all other general obligation bonds of the District, including general obligation bonds issued pursuant to previous authorizations.

The Bonds are dated their date of delivery. The Bonds will mature on the dates and in the amounts and bear interest at the rates shown on the inside cover hereof, will be issued in denominations of \$5,000 principal amount or integral multiples thereof, and are payable as to principal amount or redemption price at the office of Zions Bank, a division of ZB, National Association, as Paying Agent for the Bonds (the “Paying Agent”). Interest on the Bonds is payable on May 1 and November 1 of each year, commencing on November 1, 2017. See “THE BONDS” herein.

The Bonds are issued in fully registered form and, when delivered, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”). DTC will act as securities depository of the Bonds as described herein under the caption “THE BONDS – Book-Entry Only System” and in APPENDIX E – “THE BOOK-ENTRY-ONLY SYSTEM.”

The Bonds are subject to redemption prior to maturity as described herein. See “THE BONDS – Optional Redemption” and “– Mandatory Sinking Fund Redemption” herein.

The Bonds are general obligations of the District only and are not obligations of the County of Kern, the State of California or any of its other political subdivisions. The Board of Supervisors of the County of Kern has the power and is obligated to levy and collect *ad valorem* property taxes for each fiscal year upon the taxable property of the District in an amount at least sufficient, together with other moneys available for such purpose, to pay the principal of, premium, if any, and interest on each Bond as the same becomes due and payable.

MATURITY SCHEDULE
On Inside Cover

The scheduled payment of principal of and interest on the Bonds maturing on November 1 of the years 2029 through 2036, inclusive, with CUSIP numbers 057507KS3, 057507KT1, 057507KU8, 057507KV6, 057507KW4, 057507KX2, 057507KY0, 057507KZ7 (collectively, the “Insured Bonds”), when due will be guaranteed under a municipal bond insurance policy to be issued concurrently with the delivery of the Insured Bonds by **BUILD AMERICA MUTUAL ASSURANCE COMPANY**.



THIS COVER PAGE CONTAINS CERTAIN INFORMATION FOR QUICK REFERENCE ONLY. IT IS NOT A SUMMARY OF THIS ISSUE. INVESTORS MUST READ THE ENTIRE OFFICIAL STATEMENT TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION.

Pursuant to the terms of a public sale on March 15, 2017, the Bonds were awarded to J.P. Morgan Securities LLC (the “Original Purchaser”) at a true interest cost of 3.745218%. The Bonds will be offered when, as and if issued and received by the Original Purchaser subject to the approval of legality by Nixon Peabody LLP, Bond Counsel, and certain other conditions. Nixon Peabody LLP is acting as Disclosure Counsel for the issue. It is anticipated that the Bonds will be available for delivery in definitive form through the facilities of DTC on or about March 29, 2017.

Dated: March 15, 2017

MATURITY SCHEDULE

\$22,000,000
BAKERSFIELD CITY SCHOOL DISTRICT
(Kern County, California)
General Obligation Bonds, Election of 2016, 2017 Series A
Base CUSIP: 057507[‡]

Maturity (November 1)	Principal Amount	Interest Rate	Yield	CUSIP[‡] Suffix
2018	\$2,245,000	5.500%	0.980%	KF1
2019	2,095,000	5.500	1.200	KG9
2020	540,000	5.500	1.440	KH7
2021	625,000	5.500	1.610	KJ3
2022	715,000	5.500	1.830	KK0
2023	335,000	5.500	2.050	KL8
2024	390,000	5.500	2.240	KM6
2025	455,000	5.500	2.390	KN4
2026	525,000	5.500	2.500	KP9
2027	315,000	4.000	2.630 [*]	KQ7
2028	365,000	4.000	2.820 [*]	KR5
2029 [†]	415,000	3.000	3.050	KS3
2030 [†]	275,000	3.000	3.110	KT1
2031 [†]	315,000	3.000	3.230	KU8
2032 [†]	360,000	3.125	3.360	KV6
2033 [†]	410,000	3.250	3.480	KW4
2034 [†]	460,000	3.375	3.540	KX2
2035 [†]	515,000	3.500	3.640	KY0
2036 [†]	570,000	3.500	3.680	KZ7

\$4,940,000, 4.000% Term Bonds Maturing November 1, 2042, Yield: 4.000%; CUSIP No.[‡] 057507LA1

\$5,135,000, 4.000% Term Bonds Maturing November 1, 2046, Yield: 4.050%; CUSIP No.[‡] 057507LB9

^{*} Yield to par call on November 1, 2026.

[†] Insured by BAM.

[‡] CUSIP® is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services, managed by Standard & Poor's Financial Services LLC on behalf of The American Bankers Association. This information is not intended to create a database and does not serve in any way as a substitute for the CUSIP Services Bureau. CUSIP numbers have been assigned by an independent company not affiliated with the District or the Original Purchaser and are included solely for the convenience of the registered owners of the applicable Bonds. Neither the District nor the Original Purchaser is responsible for the selection or uses of these CUSIP numbers, and no representation is made as to their correctness on the applicable Bonds or as included herein. The CUSIP number for a specific maturity is subject to being changed after the issuance of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

This Official Statement does not constitute an offer to sell, the solicitation of an offer to buy, nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale. No dealer, broker, salesperson or other person has been authorized by the District to provide any information or to make any representations other than as contained herein and, if given or made, such other information or representation must not be relied upon as having been authorized by the District.

This Official Statement is not to be construed as a contract with the purchasers of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly described herein, are intended solely as such and are not to be construed as a representation of facts.

The information set forth herein, other than that provided by the District, has been obtained from sources which are believed to be reliable, but is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District.

The information and expressions of opinion herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. Although certain information set forth in this Official Statement has been provided by the County of Kern (the "County"), the County has not approved this Official Statement and is not responsible for the accuracy or completeness of the statements contained in this Official Statement.

IN CONNECTION WITH THIS OFFERING, THE ORIGINAL PURCHASER MAY OVER-ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED MAY BE DISCONTINUED AT ANY TIME. THE ORIGINAL PURCHASER MAY OFFER AND SELL THE BONDS TO CERTAIN DEALERS, INSTITUTIONAL INVESTORS, BANKS OR OTHERS AT PRICES LOWER OR HIGHER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE ORIGINAL PURCHASER.

Build America Mutual Assurance Company ("BAM") makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "Bond Insurance" and "Appendix F - Specimen Municipal Bond Insurance Policy".

This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

Statements included or incorporated by reference in the following information constitute "forward looking statements." Such statements are generally identifiable by the terminology used such as "plan," "project," "expect," "estimate," "budget" or other similar words. The achievement of results or other expectations contained in forward looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements to be materially different from any future results, performance or achievements expressed or implied by such forward looking statements. Actual results may differ from the District's forecasts. The District is not obligated to issue any updates or revisions to the forward looking statements in any event.

For purposes of compliance with Rule 15c2-12 of the United States Securities and Exchange Commission, as amended, and in effect on the date hereof, this Preliminary Official Statement constitutes

an official statement of the District that has been deemed final by the District as of its date except for the omission of no more than the information permitted by Rule 15c2-12.

The District maintains a website. However, the information presented on that website is not part of this Official Statement and should not be relied upon in making investment decisions with respect to the Bonds. The references to internet websites in this Official Statement are shown for reference and convenience only; unless explicitly stated to the contrary, the information contained within the websites is not incorporated herein by reference and does not constitute part of this Official Statement.

BAKERSFIELD CITY SCHOOL DISTRICT
Kern County, State of California

Board of Education

Lillian Tafoya, President
Dr. Raymond J. Gonzales, President Pro Tem
Pam Baugher, Clerk
Dr. Fred L. Haynes, Clerk Pro Tem
Russ Shuppert, Member

District Administrators

Doc Ervin, Superintendent
Steve McClain, Assistant Superintendent, Business Services
Sherry Gladin, Director of Fiscal Services

SPECIAL SERVICES

Bond Counsel and Disclosure Counsel

Nixon Peabody LLP
San Francisco, California

Financial Advisor

Fieldman, Rolapp & Associates
Irvine, California

Paying Agent

Zions Bank, a division of ZB, National Association
Los Angeles, California

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\$22,000,000
BAKERSFIELD CITY SCHOOL DISTRICT
(Kern County, California)
General Obligation Bonds, Election of 2016, 2017 Series A

INTRODUCTION

General

The Bakersfield City School District (the “District”), a school district of the State of California (the “State”) proposes to issue \$22,000,000 aggregate principal amount of its General Obligation Bonds, Election of 2016, 2017 Series A (the “Bonds”), pursuant to the provisions of (i) Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State of California, as amended, (ii) applicable provisions of the Education Code of the State of California, as amended, (iii) Article XIII A of the California Constitution (collectively, the “Act”), and (iv) pursuant to a resolution adopted by the Board of Education of the District on March 2, 2017 (the “Resolution”) and bond authorization for the issuance and sale of not more than \$110,000,000 of general obligation bonds (the “2016 Authorization”) approved by more than 55% of the voters of the District voting at an election held on November 8, 2016 (the “2016 Election”).

The Bonds are the first issue under the 2016 Authorization, after which \$88,000,000 will remain for issuance of subsequent series of the District’s general obligation bonds under the 2016 Authorization. All general obligation bonds issued by or on behalf of the District are or will be issued on a parity with the Bonds. See the caption “– Proposition 39” under the heading “CONSTITUTIONAL AND STATUTORY LIMITATIONS ON TAXES AND APPROPRIATIONS” herein.

THE BONDS ARE GENERAL OBLIGATION BONDS OF THE DISTRICT, SECURED BY AND PAYABLE FROM AD VALOREM PROPERTY TAXES ASSESSED ON TAXABLE PROPERTIES WITHIN THE DISTRICT, WITHOUT LIMITATION AS TO RATE OR AMOUNT. THE BONDS ARE NOT AN OBLIGATION OF THE GENERAL FUND OF THE DISTRICT OR OF THE COUNTY OF KERN (THE “COUNTY”). SEE “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS” HEREIN.

Proceeds from the sale of the Bonds will be applied to (i) the acquisition, construction, furnishing and equipping of certain District facilities included on the project list approved by the voters at the 2016 Election (the “Projects”), and (ii) the payment of costs of issuance of the Bonds. See “PLAN OF FINANCE.”

The District

The District was established in 1882 and is located in the southern San Joaquin Valley in the County of Kern (the “County”). The District encompasses approximately 158 square miles and serves approximately 30,372 students. The District currently operates 33 elementary schools and 9 middle and junior high schools. See APPENDIX A – “THE DISTRICT.”

The District has certain existing lease financing obligations and other general obligation bonds as set forth in APPENDIX A and under the caption “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS” and direct and overlapping bonded indebtedness as set forth under “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS – Direct and Overlapping Debt.” The District’s audited financial statements for fiscal year 2015-16 are attached hereto as APPENDIX C. For further information concerning the District, see APPENDIX A – “THE DISTRICT.”

Description of the Bonds

Form and Registration. The Bonds will be issued in fully registered form only, and will be initially registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”), who will act as securities depository for the Bonds. See “THE BONDS – Book-Entry-Only System” herein and APPENDIX E – “BOOK-ENTRY-ONLY SYSTEM” hereto. Purchasers of the Bonds (the “Beneficial Owners”) will not receive physical certificates representing their interests in the Bonds purchased. In the event that the book-entry-only system described herein is no longer used with respect to the Bonds, the Bonds will be registered in accordance with the Resolution.

So long as Cede & Co. is the registered owner of the Bonds, as nominee of DTC, references herein to the “Owners,” “Bondowners,” or “Holders” of the Bonds (other than under the caption “TAX MATTERS” will mean Cede & Co. and will not mean the Beneficial Owners of the Bonds.

Denominations. Individual purchases of interests in the Bonds will be available to purchasers of the Bonds in the denominations of \$5,000 principal amount, or any integral multiple thereof.

Redemption. The Bonds are subject to redemption prior to their stated maturity as further described herein. See “THE BONDS – Optional Redemption” and “– Mandatory Sinking Fund Redemption”

Payments. The Bonds will be dated as of their initial date of delivery (the “Date of Delivery”), and interest on the Bonds will accrue from the Date of Delivery, and is payable semiannually on each May 1 and November 1 of each year (each, an “Interest Payment Date”), commencing November 1, 2017. Principal of the Bonds is payable on November 1 of each year, as shown on the inside cover page hereof. Payments of the principal of and interest on the Bonds will be made by Zions Bank, a division of ZB, National Association, Paying Agent for the Bonds (the “Paying Agent”) to DTC for subsequent distribution through DTC Participants (as defined herein) to the Beneficial Owners of the Bonds.

Bond Owner’s Risks

The Bonds are general obligations of the District, payable from *ad valorem* property taxes which may be levied upon all taxable property in the District, without limitation as to rate or amount (except with respect to certain personal property which is taxable at limited rates). For more complete information regarding taxation of property within the District, see “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.”

Continuing Disclosure

Pursuant to that certain Continuing Disclosure Certificate relating to the Bonds, the District will covenant for the benefit of the Owners and Beneficial Owners of the Bonds to make available certain financial information and operating data relating to the District and to provide notices of the occurrence of certain listed events, in compliance with Rule 15c2-12 (the “Rule”) promulgated by the Securities and Exchange Commission. The specific nature of the information to be made available and of the notices of listed events is summarized under “LEGAL MATTERS – Continuing Disclosure” herein and in APPENDIX D – “FORM OF CONTINUING DISCLOSURE CERTIFICATE” attached hereto.

Professionals Involved in the Offering

Nixon Peabody LLP is acting as Bond Counsel and Disclosure Counsel to the District with respect to the Bonds. Nixon Peabody LLP will receive compensation from the District contingent upon

the sale and delivery of the Bonds. Fieldman, Rolapp & Associates, Irvine, California, is acting as Financial Advisor to the District with respect to the Bonds.

Forward-Looking Statements

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements” within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used such as “plan,” “intend,” “expect,” “estimate,” “project,” “budget,” or other similar words. Such forward-looking statements include, but are not limited to, certain statements contained in the information regarding the District herein.

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES, AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED FROM SUCH FORWARD-LOOKING STATEMENTS. THE DISTRICT DOES NOT PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THE FORWARD-LOOKING STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT.

THE BONDS

Authority for Issuance and Security for the Bonds

The Bonds are general obligations of the District. The Bonds are being issued by the District under the provisions of the Act and pursuant to the Resolution.

Purpose of Issue

The District submitted a project list to the voters at the 2016 Election (the “Project List”), specifying the Projects, respectively, from which a number of components will be financed with the proceeds of the Bonds. Details regarding the Project List and the proposed components to be financed are set forth under the caption “THE PLAN OF FINANCE” herein.

A portion of the net proceeds of sale of the Bonds, after payment of costs of issuance, shall be deposited into the applicable Debt Service Fund and Building Fund of the District and applied to pay capitalized interest on the Bonds and the costs of certain of the Projects pursuant to the Resolution. Any excess proceeds of the Bonds not needed for the authorized purposes for which the Bonds are being issued shall be transferred to the applicable Debt Service Fund and applied to the payment of the principal of and interest on the respective Series of Bonds. Moneys in each Debt Service Fund are expected to be invested through the Kern County Treasury Pool. See “THE KERN COUNTY TREASURY POOL” herein.

Description of the Bonds

The Bonds will be dated their date of delivery and will be issued in authorized denominations of \$5,000 or any integral multiple thereof. The Bonds will be issued as current interest bonds with principal payable at the maturity dates of the respective Bonds or upon their earlier redemption. The Bonds are not subject to acceleration.

The Bonds will be issued in fully registered form and, when issued, will be registered in the name of Cede & Co., as registered owner and nominee of DTC. DTC will act as securities depository for the Bonds. So long as Cede & Co. is the registered owner of the Bonds, as nominee of DTC, references herein to the Owners (as defined herein) or registered owners shall mean Cede & Co. as aforesaid, and shall not mean the Beneficial Owners (as defined herein) of the Bonds.

So long as Cede & Co. is the registered owner of the Bonds, principal of and interest or premium, if any, on the Bonds are payable by wire transfer of New York Clearing House or equivalent next-day funds or by wire transfer of same day funds by the Paying Agent to Cede & Co., as nominee for DTC. DTC is obligated, in turn, to remit such amounts to the DTC Participants ("DTC Participants") for subsequent disbursement to the Beneficial Owners. Payments of principal and premium, if any, for any Bonds shall be made only upon the surrender of such Bonds to the Paying Agent. See APPENDIX E – "BOOK ENTRY ONLY SYSTEM" herein.

Payment of the Bonds

Interest on each Bond shall accrue from its dated date. Interest on the Bonds shall be computed using a year of 360 days comprised of twelve 30-day months and shall be payable on each Interest Payment Date, commencing November 1, 2017, to the registered owner (each, an "Owner") thereof as of the close of business on the fifteenth calendar day of the month preceding any Interest Payment Date (whether or not such day is a business day) (a "Record Date"). Interest on each Bond will be payable from the Interest Payment Date next preceding the date of registration thereof, unless (i) it is registered after the close of business on any Record Date and before the close of business on the immediately following Interest Payment Date, in which event interest thereon shall be payable from such following Interest Payment Date; or (ii) it is registered prior to the close of business on the first Record Date, in which event interest shall be payable from its dated date; provided, however, that if at the time of registration of any Bond interest thereon is in default, interest thereon shall be payable from the Interest Payment Date to which interest has previously been paid or made available for payment. Payments of interest on the Bonds will be made on each Interest Payment Date by check or draft of the Paying Agent sent by first-class mail, postage prepaid, to the Owner thereof on the Record Date, or by wire transfer to any Owner of \$1,000,000 aggregate principal amount or more of such Bonds, to the account specified by such Owner in a written request delivered to the Paying Agent on or prior to the Record Date for such Interest Payment Date; provided, however, that payments of defaulted interest shall be payable to the person in whose name such Bond is registered at the close of business on a special record date fixed therefor by the Paying Agent, which shall not be more than 15 days and not less than ten days prior to the date of the proposed payment of defaulted interest.

Redemption

Optional Redemption. The Bonds maturing on or before November 1, 2026 are not subject to optional redemption prior to their respective stated maturity dates. The Bonds maturing on or after November 1, 2027, may be redeemed before maturity, at the option of the District, from any source of available funds, in whole or in part on any date on or after November 1, 2026, at par, together with interest accrued thereon to the date of redemption, without premium. For purposes of such selection, the Bonds will be deemed to consist of \$5,000 portions by principal amount, and any such portion may be separately redeemed.

Mandatory Sinking Fund Redemption. The Bonds maturing on November 1, 2042, are subject to mandatory sinking fund redemption prior to their stated maturity in part (by lot) on any November 1 on or after November 1, 2037, at a redemption price equal to 100% of their principal amount, together with

accrued interest thereon to the date fixed for redemption, without premium, on the dates and in the aggregate principal amounts listed below:

Mandatory Sinking Fund Payment Date (November 1)	Mandatory Sinking Fund Payment
2037	\$635,000
2038	705,000
2039	775,000
2040	855,000
2041	940,000
2042 ⁽¹⁾	1,030,000

⁽¹⁾ Maturity.

The Bonds maturing on November 1, 2046, are subject to mandatory sinking fund redemption prior to their stated maturity in part (by lot) on any November 1 on or after November 1, 2043, at a redemption price equal to 100% of their principal amount, together with accrued interest thereon to the date fixed for redemption, without premium, on the dates and in the aggregate principal amounts listed below:

Mandatory Sinking Fund Payment Date (November 1)	Mandatory Sinking Fund Payment
2043	\$1,125,000
2044	1,225,000
2045	1,335,000
2046 ⁽¹⁾	1,450,000

⁽¹⁾ Maturity.

Selection of Bonds for Redemption

Whenever provision is made for the redemption of Bonds and less than all outstanding Bonds are to be redeemed, the Paying Agent, upon written instruction from the District, shall select Bonds for redemption in such order as the District may direct, or, in the absence of such direction, by lot. Within a maturity, the Paying Agent shall select Bonds for redemption in such order as the District may direct, or in the absence of such direction, by lot. Redemption by lot shall be in such manner as the Paying Agent shall determine; *provided, however*, that the portion of any Bond to be redeemed in part shall be in the principal amount of \$5,000 or any integral multiple thereof.

Notice of Redemption

When redemption is authorized or required pursuant to the Resolution, the Paying Agent, upon written instruction from the District, shall give notice (each, a "Redemption Notice") of the redemption of the Bonds. Such Redemption Notice shall specify: (a) the Bonds or designated portions thereof (in the case of any Bond to be redeemed in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made, including the name and address of the Paying Agent, (d) the redemption price, (e) the CUSIP numbers assigned to the Bonds to be redeemed, (f) the Bond numbers of the Bonds to be redeemed in whole or in part and, in the case of any Bond to be redeemed in part only, the principal amount of such Bond to be redeemed, and (g) the original

issue date, interest rate and stated maturity date of each Bond to be redeemed in whole or in part. Such Redemption Notice shall further state that on the specified date there shall become due and payable upon each Bond or portion thereof being redeemed the redemption price thereof, together with the interest accrued to the redemption date, and that from and after such date, interest on such Bonds shall cease to accrue and be payable.

The Paying Agent shall take the following actions with respect to each such Redemption Notice: (i) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice shall be given to the respective Owners of Bonds designated for redemption by first class mail, postage prepaid, at their addresses appearing on the Bond Register and to the Municipal Securities Rulemaking Board (or any other entity authorized by the Securities and Exchange Commission, the “MSRB”); (ii) in the event that the Bonds are no longer held in book-entry-only form, at least 35 but not more than 45 days before the redemption date, such Redemption Notice shall be given by (1) first-class mail, postage prepaid, (2) telephonically confirmed facsimile transmission or, (c) overnight delivery service, to each of the Securities Depositories and the MSRB.

“Securities Depositories” means DTC and, in accordance with then-current guidelines of the Securities and Exchange Commission, such other addresses and/or such other securities depositories as the District may designate in a certificate delivered to the Paying Agent.

Neither failure to receive any Redemption Notice nor any defect in any such Redemption Notice so given shall affect the sufficiency of the proceedings for the redemption of the affected Bonds. Each check issued or other transfer of funds made by the Paying Agent for the purpose of redeeming Bonds shall bear the CUSIP number identifying, by series and maturity, the Bonds being redeemed with the proceeds of such check or other transfer.

Conditional Notice of Redemption

Any Redemption Notice relating to an optional redemption may be made conditional upon the satisfaction of certain conditions and/or the receipt of sufficient moneys to pay the redemption price of the designated Bonds and may be rescinded by the District at any time prior to the scheduled date of redemption by so notifying the Owners of the affected Bonds and the Information Services.

Partial Redemption of Bonds

Upon the surrender of any Bond redeemed in part only, the Paying Agent shall execute and deliver to the Owner thereof a new Bond or Bonds of like series, tenor and maturity and of authorized denominations equal in principal amounts to the unredeemed portion of the Bond surrendered. Such partial redemption shall be valid upon payment of the amount required to be paid to such Owner, and the County and the District shall be released and discharged thereupon from all liability to the extent of such payment.

Effect of Notice of Redemption

Notice having been given as required in the Resolution, and the moneys for redemption (including the interest to the applicable date of redemption) having been set aside in the District’s Debt Service Fund or deposited with a duly appointed escrow agent, in trust, the Bonds to be redeemed shall become due and payable on such date of redemption.

If on such redemption date, money for the redemption of all the Bonds to be redeemed, together with interest to such redemption date, shall be held by the Paying Agent, or deposited with a duly

appointed escrow agent, in trust, so as to be available therefor on such redemption date, and if notice of redemption thereof shall have been given, then from and after such redemption date, interest on the Bonds to be redeemed shall cease to accrue and become payable.

Transfer and Exchange

Any Bond may be exchanged for Bonds of like tenor, maturity and principal amount upon presentation and surrender at the principal office of the Paying Agent, together with a request for exchange signed by the Owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. A Bond may be transferred on the Bond Register only upon presentation and surrender of such Bond at the principal office of the Paying Agent together with an assignment executed by the Owner or a person legally empowered to do so in a form satisfactory to the Paying Agent. Upon exchange or transfer, the Paying Agent shall complete, authenticate and deliver a new Bond or Bonds of like tenor and of any authorized denomination or denominations equal to the principal amount of the Bond surrendered and bearing interest at the same rate and maturing on the same date.

Defeasance

All or any portion of the outstanding maturities of the Bonds may be defeased prior to maturity in the following ways:

(a) by paying or causing to be paid the principal of and premium, if any, and interest on such Bonds, and when the same become due and payable;

(b) by depositing with the Paying Agent, or with a duly appointed escrow agent, in trust, at or before maturity, cash which together with amounts then on deposit in the Debt Service Fund together with the interest to accrue thereon without the need for further investment, is fully sufficient to pay such Bonds on the redemption date or at maturity thereof, including any premium and all interest thereon; or

(c) by depositing with an escrow agent selected by the District in accordance with the Resolution, in trust, lawful money or noncallable direct obligations issued by the United States Treasury (including State and Local Government Series) or obligations which are unconditionally guaranteed by the United States of America and permitted under Section 149(b) of the Code (defined below) and Regulations which, in the opinion of nationally recognized bond counsel, will not impair the exclusion from gross income for federal income tax purposes of interest on the Bonds, in such amount as will, together with the interest to accrue thereon without the need for further investment, be fully sufficient, in the opinion of a verification agent satisfactory to the District, to pay and discharge such Bonds at maturity or earlier redemption thereof, for which notice has been given or provided for, including any premium and all interest thereon.

Notwithstanding that any Bonds called for defeasance have not been surrendered for payment, all obligations of the District and the Paying Agent with respect to all such designated outstanding Bonds will cease and terminate. However, the obligation of the Paying Agent to pay or cause to be paid all sums thereon, and the obligation of the District to pay the Paying Agent certain amounts due under the Resolution, shall not terminate.

Book-Entry-Only System

The Bonds will be issued under a book-entry system, evidencing ownership of the Bonds in principal amounts, of \$5,000 or integral multiples thereof, with no physical distribution of Bonds made to the public. DTC will act as depository for the Bonds, which will be immobilized in their custody. The Bonds will be registered in the name of Cede & Co., as nominee for DTC. For further information regarding DTC and the book-entry system, see APPENDIX E hereto.

PLAN OF FINANCE

The District intends to apply the net proceeds of sale of the Bonds to finance various capital improvements included on the Project List and to pay the costs of issuance of the Bonds. The Board of Education retains the ability to set priorities among listed Projects, in order to meet the needs of the District and its students.

The 2016 Election Project List includes, but it is not limited to, the following components:

- Repair, upgrade and replace worn-out leaking roofs,
- Replace and upgrade existing wiring systems or install new wiring systems to meet current electrical and accessibility codes,
- Add electrical service capacity to relieve currently overloaded electrical systems in older buildings,
- Replace existing water, sewer, plumbing and storm drain systems to conserve or reclaim water and meet current codes, including the elimination of lead-containing fixtures,
- Upgrade aging and deteriorating restrooms,
- Upgrade, renovate and equip classrooms, physical education facilities, science and other laboratories, playgrounds, libraries, auditoriums, gymnasiums, multipurpose rooms, and cafeterias,
- Construct new school facilities, including gymnasiums and playgrounds,
- Provide outdoor lunch shelters for students,
- Prepare and restore sites in connection with new construction, renovation or remodeling, or installation or removal of relocatable classrooms,
- Address unforeseen conditions revealed by construction or modernization (e.g., plumbing or gas line breaks, dry rot, seismic, structural, asbestos, etc.),
- Upgrade facilities to comply with Federal and State-mandated Americans with Disabilities Act handicap accessibility requirements,
- Install new security systems, such as security (surveillance) cameras, outdoor lighting, walkways and classroom and school door locks,
- Remove or abate asbestos, lead paint, mold and other hazardous materials from older buildings,

- Retrofit buildings for earthquake security,
- Upgrade emergency communication systems,
- Upgrade fire alarm systems, repair and replace fire safety equipment, add sprinklers and fire safety doors, as necessary,
- Replace/upgrade existing signage, bells and clocks,
- Install, replace, upgrade fencing and gates to improve school security,
- Repair, replace, renovate and upgrade deteriorated plumbing to ensure safe drinking water for students,
- Upgrade and replace physical education equipment and facilities to meet current safety standards,
- Install energy-efficient systems, including solar panels, energy-efficient heating, ventilation, air conditioning and cooling systems for cost savings and energy efficiency,
- Replace existing window systems with energy-efficient systems,
- Replace older ceilings, heating, ventilation, air conditioning and lighting systems with building code-compliant, energy-efficient systems,
- Update computer and science labs,
- Upgrade and expand wireless systems, telecommunications and internet access,
- Upgrade and replace hardware and software systems.

ESTIMATED SOURCES AND USES OF FUNDS

The proceeds of the Bonds are expected to be applied as follows:

<i>Sources of Funds</i>	
Principal Amount	\$22,000,000.00
Original Issue Premium/Discount	1,071,098.70
Total Sources	<u>\$23,071,098.70</u>
 <i>Uses of Funds</i>	
Deposit to Building Fund	\$21,688,028.24
Deposit to Debt Service Fund	1,071,098.70
Costs of Issuance ⁽¹⁾	311,971.76
Total Uses	<u>\$23,071,098.70</u>

⁽¹⁾ Includes payment of Bond and Disclosure Counsel fees, Original Purchaser's discount, Financial Advisor fees, Paying Agent fees, rating agency fees, bond insurance premium, Preliminary Official Statement and Official Statement printing and other costs of issuance.

DEBT SERVICE SCHEDULE

The following table summarizes the debt service requirements for the Bonds and the other outstanding general obligation bonds of the District (the “Outstanding Bonds”) assuming no optional redemption:

Period Ending November 1	Outstanding Bonds Debt Service ⁽¹⁾	The Bonds		Total Debt Service
		Principal Amount	Interest	
2017	\$ 3,989,861.75	—	\$ 573,754.44	\$ 4,563,616.19
2018	4,104,012.70	\$ 2,245,000.00	974,300.00	7,323,312.70
2019	4,215,190.70	2,095,000.00	850,825.00	7,161,015.70
2020	4,318,960.45	540,000.00	735,600.00	5,594,560.45
2021	4,401,969.00	625,000.00	705,900.00	5,732,869.00
2022	4,485,766.50	715,000.00	671,525.00	5,872,291.50
2023	4,568,456.85	335,000.00	632,200.00	5,535,656.85
2024	4,662,669.65	390,000.00	613,775.00	5,666,444.65
2025	4,808,477.60	455,000.00	592,325.00	5,855,802.60
2026	4,921,393.55	525,000.00	567,300.00	6,013,693.55
2027	5,035,447.10	315,000.00	538,425.00	5,888,872.10
2028	5,146,650.75	365,000.00	525,825.00	6,037,475.75
2029	5,253,586.60	415,000.00	511,225.00	6,179,811.60
2030	5,365,600.75	275,000.00	498,775.00	6,139,375.75
2031	5,474,505.70	315,000.00	490,525.00	6,280,030.70
2032	5,524,441.00	360,000.00	481,075.00	6,365,516.00
2033	7,074,827.00	410,000.00	469,825.00	7,954,652.00
2034	5,553,640.00	460,000.00	456,500.00	6,470,140.00
2035	5,717,277.50	515,000.00	440,975.00	6,673,252.50
2036	5,932,446.25	570,000.00	422,950.00	6,925,396.25
2037	6,097,996.25	635,000.00	403,000.00	7,135,996.25
2038	6,297,465.00	705,000.00	377,600.00	7,380,065.00
2039	6,522,955.00	775,000.00	349,400.00	7,647,355.00
2040	5,641,355.00	855,000.00	318,400.00	6,814,755.00
2041	5,833,425.00	940,000.00	284,200.00	7,057,625.00
2042	6,026,570.00	1,030,000.00	246,600.00	7,303,170.00
2043	6,226,715.00	1,125,000.00	205,400.00	7,557,115.00
2044	6,436,435.00	1,225,000.00	160,400.00	7,821,835.00
2045	6,650,622.50	1,335,000.00	111,400.00	8,097,022.50
2046	6,872,065.00	1,450,000.00	58,000.00	8,380,065.00
2047	7,098,402.50	—	—	7,098,402.50
Total	<u>\$170,259,187.65</u>	<u>\$22,000,000.00</u>	<u>\$14,268,004.44</u>	<u>\$206,527,192.09</u>

⁽¹⁾ Does not reflect subsidy payments payable on the 2012 Series B Qualified School Construction Bonds and 2015 Series E Qualified School Construction Bonds.

SECURITY AND SOURCES OF PAYMENT FOR THE BONDS

General

The Bonds are general obligations of the District, and the Board of Supervisors of the County has the power and is obligated to levy and collect *ad valorem* taxes upon all property within the District subject to taxation by the County, without limitation as to rate or amount (except certain personal property which is taxable at limited rates) for payment of both principal of and interest on the Bonds. All general obligation bonds of the District are issued on parity with one another. Subsequent to the issuance of the Bonds, \$88,000,000 will remain for issuance of additional general obligation bonds under the 2016 Authorization.

Assessed Valuations

The assessed valuation of property in the District is established by the County Assessor, except for public utility property which is assessed by the State Board of Equalization. Assessed valuations are reported at 100% of the full value of the property, as defined in Article XIII A of the California Constitution. See “CONSTITUTIONAL AND STATUTORY LIMITATIONS ON TAXES AND APPROPRIATIONS” herein.

The State-reimbursed exemption currently provides a credit of \$7,000 of the full value of an owner-occupied dwelling for which application has been made to the County Assessor. The revenue estimated to be lost to local taxing agencies due to the exemption is reimbursed from State sources. Reimbursement is based upon total taxes due upon such exempt value and is not reduced by any amount for estimated or actual delinquencies.

In addition, certain classes of property such as churches, colleges, not-for-profit hospitals and charitable institutions are exempt from property taxation and do not appear on the tax rolls. No reimbursement is made by the State for such exemptions.

Economic and other factors beyond the District’s control, such as a general market decline in land values, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by State and local agencies and property used for qualified educational, hospital, charitable or religious purposes), or the complete or partial destruction of taxable property caused by natural or manmade disaster such as earthquake, flood, toxic dumping, etc., could cause a reduction in the assessed value of taxable property within the District and necessitate a corresponding increase in the annual tax rate to be levied to pay the principal of and interest on the District’s outstanding general obligation bonds, including the Bonds.

On January 17, 2014, the Governor of the State declared a State-wide Drought State of Emergency, after determining that the State was facing the driest year in recorded history; California’s river and reservoirs were below their record low levels, and manual and electronic readings recorded the water content of snowpack at the highest elevations in the State (chiefly in the Sierra Nevada mountain range) at about 20% of normal average for the winter season. As part of his State of Emergency declaration, the Governor directed State officials to assist agricultural producers and communities that may be economically impacted by dry conditions. Following the Governor’s declaration, the California State Water Resources Control Board (the “Water Board”) issued a statewide notice of water shortages and potential future curtailment of water right diversions. On April 1, 2015, the Governor issued an executive order mandating certain conservation measures, including a requirement that the Water Board impose restrictions to achieve a statewide 25% reduction in urban water usage through February 28, 2016. On May 9, 2016, Governor Brown issued a further executive order pursuant to which certain urban water

usage emergency drought regulations, including bans on hosing down driveways and watering laws within 48 hours of a rainstorm, will remain in place indefinitely. Urban water suppliers will be required to report their water use to the State each month and to develop plans to get through long-term periods of drought. On May 18, 2016, Governor Brown suspended the statewide 25% reduction in urban water usage, instructing local communities to set their own conservation standards. Both of the May 2016 executive orders were issued in response to a winter in which an El Niño weather pattern caused excess rainfall in the northern part of the State but did not provide enough rainfall in the southern part of the State to fully ameliorate drought conditions.

The District cannot make any representation regarding the effects that the current drought has had, or, if it should continue, may have on the value of taxable property within the District, or to what extent the drought could cause disruptions to economic activity within the boundaries of the District.

For fiscal year 2015-16, the total assessed valuation of property within the District's boundaries was \$8,829,930,087. For fiscal year 2016-17, the total assessed valuation of property within the District's boundaries is \$9,069,669,454. Shown in the following tables are the assessed valuations of property in the District during the past four fiscal years and current fiscal year, the assessed valuation and parcels by land use of property in the District for the 2016-17 fiscal year, per parcel assessed valuation of single-family homes in the District for the 2016-17 fiscal year, the assessed valuation by jurisdiction for the 2016-17 fiscal year and the twenty largest secured taxpayers in the District for fiscal year 2016-17.

**BAKERSFIELD CITY SCHOOL DISTRICT
SUMMARY OF ASSESSED VALUATIONS
FISCAL YEARS 2012-13 THROUGH 2016-17**

Fiscal Year	Local Secured	Utility	Unsecured	Total
2012-13	\$7,395,092,693	\$3,988,750	\$460,516,923	\$7,859,598,366
2013-14	7,690,922,827	3,987,381	366,136,806	8,061,047,014
2014-15	8,090,488,864	3,982,916	364,418,196	8,458,889,976
2015-16	8,467,289,187	3,980,431	358,660,469	8,829,930,087
2016-17	8,713,326,720	3,346,330	352,996,404	9,069,669,454

Sources: California Municipal Statistics, Inc.

**BAKERSFIELD CITY SCHOOL DISTRICT
2016-17 ASSESSED VALUATION AND PARCELS BY LAND USE**

	2016-17 Assessed Valuation⁽¹⁾	% of Total	No. of Parcels	% of Total
<u>Non-Residential:</u>				
Agricultural	\$ 33,431,386	0.38%	281	0.49%
Commercial	1,175,683,167	13.49	3,469	6.01
Professional/Office	646,428,037	7.42	998	1.73
Industrial	438,783,610	5.04	1,043	1.81
Recreational	65,413,089	0.75	198	0.34
Government/Social/Institutional	118,291,953	1.36	1,322	2.29
Oil & Gas/Mineral Rights	254,831,988	2.92	700	1.21
Subtotal Non-Residential	<u>\$2,732,863,230</u>	<u>31.36%</u>	<u>8,011</u>	<u>13.87%</u>
<u>Residential:</u>				
Single-Family Residence	\$4,703,386,403	53.98%	37,817	65.49%
Condominium/Townhouse	141,381,574	1.62	1,569	2.72
Mobile Home	47,451,974	0.54	2,254	3.90
2-4 Residential Units	467,956,581	5.37	3,297	5.71
5+ Residential Units/Apartments	475,147,450	5.45	811	1.40
Subtotal Residential	<u>\$5,835,323,982</u>	<u>66.97%</u>	<u>45,748</u>	<u>79.22%</u>
Vacant Parcels	\$ 145,139,508	1.67%	3,987	6.90%
Total	\$8,713,326,720	100.00%	57,746	100.00%

⁽¹⁾ Local Secured Assessed Valuation, excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

BAKERSFIELD CITY SCHOOL DISTRICT
PER PARCEL 2016-17 ASSESSED VALUATION OF SINGLE-FAMILY HOMES

	No. of Parcels	2016-17 Assessed Valuation	Average Assessed Valuation	Median Assessed Valuation
Single-Family Residential	37,817	\$4,703,386,403	\$124,372	\$101,764

2016-17 Assessed Valuation	No. of Parcels ⁽¹⁾	% of Total	Cumulative % of Total	Total Valuation	% of Total	Cumulative % of Total
\$0 - \$24,999	1,108	2.930%	2.930%	\$ 20,434,470	0.434%	0.434%
\$25,000 - \$49,999	5,033	13.309	16.239	196,971,593	4.188	4.622
\$50,000 - \$74,999	6,320	16.712	32.951	393,270,348	8.361	12.984
\$75,000 - \$99,999	6,038	15.966	48.917	527,068,194	11.206	24.190
\$100,000 - \$124,999	5,214	13.787	62.705	584,270,674	12.422	36.612
\$125,000 - \$149,999	3,709	9.808	72.512	507,349,572	10.787	47.399
\$150,000 - \$174,999	2,797	7.396	79.909	452,007,000	9.610	57.009
\$175,000 - \$199,999	1,957	5.175	85.083	364,770,957	7.755	64.765
\$200,000 - \$224,999	1,392	3.681	88.764	295,194,379	6.276	71.041
\$225,000 - \$249,999	1,148	3.036	91.800	272,034,171	5.784	76.825
\$250,000 - \$274,999	879	2.324	94.124	229,497,823	4.879	81.704
\$275,000 - \$299,999	549	1.452	95.576	157,136,596	3.341	85.045
\$300,000 - \$324,999	357	0.944	96.520	111,581,988	2.372	87.418
\$325,000 - \$349,999	291	0.769	97.290	97,991,188	2.083	89.501
\$350,000 - \$374,999	230	0.608	97.898	83,204,148	1.769	91.270
\$375,000 - \$399,999	179	0.473	98.371	69,117,516	1.470	92.740
\$400,000 - \$424,999	141	0.373	98.744	58,194,173	1.237	93.977
\$425,000 - \$449,999	95	0.251	98.995	41,385,123	0.880	94.857
\$450,000 - \$474,999	45	0.119	99.114	20,800,387	0.442	95.299
\$475,000 - \$499,999	52	0.138	99.252	25,311,350	0.538	95.837
\$500,000 and greater	283	0.748	100.000	195,794,753	4.163	100.000
Total	37,817	100.000%		\$4,703,386,403	100.000%	

⁽¹⁾ Improved single-family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

**BAKERSFIELD CITY SCHOOL DISTRICT
2016-17 ASSESSED VALUATION BY JURISDICTION⁽¹⁾**

<u>Jurisdiction:</u>	<u>Assessed Valuation in School District</u>	<u>% of School District</u>	<u>Assessed Valuation of Jurisdiction</u>	<u>% of Jurisdiction in School District</u>
City of Bakersfield	\$6,608,889,057	72.87%	\$27,419,614,430	24.10%
Unincorporated Kern County	2,460,780,397	27.13	47,291,229,752	5.20
Total District	\$9,069,669,454	100.00%		
Kern County	\$9,069,669,454	100.00%	\$82,880,528,847	10.94%

⁽¹⁾ Before deduction of redevelopment incremental valuation.
Source: California Municipal Statistics, Inc.

**BAKERSFIELD CITY SCHOOL DISTRICT
2016-17 LARGEST LOCAL SECURED TAXPAYERS**

	<u>Property Owner</u>	<u>Primary Land Use</u>	<u>2016-17 Assessed Valuation</u>	<u>% of Total⁽¹⁾</u>
1.	Chevron USA Inc.	Oil & Gas Production	\$124,195,407	1.43%
2.	MacPherson Oil Co.	Oil & Gas Production	110,924,635	1.27
3.	California Water Service Co.	Water Company	105,602,980	1.21
4.	Kaiser Foundation Health Plan Inc.	Office Building	38,611,446	0.44
5.	FM Baker LLC	Office Building	33,371,689	0.38
6.	Excel Realty Partners LP	Shopping Center	29,817,317	0.34
7.	Danari Bakersfield LLC	Office Building	26,936,980	0.31
8.	Bakersfield Convention Hotel I LLC	Hotel	24,297,641	0.28
9.	Lee Development LLC	Office Building	23,948,059	0.27
10.	Lowes HIW Inc.	Commercial	22,766,799	0.26
11.	Baker Cal Venture LP	Office Building	21,180,000	0.24
12.	Rio Bravo Medical Campus LLC	Office Building	19,760,699	0.23
13.	Maya Bakersfield Cinemas LLC	Movie Theater	18,098,731	0.21
14.	Memorial Medical Plaza LLC	Office Building	17,381,657	0.20
15.	Peter P. Bollinger 2003 LLC	Shopping Center	17,124,423	0.20
16.	SA Recycling LLC	Industrial	16,800,572	0.19
17.	Wal Mart Real Estate Business Trust	Commercial	15,448,937	0.18
18.	Kern Schools Federal Credit Union	Credit Union	14,827,507	0.17
19.	Centex Homes	Residential Development	14,536,344	0.17
20.	BRE Newton Hotels Prop Owner LLC	Hotel	13,964,638	0.16
			<u>\$709,596,461</u>	<u>8.14%</u>

⁽¹⁾ 2016-17 Local Secured Assessed Valuation: \$9,069,669,454.
Source: California Municipal Statistics, Inc.

Ad Valorem Property Taxes, Tax Rates, Levies, Collections and Delinquencies

Taxes are levied for each fiscal year on taxable real and personal property which is situated in the County as of the preceding January 1. However, upon a change in ownership of property or completion of new construction, State law permits an accelerated recognition and taxation of increases in real property assessed valuation (known as a “floating lien date”). For assessment and collection purposes, property is classified either as “secured” or “unsecured” and is listed accordingly on separate parts of the assessment roll. The “secured roll” is that part of the assessment roll containing State assessed property

secured by a lien which is sufficient, in the opinion of the assessor, to secure payment of the taxes. Other property is assessed on the “unsecured roll.”

The County levies a 1% property tax on behalf of all taxing agencies in the County. The taxes collected are allocated on the basis of a formula established by State law enacted in 1979. Under this formula, the County and all other taxing entities receive a base year allocation plus an allocation on the basis of “situs” growth in assessed value (new construction, change of ownership, inflation) prorated among the jurisdictions which serve the tax rate areas within which the growth occurs. Tax rate areas are specifically defined geographic areas which were developed to permit the levying of taxes for less than county-wide or less than city-wide special and school districts. In addition, the County levies and collects additional approved property taxes and assessments on behalf of any taxing agency within the County.

Property taxes on the secured roll are due in two installments, on November 1 and February 1. If unpaid, such taxes become delinquent after December 10 and April 10, respectively, then a ten percent penalty attaches to any delinquent payment. In addition, property on the secured roll with respect to which taxes are delinquent is declared tax-defaulted on or about June 30. Such property may thereafter be redeemed by payment of the delinquent taxes and the delinquency penalty, plus costs and redemption penalty of one and one-half percent per month to the time of redemption. If taxes are unpaid for a period of five years or more, the tax-defaulted property is subject to sale by the Treasurer and Tax Collector of the County (the “Treasurer”).

Property taxes on the unsecured roll are currently due as of the January 1 lien date prior to the commencement of a fiscal year and become delinquent, if unpaid, on August 31. A ten percent penalty attaches to delinquent taxes on property on the unsecured roll and an additional penalty of one and one-half percent per month begins to accrue on November 1. The taxing authority has four ways of collecting unsecured personal property taxes: (1) a civil action against the taxpayer; (2) filing a certificate in the office of the County Clerk specifying certain facts in order to obtain a judgment lien on certain property of the taxpayer; (3) filing a certificate of delinquency for recordation in the County Recorder’s office in order to obtain a lien on certain property of the taxpayer; and (4) seizure and sale of personal property, improvements, bank accounts or possessory interests belonging or assessed to the taxpayer.

The County levies and collects all property taxes for property falling within its taxing boundaries.

Tax Charges and Delinquencies

The County's secured roll tax charges and corresponding delinquencies with respect to property located in the District for the five-year period from fiscal years 2011-12 through 2015-16 are set forth in the following tables.

BAKERSFIELD CITY SCHOOL DISTRICT SECURED TAX CHARGES AND DELINQUENCIES FISCAL YEARS 2011-12 THROUGH 2015-16

Fiscal Year	Secured Tax Charge⁽¹⁾	Amount Delinquent June 30	% Delinquent June 30
2011-12	\$5,587,119.33	\$179,383.14	3.21%
2012-13	4,911,732.04	147,178.94	3.00
2013-14	3,212,000.57	61,062.40	1.90
2014-15	1,774,839.84	36,709.88	2.07
2015-16	3,109,382.87	65,752.23	2.11

Fiscal Year	Secured Tax Charge⁽²⁾	Amount Delinquent June 30	% Delinquent June 30
2011-12	\$15,763,858.66	\$230,994.37	1.47%
2012-13	15,944,441.81	209,534.88	1.31
2013-14	15,902,580.44	203,091.33	1.28
2014-15	16,739,685.55	213,930.20	1.28
2015-16	16,851,465.85	212,003.41	1.26

⁽¹⁾ Bond debt service levy.

⁽²⁾ 1% General Fund apportionment.

Source: California Municipal Statistics, Inc.

Teeter Plan

The County has adopted the alternative method of secured property tax apportionment available under Chapter 3, Part 8, Division 1 (commencing with Section 4701) of the Revenue and Taxation Code of the State (also known as the "Teeter Plan"). This alternative method provides for funding each taxing entity included in the Teeter Plan with its total secured property taxes during the year the taxes are levied, including any amount uncollected at fiscal year-end. Under the Teeter Plan, the County assumes an obligation under a debenture or similar demand obligation to advance funds to cover expected delinquencies, and, by such financing, its general fund receives the full amount of secured property taxes levied each year and, therefore, no longer experiences delinquent taxes. In addition, the County's general fund benefits from future collections of penalties and interest on all delinquent taxes collected on behalf of participants in this alternative method of apportionment.

Upon adopting the Teeter Plan, the County was required to distribute to participating local agencies 95% of the then-accumulated, secured roll property tax delinquencies and to place the remaining 5% in a tax losses reserve fund. Taxing entities that maintain funds in the County Treasury are all included in the Teeter Plan; other taxing entities may elect to be included in the Teeter Plan. Taxing

entities that do not elect to participate in the Teeter Plan will be paid as taxes are collected. Since the District maintains funds in the County Treasury, the District is included in the Teeter Plan.

The Teeter Plan is to remain in effect unless the Board of Supervisors of the County orders its discontinuance or unless, prior to the commencement of any fiscal year of the County (which commences on July 1), the County Board of Supervisors shall receive a petition for its discontinuance joined in by resolutions adopted by two-thirds of the participating revenue districts in the County, in which event the Board of Supervisors is to order discontinuance of the Teeter Plan effective at the commencement of the subsequent fiscal year. In the event that the Teeter Plan was terminated, receipt of revenue of *ad valorem* taxes in the District would depend upon the collections of the *ad valorem* property taxes and delinquency rates experienced with respect to the parcels within the District. The District knows of no consideration by the County to discontinue the Teeter Plan.

Tax Rates

The following table sets forth typical tax rates levied in Tax Rate Area (1-001) for fiscal years 2012-13 through 2016-17.

BAKERSFIELD CITY SCHOOL DISTRICT TYPICAL TOTAL TAX RATES (TRA 1-001)

2016-17 Assessed Valuation: \$1,289,444,142

	<u>2012-13</u>	<u>2013-14</u>	<u>2014-15</u>	<u>2015-16</u>	<u>2016-17</u>
1% General Fund Levy	1.000000%	1.000000%	1.000000%	1.000000%	1.000000%
Kern County Water Agency	.054045	.056910	.052537	.053705	.058505
Bakersfield City School District	.068080	.035948	.018552	.033935	.020379
Kern High School District	.043663	.039160	.036056	.032389	.025969
Kern Community College District SRID	.008502	.012644	.010450	.013571	.013180
Total All Property	<u>1.174290%</u>	<u>1.144662%</u>	<u>1.117595%</u>	<u>1.133600%</u>	<u>1.118033%</u>

Source: California Municipal Statistics, Inc.

Certain Existing Obligations

District voters authorized the District to issue \$100,000,000 in general obligation bonds at an election held on November 7, 2006 (the “2006 Authorization”). Currently, \$17,193,381 of authorized but unissued general obligations remain under the 2006 Authorization. District voters authorized the District to issue \$110,000,000 in the 2016 Authorization. All general obligation bonds of the District are issued on parity with one another and with the Bonds.

A schedule of the District’s changes in long-term debt for the year ended June 30, 2016, is shown below.

	Balance July 1, 2015	Additions	Deductions	Balance June 30, 2016
General obligation bonds	\$66,455,382	\$14,644,340	\$1,695,000	\$79,404,722
Bond premium, net of amortization	4,891,595	-	304,152	4,587,443
Compensated absences	1,041,181	559,214	485,278	1,115,117
Other postemployment benefits	12,944,419	8,300,300	7,138,108	14,106,611
Totals	<u>\$85,332,577</u>	<u>\$23,503,854</u>	<u>\$9,622,538</u>	<u>\$99,213,893</u>

Source: The District.

Direct and Overlapping Debt

The following is a direct and overlapping debt report (the “Debt Report”) prepared by California Municipal Statistics, Inc., dated January 12, 2017 and showing debt as of March 1, 2017. The Debt Report is included for general information purposes only. The District has not reviewed the Debt Report for completeness or accuracy and makes no representation in connection therewith.

The Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

Column 1 in the table names each public agency which has outstanding debt as of the date of the report and whose territory overlaps the District in whole or in part. Column 2 shows the percentage of each overlapping agency’s assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in the table) produces the amount shown in Column 3, which is the apportionment of each overlapping agency’s outstanding debt to taxable property in the District.

BAKERSFIELD CITY SCHOOL DISTRICT DIRECT AND OVERLAPPING BONDED INDEBTEDNESS

2016-17 Assessed Valuation: \$9,069,669,454

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 3/1/17</u>
Kern Community College District Safety, Repair and Improvement District	11.213%	\$ 15,336,702
Kern High School District	17.433	32,151,021
Bakersfield City School District	100.	74,546,619⁽¹⁾
California Statewide Communities Development Authority		
Community Facilities District No. 2015-02	100.	11,125,000
City of Bakersfield 1915 Act Bonds (Estimated)	100.	9,950,456
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$143,109,798
 <u>OVERLAPPING GENERAL FUND DEBT:</u>		
Kern County Certificates of Participation	10.943%	\$ 10,850,532
Kern County Pension Obligation Bonds	10.943	27,815,822
Kern County Board of Education Certificates of Participation	10.943	4,289,656
Kern County Community College District Certificates of Participation	10.066	3,277,582
Kern County Community College District Benefit Obligation Bonds	10.066	8,026,854
Kern High School District General Fund Obligations	17.433	26,476,369
City of Bakersfield General Fund Obligations	24.103	3,898,660
TOTAL OVERLAPPING GENERAL FUND DEBT		\$ 84,635,475
 <u>OVERLAPPING TAX INCREMENT DEBT (Successor Agencies):</u>		 \$ 2,631,374
 COMBINED TOTAL DEBT		 \$230,376,647⁽²⁾

⁽¹⁾ Excludes general obligation bonds to be sold.

⁽²⁾ Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Ratios to 2016-17 Assessed Valuation:

Direct Debt (\$74,546,619).....	0.82%
Total Direct and Overlapping Tax and Assessment Debt.....	1.58%
Combined Total Debt	2.54%

Ratios to Redevelopment Incremental Valuation (\$872,147,838):

Total Overlapping Tax Increment Debt.....	0.30%
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Source: California Municipal Statistics, Inc.

CONSTITUTIONAL AND STATUTORY LIMITATIONS ON TAXES AND APPROPRIATIONS

Article XIII A of the California Constitution

Article XIII A of the California Constitution limits the amount of any *ad valorem* tax on real property to one percent (1%) of the full cash value thereof, except that additional *ad valorem* taxes may be levied to pay debt service on indebtedness approved by the voters prior to July 1, 1978 and on bonded indebtedness for the acquisition or improvement of real property which has been approved on or after July 1, 1978 by two-thirds of the voters on such indebtedness. Article XIII A defines full cash value to

mean “the county assessor’s valuation of real property as shown on the 1975-76 tax bill under “full cash value,” or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership have occurred after the 1975 assessment.” The full cash value may be increased at a rate not to exceed two percent per year to account for inflation.

Article XIII A has subsequently been amended to permit reduction of the “full cash value” base in the event of declining property values caused by damage, destruction or other factors, to provide that there would be no increase in the “full cash value” base in the event of reconstruction of property damaged or destroyed in a disaster and in other minor or technical ways.

Legislation Implementing Article XIII A

Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The one percent (1%) property tax is automatically levied by the county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1989.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the two percent annual adjustment are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years.

All taxable property is shown at full market value on the tax rolls, with tax rates expressed as \$1 per \$100 of taxable value. All taxable property value included in this Official Statement is shown at 100% of market value (unless noted differently) and all tax rates reflect the \$1 per \$100 of taxable value.

Prospective purchasers of the Bonds should be aware that, notwithstanding any decrease in assessed valuation for any fiscal year, the County is required to levy sufficient taxes to pay debt service on the Bonds. The consequence of any decrease in assessed valuation is a corresponding increase in the tax rate on taxable property so that sufficient tax revenues may be collected from taxpayers to cover debt service on the Bonds in full.

Article XIII B of the California Constitution

Under Article XIII B of the California State Constitution, state and local government entities have an annual “appropriations limit” and are not permitted to spend certain moneys which are called “appropriations subject to limitation” (consisting of tax revenues, state subventions and certain other funds) in an amount higher than the “appropriations limit.” Article XIII B does not affect the appropriations of moneys which are excluded from the definition of “appropriations subject to limitation,” including debt service on indebtedness existing or authorized as of January 1, 1979, or bonded indebtedness subsequently approved by the voters. In general terms, the “appropriations limit” is to be based on certain 1978-79 expenditures, and is to be adjusted annually to reflect changes in consumer prices, populations, and services provided by these entities. Among other provisions of Article XIII B, if these entities’ revenues in any year exceed the amounts permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years.

Unitary Property

Assembly Bill 454 (Chapter 921, Statutes of 1986) (“AB 454”) provides that revenues derived from most utility property assessed by the State Board of Equalization (“Unitary Property”) are allocated

as follows: (1) each jurisdiction will receive up to 102% of its prior year State-assessed revenue; and (2) if county-wide revenues generated from Unitary Property are less than the previous year's revenues or greater than 102% of the previous year's revenues, each jurisdiction will share the burden of the shortfall or excess revenues by a specified formula. This provision applies to all Unitary Property except railroads, whose valuation will continue to be allocated to individual tax rate areas.

The State electric utility industry has experienced significant changes in its structure and in the way in which components of the industry are regulated and owned. Sale of electric generation assets to largely unregulated, nonutility companies may affect how those assets are assessed, and which local agencies are to receive the property taxes. The District is unable to predict the impact of these changes on its utility property tax revenues, or whether legislation may affect ownership of utility assets or the State's methods of assessing utility property and the allocation of assessed value to local taxing agencies, including the District. So long as the District is not a basic aid district, taxes lost through any reduction in assessed valuation will be compensated by the State as equalization aid under the State's school financing formula. See "Funding of School Districts in California" in APPENDIX A hereto.

Proposition 46

On June 3, 1986, California voters approved Proposition 46, which added an additional exemption to the 1% tax limitation imposed by Article XIII A. Under this amendment to Article XIII A, local governments and school and community college districts may increase the property tax rate above 1% for the period necessary to retire new, general obligation bonds, if two-thirds of those voting in a local election approve the issuance of such bonds and the money raised through the sale of the bonds is used exclusively to purchase or improve real property.

Proposition 39

On November 7, 2000, California voters approved Proposition 39, called the "Smaller Classes, Safer Schools and Financial Accountability Act" ("Proposition 39") which amends Section 1 of Article XIII A, Section 18 of Article XVI of the California Constitution and Section 47614 of the California Education Code and allows an alternative means of seeking voter approval for bonded indebtedness by 55% of the vote, rather than the two-thirds majority required under Section 18 of Article XVI of the Constitution. The 55% voter requirement applies only if the bond measure submitted to the voters includes, among other items: (1) a restriction that the proceeds of the bonds may be used for "the construction, reconstruction, rehabilitation, or replacement of school facilities, including the furnishing and equipping of school facilities, or the acquisition or lease of real property for school facilities," (2) a list of projects to be funded and a certification that the school district board has evaluated "safety, class size reduction, and information technology needs in developing that list" and (3) that annual, independent performance and financial audits will be conducted regarding the expenditure and use of the bond proceeds.

Section 1(b)(3) of Article XIII A has been added to exempt the one percent (1%) *ad valorem* tax limitation that Section 1(a) of Article XIII A of the Constitution levies, to pay bonds approved by 55% of the voters, subject to the restrictions explained above.

The California Legislature enacted AB 1908, Chapter 44, which became effective upon passage of Proposition 39 and amends various sections of the Education Code. Under amendments to Section 15268 and 15270 of the Education Code, the following limits on *ad valorem* taxes apply in any single election: (1) for an elementary and high school district, indebtedness shall not exceed \$30 per \$100,000 of taxable property, (2) for a unified school district, indebtedness shall not exceed \$60 per \$100,000 of taxable property, and (3) for a community college district, indebtedness shall not exceed \$25

per \$100,000 of taxable property. Finally, AB 1908 requires that a citizens' oversight committee must be appointed who will review the use of the bond funds and inform the public about their proper usage.

Proposition 98

On November 8, 1988, voters approved Proposition 98, a combined initiative, constitutional amendment and statute called the "Classroom Instructional Improvement and Accountability Act" ("Proposition 98"). Proposition 98 guarantees K-14 schools a minimum share of the State General Fund revenues. Under Proposition 98 (as modified by Proposition 111, which was enacted on June 5, 1990), K-14 schools are guaranteed the greater of (a) 40.9% of State General Fund revenues (the "first test"), or (b) the amount appropriated to K-14 schools in the prior year, adjusted for changes in the cost-of-living (measured as in Article XIII B by reference to per capita personal income) and enrollment (the "second test"), or (c) a "third test" which would replace the second test in any year when the percentage growth in per capita State General Fund revenues from the prior year plus 1/2 of 1% is less than the percentage growth in the State per capita personal income. Under the third test, schools would receive the amount appropriated in the prior year adjusted for changes in enrollment and per capita State General Fund revenues, plus an additional small adjustment factor. If the third test is used in any year, the difference between the third test and the second test would become a "credit" to schools which would be paid in future years when State General Fund revenue growth exceeds personal income growth.

Proposition 98 permits the Legislature by two-thirds vote of both houses, with the Governor's concurrence, to suspend this minimum funding formula for a one-year period, and any corresponding reduction in funding for that year will not be paid in subsequent years. However, in determining the funding level for the succeeding year, the formula base for the prior year will be reinstated as if such suspension had not taken place. The Legislature has suspended payment on a number of occasions since voters approved Proposition 98.

Proposition 98 also changes how tax revenues in excess of the State Appropriations Limit are distributed. "Excess" tax revenues are determined based on a two-year cycle, so that the State could avoid having to return to taxpayers excess tax revenues in one year if its appropriations in the next fiscal year were under its limit. After any two-year period, if there are excess State tax revenues, 50% of the excess would be transferred to K-14 schools, with the balance returned to taxpayers. Further, any excess State tax revenues transferred to K-14 schools are not built into the school districts' base expenditures for calculating their entitlement for State aid in the next year, and the State's appropriations limit will not be increased by this amount.

Propositions 1A and 22

Proposition 1A (SCA 4), proposed by the State Legislature in connection with the 2004-05 State budget and approved by the voters in November 2004, provides that the State may not reduce any local sales tax rate, limit existing local government authority to levy a sales tax rate or change the allocation of local sales tax revenues, subject to certain exceptions. Proposition 1A generally prohibits the State from shifting to schools or community colleges any share of property tax revenues allocated to local governments for any fiscal year, as set forth under the laws in effect as of November 3, 2004. Any change in the allocation of property tax revenues among local governments within a county must be approved by two-thirds of both houses of the State Legislature. Proposition 1A provides, however, that beginning in Fiscal Year 2008-09, the State may shift to schools and community colleges up to 8% of local government property tax revenues, which amount must be repaid, with interest, within three years, if the Governor proclaims that the shift is needed due to a severe state financial hardship, the shift is approved by two-thirds of both houses of the State Legislature and certain other conditions are met. The State may also approve voluntary exchanges of local sales tax and property tax revenues among local

governments within a county. Pursuant to Proposition 1A, if the State reduces the Vehicle License Fee rate below 0.65 percent of vehicle value, the State must provide local governments with equal replacement revenues. Further, Proposition 1A required the State, beginning March 1, 2006, to suspend mandates affecting cities, counties and special districts, schools or community colleges, excepting mandates relating to employee rights, in any year that the State does not fully reimburse local governments for their costs of compliance with such mandates.

Prohibitions on Diverting Local Revenues for State Purposes. Beginning in fiscal year 1992-93, the State satisfied a portion of its Proposition 98 obligations by shifting part of the property tax revenues otherwise belonging to cities, counties, special districts, and redevelopment agencies, to school and college districts through a local Educational Revenue Augmentation Fund (“ERAF”) in each county. Local agencies, objecting to invasions of their local revenues by the State, sponsored a statewide ballot initiative intended to eliminate the practice. In response, the State Legislature proposed an amendment to the State Constitution, which the State’s voters approved as Proposition 1A at the November 2004 election. That measure was generally superseded by the passage of a new initiative constitutional amendment at the November 2010 election, known as “Proposition 22.”

The effect of Proposition 22 is to prohibit the State, even during a period of severe fiscal hardship, from delaying the distribution of tax revenues for transportation, redevelopment, or local government projects and services. It prevents the State from redirecting redevelopment agency property tax increment to any other local government, including school districts, or from temporarily shifting property taxes from cities, counties and special districts to schools, as in the ERAF program. This is intended to, among other things, stabilize local government revenue sources by restricting the State’s control over local property taxes. One effect of this amendment will be to deprive the State of fuel tax revenues to pay debt service on most State bonds for transportation projects, reducing the amount of State general fund resources available for other purposes, including education.

Prior to the passage of Proposition 22, the State invoked Proposition 1A to divert \$1.935 billion in local property tax revenues in fiscal year 2009-10 from cities, counties, and special districts to the State to offset State general fund spending for education and other programs, and included another diversion in the adopted fiscal year 2009-10 State budget of \$1.7 billion in local property tax revenues from local redevelopment agencies. Because Proposition 22 reduces the State’s authority to use or reallocate certain revenue sources, fees and taxes for State general fund purposes, the State will have to take other actions to balance its budget, such as reducing State spending or increasing State taxes, and school and college districts that receive Proposition 98 or other funding from the State will be more directly dependent upon the State’s General Fund.

On December 30, 2011, the California Supreme Court issued its decision in the case of *California Redevelopment Association v. Matosantos*, finding ABx1 26, a trailer bill to the 2011-12 State Budget, to be constitutional. As a result, all redevelopment agencies in California were dissolved as of February 1, 2012, and all net tax increment revenues, after payment of redevelopment bonds debt service and administrative costs, will be distributed to cities, counties, special districts and K-14 school districts. The Court also found that ABx1 27, a companion bill to ABx1 26, violated the California Constitution, as amended by Proposition 22. ABx1 27 would have permitted redevelopment agencies to continue operations provided their establishing cities or counties agreed to make specified payments to K-14 school districts and county offices of education, totaling \$1.7 billion statewide. The District is unable to predict what affect the implementation of ABx1 26 will have on the District’s future receipt of tax increment revenues.

As a result of the dissolution of California redevelopment agencies and ABx1 26, the tax increment previously paid to redevelopment agencies shall first be used to pay pass-through payments to

other taxing entities and second to pay the redevelopment agencies enforceable obligations; with the remaining revenue (if any) paid to the taxing entities by the County Auditor-Controller in the same proportion as other tax revenue. The District does not expect to have any of its property tax payments deferred as a result of the dissolution of area redevelopment agencies.

Proposition 30

The passage of the Governor's November Tax Initiative ("Proposition 30") on November 6, 2012, resulted in an increase in the State sales tax by a quarter-cent for four years and, for seven years, and raises taxes on individuals after their first \$250,000 in income and on couples after their first \$500,000 in earnings. These increased tax rates affect approximately one percent of California personal income tax filers and will be in effect until the conclusion of the 2018 tax year. The State Office of Legislative Analyst (the "LAO") estimates that, as a result of Proposition 30, additional state tax revenues of about \$6 billion annually from fiscal years 2012-13 through 2016-17 will be received by the State with lesser amounts of additional revenue available in fiscal years 2017-18, and 2018-19. Proposition 30 also places into the State Constitution certain requirements related to the transfer of certain State program responsibilities to local governments, mostly counties, including incarcerating certain adult offenders, supervising parolees, and providing substance abuse treatment services.

Proposition 30 will also provide additional tax revenues aimed at balancing the State's budget through fiscal year 2018-19, providing several billion dollars annually through fiscal year 2018-19 available for funding existing State programs, ending K-14 education payment delays, and paying other State debts. Future actions of the State Legislature and the Governor will determine the use of these funds. According to the LAO, revenues raised by Proposition 30 could be subject to multibillion-dollar swings, above or below the revenues projections, due to the majority of the additional revenue coming from the personal income tax rate increases on upper-income taxpayers. These fluctuations in incomes of upper-income taxpayers will impact potential State revenue and could complicate State budgeting in future years. After the tax increases expire, the loss of the associated tax revenues could create additional budget pressure in subsequent years.

Revenues generated from the temporary tax increases are included in the calculation of the Proposition 98 minimum funding guarantee for school districts and community college districts and deposited into the Education Protection Account created pursuant to Proposition 30 (the "EPA"). See "– Proposition 98" above. Pursuant to Proposition 30, funds in the EPA are allocated quarterly, with approximately 89% of such funds provided to school districts and approximately 11% to community college districts, before distribution to school districts and community college districts in the same manner as existing unrestricted per-student funding, except that no school district receives less than \$200 per unit of ADA and no community college district receives less than \$100 per full-time equivalent student. The governing board of each school district and community college district is granted sole authority to determine how moneys received from the EPA are spent, provided that such board may not use any of such funds for salaries or benefits of administrators or any other administrative costs.

On November 8, 2016, voters approved Proposition 55, which extends the temporary tax increases created by Proposition 30 from the 2016 tax year through the 2030 tax year. The District cannot predict the effect the loss of the revenues generated from such temporary tax increases will have on total State revenues and the effect on the Proposition 98 formula for funding schools should the tax not be extended further.

Proposition 2

On November 4, 2014, voters approved Proposition 2, also referred to as the “Rainy Day Budget Stabilization Fund Act.” Proposition 2 changed the State’s existing requirements for the Budget Stabilization Account (“BSA”) and establishes a Public School System Stabilization Account (“PSSSA”).

Proposition 2 limits the ability of the Governor to suspend or reduce transfers to the BSA. Specifically, the Governor would have to declare a “budget emergency,” defined in Article XIIB of the State Constitution or determine that there are insufficient resources to maintain general fund expenditures for the current year, at the highest level of spending in the three most recent fiscal years. Any such declaration must be followed by a legislative bill passed by a majority vote of each house.

Proposition 2 also requires the State Controller to deposit annually 1.5% of general fund revenues and an amount equal to revenues derived from capital gains-related taxes in situations where such tax revenues are in excess of 8% of general fund revenues. Deposits to the BSA are expected to begin no later than October 1, 2015, and such deposits will be made until the BSA balance reaches an amount equal to 10% of general fund revenues. Additionally, from 2015-16 to 2029-30, half of any required transfers to the BSA must be allocated to reduce certain state liabilities, such as unfunded state-level pension plans and making certain payments owed to K-14 school districts.

The PSSSA will be funded by the capital gains-related tax revenues in excess of 8% of general fund revenues. The State may deposit amounts into the PSSSA only after certain conditions are met, including the payment of all amounts owing to school districts under the Proposition 98 maintenance factor and the existence of a “Test 1” year under Proposition 98.

Proposition 51

At the November 8, 2016 Election, voters in the State approved the California Public School Facility Bonds Initiative, (“Proposition 51”). Proposition 51 authorizes the sale and issuance of \$9 billion in general obligation bonds to fund the construction and modernization of school facilities for both community colleges and K-12 schools within the state.

Specifically, the \$9 billion will be stored between a State School Facilities Fund and a California Community College Capital Outlay Bond Fund. The funds can then be used to allocate bond revenue in the following manner:

- \$3 billion for construction of new K-12 school district facilities;
- Another \$3 billion for the modernization of K-12 public school sites, which includes repairs to outdated facilities to increase earthquake and fire safety, removing asbestos, technology upgrades and other health and safety improvements;
- \$500 million for various charter school facilities;
- \$500 million for career technical education facilities;
- \$2 billion for California community college facility construction and modernization.

The State issues general obligation bonds for facility projects. Typically, K-12 schools can submit proposals for such projects to the State Office of Public School Construction for both modernization and new construction. If the project is approved, the school district will receive State grant funding and in turn the school district must contribute local funding to such projects. If sufficient local funding is unavailable, the school district may potentially receive the full project cost via State grant funding. Career technical education and charter school facilities face a similar approval process. Community college districts, on the other hand, must submit requests for facility projects to the Chancellor of the community college

system. Selected projects are eventually approved and funded as part of the annual State budget. A scoring system is used to determine the State and local contributions for these community college sites.

The impact that Proposition 51 will generally have on school district behavior is unclear. Some school districts may spend less local funds given the greater support of state funding. However, school districts may decide to spend more local funds by proposing an increased number of facility projects with the knowledge that additional state funding could be available. It is also possible that school districts make no changes to their number of proposals for construction and modernization projects. The District currently expects to pursue financing pursuant to Proposition 51.

Article XIII C and XIII D of the California Constitution

On November 5, 1996, an initiative to amend the California Constitution known as the “Right to Vote on Taxes Act” (“Proposition 218”) was approved by a majority of California voters. Proposition 218 added Articles XIII C and XIII D to the State Constitution and requires majority voter approval for the imposition, extension or increase of general taxes and 2/3 voter approval for the imposition, extension or increase of special taxes by a local government, which is defined in Proposition 218 to include counties. Proposition 218 also provides that any general tax imposed, extended or increased without voter approval by any local government on or after January 1, 1995, and prior to November 6, 1996 shall continue to be imposed only if approved by a majority vote in an election held within two years following November 6, 1996. All local taxes and benefit assessments which may be imposed by public agencies will be defined as “general taxes” (defined as those used for general governmental purposes) or “special taxes” (defined as taxes for a specific purpose even if the revenues flow through the local government’s general fund) both of which would require a popular vote. New general taxes require a majority vote and new special taxes require a two-thirds vote. Proposition 218 also extends the initiative power to reducing or repealing local taxes, assessments, fees and charges, regardless of the date such taxes, assessments or fees or charges were imposed, and lowers the number of signatures necessary for the process. In addition, Proposition 218 limits the application of assessments, fees and charges and requires them to be submitted to property owners for approval or rejection, after notice and public hearing.

The District has no power to impose taxes except property taxes associated with a general obligation bond election, following approval by 55% or 2/3 of the District’s voters, depending upon the Article of the Constitution under which it is passed. Under previous law, the District could apply provisions of the Landscape and Lighting Act of 1972 to create an assessment district for specified purposes, based on the absence of a majority protest. Proposition 218 significantly reduces the ability of the District to create such special assessment districts.

Proposition 218 has no effect upon the District’s ability to pursue approval of a general obligation bond issue under Proposition 46 or a Mello-Roos Community Facilities District bond issue in the future, which have special Constitutional authority or are already subject to a 2/3 vote, although certain procedures and burdens of proof may be altered slightly. Any assessments, fees or charges levied or imposed by any assessment district created by the District will become subject to the election requirements of Proposition 218 as described above, a more elaborate notice and balloting process and other requirements. The District is unable to predict the nature of any future challenges to Proposition 218 or the extent to which, if any, Proposition 218 may be held to be unconstitutional.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C, Article XIII D and Propositions 98, 46 and 39 were each adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time, other initiative measures could be adopted, further affecting the District's revenues or their ability to expend revenues.

THE KERN COUNTY TREASURY POOL

The following information concerning the Kern County Treasury Pool (the "Investment Pool" or "Pool") has been provided by the Treasurer and has not been confirmed or verified by the District or the Original Purchaser. No representation is made herein as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof or that the information contained or incorporated hereby by reference is correct as of any time subsequent to its date.

Under the California Education Code, the District is required to pay all moneys received from any source into the County of Kern Treasury to be held on behalf of the District. The Pool consists of monies deposited with the Treasurer by County departments and agencies, school districts, certain non-County governmental agencies and special assessment districts. Most of the Pool's depositors are required by State law to invest their excess moneys in the Pool.

Each depositor is assigned a distinct fund number within the Investment Pool. Cash represented by the fund balances is commingled in a Pooled Cash Portfolio for investment purposes; no funds are segregated for separate investment. Investments are selected from those authorized by California Government Code Section 53635. Authorized investments include obligations of the United States Treasury, agencies of the United States government, federally sponsored enterprises, local and State bond issues, bankers acceptances, commercial paper of prime quality, collateralized and negotiable certificates of deposit, repurchase and reverse repurchase agreements, medium term corporate notes, shares of beneficial interest in diversified management companies (mutual funds), and asset backed (including mortgage related) and pass-through securities.

Each calendar year the Treasurer prepares an Annual Statement of Investment Policy (the "Investment Policy") that sets the framework for the investment practices relating to the County treasury. Legislation enacted in 1996 and effective January 1, 1997, requires that the Investment Policy be filed and approved by the Board in open session. Additionally, the Board must determine whether to delegate investment authority to the Treasurer each year. Failure to so delegate transfers investment responsibility to the Board itself. The Board of Supervisors approved the current Investment Policy as presented by the Treasurer and delegated investment responsibility to the Treasurer on December 6, 2016. Having been so approved, the Investment Policy may not be changed without Board approval.

The approved Investment Policy provides that the County's investment objectives are "safety and liquidity of all investments within the County investment pool, while obtaining a reasonable return within established investment guidelines." The Investment Policy provides that no more than 6% of the assets in the Pool can be invested in the securities of any single issuer other than the United States Treasury and agencies of the United States government. Investments in reverse repurchase agreements are limited to 10% of the total Pool and must always be matched in maturity to the reinvestment. Additionally, no investment will be made in any security whose coupon rate varies inversely with general credit market rates.

In accordance with California law, the Kern County Board of Supervisors created an eleven-member Treasury Oversight Committee (the “TOC”) on April 2, 1996. The statutory role of the TOC is to review the Investment Policy as prepared by the Treasurer and make recommendations to the Board, to monitor policy compliance as well as investment performance and to cause an annual independent audit to be performed. The TOC meets semi-annually to accomplish its tasks.

The following tables present information with respect to the Pool as of January 31, 2017. As described above, a wide range of investments is authorized under State law and the Investment Policy. Therefore, there can be no assurance that the investments in the Pool will not vary significantly from the investments described below. In addition, the value of various investments in the Pool will fluctuate on a daily basis as a result of several factors, including generally prevailing interest rates and other economic conditions. For further information concerning County investments, access the County’s website: <http://www.kcttc.co.kern.ca.us>.

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The following table identifies the types of securities held by the Pool as of January 31, 2017.

KERN COUNTY TREASURER – TAX COLLECTOR
Pooled Cash Portfolio Report
(as of January 31, 2017 – amounts in 1,000's)

<u>Asset</u>	<u>Par</u>	<u>Market</u>	<u>Cost</u>	<u>Yield to Maturity</u>	<u>Percent of Total Assets</u>	<u>Policy Limit</u>	<u>Days to Maturity</u>	<u>Effective Duration</u>
Local Agency Investment Fund	\$ 48,441	\$ 48,441	\$ 48,441	0.75%	1.64%	\$50,000	1	0.00
California Asset Management Program	122,310	122,310	122,310	0.86	4.15	10%	1	0.00
Money Market Accounts	18,493	18,493	18,493	0.55	0.63	50,000	1	0.00
U.S. Treasuries	20,000	19,912	19,849	0.88	0.67	100%	454	1.24
Federal Agencies	1,152,571	1,148,093	1,153,962	1.29	39.14	75%	868	2.11
Supranationals	75,000	74,579	75,218	1.56	2.55		1212	2.88
Negotiable CDs	600,000	599,636	600,024	0.96	20.35	10%	112	0.30
Commercial Paper	236,000	235,599	234,956	0.99	7.97	30%	58	0.16
Corporate Notes	606,401	608,491	618,395	1.34	20.97	40%	593	1.56
 Total Securities	 \$2,879,216	 \$2,875,553	 \$2,891,647	 1.16%	 98.07	 30%	 526	 1.33
 Cash in Banks	 \$ 58,822	 \$ 56,822	 \$ 56,822	 0.02	 1.93%	 –	 1	 1.00
 Total Assets	 \$2,936,038	 \$2,932,375	 \$2,948,469	 –	 100%	 –	 –	 –

Source: Kern County Treasurer.

The maturity distribution of the Pool's portfolio as of January 31, 2017, is presented in the following table.

COUNTY OF KERN
Treasury Pool Portfolio Liquidity
(As of January 31, 2017)

<u>Term to Maturity</u>	<u>% of Total</u>
0 – 366 days	47.58%
367 – 1,097 days	37.78
1,098 – 1,827 days	14.64

Source: Kern County Treasurer.

None of the District, the Financial Advisor or the Original Purchaser has made an independent investigation of the investments in the Pool nor have they made any assessment of the current County Investment Policy. The value of the various investments in the Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic conditions. Additionally, the Treasurer, with the consent of the Treasury Oversight Committee and the County Board of Supervisors, may change the County Investment Policy at any time. Therefore, there can be no assurance that the values of the various investments in the Pool will not vary significantly from the values described herein.

LEGAL OPINION

The legal opinion of Nixon Peabody LLP, Bond Counsel to the District ("Bond Counsel"), attesting to the validity of the Bonds, will be supplied to the original purchasers of the Bonds without charge. The form of legal opinion is attached hereto as APPENDIX B. Bond Counsel will receive compensation contingent upon the sale and delivery of the Bonds.

TAX MATTERS

Federal Income Taxes

The Internal Revenue Code of 1986, as amended (the "Code") imposes certain requirements that must be met subsequent to the issuance and delivery of the Bonds for interest thereon to be and remain excluded from gross income for federal income tax purposes. Noncompliance with such requirements could cause the interest on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issue of the Bonds. Pursuant to the Resolution and the Tax and Nonarbitrage Certificate executed by the District in connection with the issuance of the Bonds (the "Tax Certificate"), the District has covenanted to comply with the applicable requirements of the Code in order to maintain the exclusion of the interest on the Bonds from gross income for federal income tax purposes pursuant to Section 103 of the Code. In addition, the District has made certain representations and certifications in the Resolution and the Tax Certificate. Bond Counsel will not independently verify the accuracy of those representations and certifications.

In the opinion of Nixon Peabody LLP, Bond Counsel, under existing law and assuming compliance with the aforementioned covenant, and the accuracy of certain representations and certifications made by the District described above, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code. Bond Counsel is also of the opinion that such interest is not treated as a preference item in calculating the alternative minimum tax imposed under

the Code with respect to individuals and corporations. Interest on the Bonds is, however, included in the adjusted current earnings of certain corporations for purposes of computing the alternative minimum tax imposed on such corporations.

In rendering these opinions, Bond Counsel has relied upon representations and covenants of the District in the Tax Certificate concerning the property financed with Bond proceeds, the investment and use of Bond proceeds and the rebate to the federal government of certain earnings thereon. In addition, Bond Counsel has assumed that all such representations are true and correct and that the District will comply with such covenants. Bond Counsel has expressed no opinion with respect to the exclusion of the interest on the Bonds from gross income under Section 103(a) of the Code in the event that any of such District representations are untrue or the District fails to comply with such covenants, unless such failure to comply is based on the advice or the opinion of Bond Counsel.

State Taxes

Bond Counsel is also of the opinion that interest on the Bonds is exempt from personal income taxes of the State of California under present State law. Bond counsel expresses no opinion as to other state or local tax consequences arising with respect to the Bonds nor as to the taxability of the Bonds or the income therefrom under the laws of any state other than California.

Original Issue Discount

Bond Counsel is further of the opinion that the excess of the principal amount of any maturity of the Bonds over the price at which a substantial amount of such maturity of the Bonds was sold to the public (excluding bond houses, brokers or similar persons or organizations acting in the capacity of underwriters or wholesalers) (each, a “Discount Bond” and collectively, the “Discount Bonds”) constitutes original issue discount which is excluded from gross income for federal income tax purposes to the same extent as interest on the Bonds. Further, such original issue discount accrues actuarially on a constant interest rate basis over the term of each Discount Bond and the basis of each Discount Bond acquired at such initial offering price by an initial purchaser thereof will be increased by the amount of such accrued original issue discount. The accrual of original issue discount may be taken into account as an increase in the amount of tax-exempt income for purposes of determining various other tax consequences of owning the Discount Bonds, even though there will not be a corresponding cash payment. Owners of the Discount Bonds are advised that they should consult with their own advisors with respect to the state and local tax consequences of owning such Discount Bonds.

Original Issue Premium

Bonds sold at prices in excess of their principal amounts are “Premium Bonds.” An initial purchaser with an initial adjusted basis in a Premium Bond in excess of its principal amount will have amortizable bond premium which is not deductible from gross income for federal income tax purposes. The amount of amortizable bond premium for a taxable year is determined actuarially on a constant interest rate basis over the term of each Premium Bond based on the purchaser’s yield to maturity (or, in the case of Premium Bonds callable prior to their maturity, over the period to the call date, based on the purchaser’s yield to the call date and giving effect to any call premium). For purposes of determining gain or loss on the sale or other disposition of a Premium Bond, an initial purchaser who acquires such obligation with an amortizable bond premium is required to decrease such purchaser’s adjusted basis in such Premium Bond annually by the amount of amortizable bond premium for the taxable year. The amortization of bond premium may be taken into account as a reduction in the amount of tax-exempt income for purposes of determining various other tax consequences of owning such Bonds. Owners of the

Premium Bonds are advised that they should consult with their own advisors with respect to the state and local tax consequences of owning such Premium Bonds.

Ancillary Tax Matters

Ownership of the Bonds may result in other federal tax consequences to certain taxpayers, including, without limitation, certain S corporations, foreign corporations with branches in the United States, property and casualty insurance companies, individuals receiving Social Security or Railroad Retirement benefits, and individuals seeking to claim the earned income credit. Ownership of the Bonds may also result in other federal tax consequences to taxpayers who may be deemed to have incurred or continued indebtedness to purchase or to carry the Bonds. Prospective investors are advised to consult their own tax advisors regarding these rules.

Interest paid on tax-exempt obligations such as the Bonds is subject to information reporting to the Internal Revenue Service (“IRS”) in a manner similar to interest paid on taxable obligations. In addition, interest on the Bonds may be subject to backup withholding if such interest is paid to a registered owner that (a) fails to provide certain identifying information (such as the registered owner’s taxpayer identification number) in the manner required by the IRS, or (b) has been identified by the IRS as being subject to backup withholding.

Bond Counsel is not rendering any opinion as to any federal tax matters other than those described in the opinion attached as APPENDIX B. Prospective investors, particularly those who may be subject to special rules described above, are advised to consult their own tax advisors regarding the federal tax consequences of owning and disposing of the Bonds, as well as any tax consequences arising under the laws of any state or other taxing jurisdiction.

Changes in Law and Post Issuance Events

Legislative or administrative actions and court decisions, at either the federal or state level, could have an adverse impact on the potential benefits of the exclusion from gross income of the interest on the Bonds for federal or state income tax purposes, and thus on the value or marketability of the Bonds. This could result from changes to federal or state income tax rates, changes in the structure of federal or state income taxes (including replacement with another type of tax), repeal of the exclusion of the interest on the Bonds from gross income for federal or state income tax purposes, or otherwise. In this regard, there have been various proposals in recent years that would limit the extent of the exclusion from gross income of interest on obligations of states and political subdivisions under Section 103 of the Code for taxpayers whose income exceeds certain thresholds. It is not possible to predict whether any legislative or administrative actions or court decisions having an adverse impact on the federal or state income tax treatment of holders of the Bonds may occur. Prospective purchasers of the Bonds should consult their own tax advisors regarding the impact of any change in law on the Bonds. Bond Counsel has not undertaken to advise in the future whether any events after the date of issuance and delivery of the Bonds may affect the tax status of interest on the Bonds. Bond Counsel expresses no opinion as to any federal, state or local tax law consequences with respect to the Bonds, or the interest thereon, if any action is taken with respect to the Bonds or the proceeds thereof upon the advice or approval of other counsel.

BOND INSURANCE

Bond Insurance Policy

Concurrently with the issuance of the Bonds, Build America Mutual Assurance Company (“BAM”) will issue its Municipal Bond Insurance Policy (the “Policy”) for the Bonds maturing on

November 1 of the years 2029 through 2036, inclusive, with CUSIP numbers 057507KS3, 057507KT1, 057507KU8, 057507KV6, 057507KW4, 057507KX2, 057507KY0, 057507KZ7 (collectively, the “Insured Bonds”). The Policy guarantees the scheduled payment of principal of and interest on the Insured Bonds when due as set forth in the form of the Policy included as an exhibit to this Official Statement.

Build America Mutual Assurance Company

BAM is a New York domiciled mutual insurance corporation. BAM provides credit enhancement products solely to issuers in the U.S. public finance markets. BAM will only insure obligations of states, political subdivisions, integral parts of states or political subdivisions or entities otherwise eligible for the exclusion of income under section 115 of the U.S. Internal Revenue Code of 1986, as amended. No member of BAM is liable for the obligations of BAM.

The address of the principal executive offices of BAM is: 200 Liberty Street, 27th Floor, New York, New York 10281, its telephone number is: 212-235-2500, and its website is located at: www.buildamerica.com.

BAM is licensed and subject to regulation as a financial guaranty insurance corporation under the laws of the State of New York and in particular Articles 41 and 69 of the New York Insurance Law.

BAM’s financial strength is rated “AA/Stable” by S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“S&P”). An explanation of the significance of the rating and current reports may be obtained from S&P at www.standardandpoors.com. The rating of BAM should be evaluated independently. The rating reflects the S&P’s current assessment of the creditworthiness of BAM and its ability to pay claims on its policies of insurance. The above rating is not a recommendation to buy, sell or hold the Bonds, and such rating is subject to revision or withdrawal at any time by S&P, including withdrawal initiated at the request of BAM in its sole discretion. Any downward revision or withdrawal of the above rating may have an adverse effect on the market price of the Bonds. BAM only guarantees scheduled principal and scheduled interest payments payable by the issuer of the Bonds on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the Policy), and BAM does not guarantee the market price or liquidity of the Bonds, nor does it guarantee that the rating on the Bonds will not be revised or withdrawn.

Capitalization of BAM

BAM’s total admitted assets, total liabilities, and total capital and surplus, as of December 31, 2016 and as prepared in accordance with statutory accounting practices prescribed or permitted by the New York State Department of Financial Services were \$496.7 million, \$65.2 million and \$431.5 million, respectively.

BAM is party to a first loss reinsurance treaty that provides first loss protection up to a maximum of 15% of the par amount outstanding for each policy issued by BAM, subject to certain limitations and restrictions.

BAM’s most recent Statutory Annual Statement, which has been filed with the New York State Insurance Department and posted on BAM’s website at www.buildamerica.com, is incorporated herein by reference and may be obtained, without charge, upon request to BAM at its address provided above (Attention: Finance Department). Future financial statements will similarly be made available when published.

BAM makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading “BOND INSURANCE”.

Additional Information Available from BAM

Credit Insights Videos. For certain BAM-insured issues, BAM produces and posts a brief Credit Insights video that provides a discussion of the obligor and some of the key factors BAM’s analysts and credit committee considered when approving the credit for insurance. The Credit Insights videos are easily accessible on BAM’s website at buildamerica.com/creditinsights/. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Credit Profiles. Prior to the pricing of bonds that BAM has been selected to insure, BAM may prepare a pre-sale Credit Profile for those bonds. These pre-sale Credit Profiles provide information about the sector designation (e.g. general obligation, sales tax); a preliminary summary of financial information and key ratios; and demographic and economic data relevant to the obligor, if available. Subsequent to closing, for any offering that includes bonds insured by BAM, any pre-sale Credit Profile will be updated and superseded by a final Credit Profile to include information about the gross par insured by CUSIP, maturity and coupon. BAM pre-sale and final Credit Profiles are easily accessible on BAM’s website at buildamerica.com/obligor/. BAM will produce a Credit Profile for all bonds insured by BAM, whether or not a pre-sale Credit Profile has been prepared for such bonds. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

Disclaimers. The Credit Profiles and the Credit Insights videos and the information contained therein are not recommendations to purchase, hold or sell securities or to make any investment decisions. Credit-related and other analyses and statements in the Credit Profiles and the Credit Insights videos are statements of opinion as of the date expressed, and BAM assumes no responsibility to update the content of such material. The Credit Profiles and Credit Insight videos are prepared by BAM; they have not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for their content.

BAM receives compensation (an insurance premium) for the insurance that it is providing with respect to the Bonds. Neither BAM nor any affiliate of BAM has purchased, or committed to purchase, any of the Bonds, whether at the initial offering or otherwise.

LEGAL MATTERS

Continuing Disclosure

The District will covenant in its Continuing Disclosure Certificate to be executed on the date of delivery of the Bonds (the “Continuing Disclosure Certificate”), to file annual reports and notices of certain listed events (“Listed Events”) with the Municipal Securities Rulemaking Board. These covenants have been made in order to assist the Original Purchaser in complying with Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934, as amended (the “Rule”). The District’s obligations under the Continuing Disclosure Certificate with respect to continuing disclosure shall terminate upon payment in full of the Bonds. If such termination occurs or is deemed to occur prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a

Listed Event. The District regularly prepares a variety of reports, including audits, budgets and related documents. Any Owner of a Bond may obtain a copy of any such report, as available, from the District. The specific nature of the annual reports and notices of Listed Events respecting the Bonds is contained in APPENDIX D – “FORM OF CONTINUING DISCLOSURE CERTIFICATE.”

The District has previously entered into a number of undertakings to provide continuing disclosure (the “Previous Undertakings”). During the five-year period preceding the offering of the Bonds, the District failed to timely file its annual reports for the fiscal year 2014-15 with respect to its 2006 Election General Obligation Bonds, 2015 Series E and 2015 Series F. Additionally, the District failed to file rating change notices in a timely manner. A Notice of Failure to File was not filed for a few of these instances. The District has since remedied these prior discrepancies by filing all necessary reports and notices on EMMA. The District has been applying best practices going forward to comply with all previous undertakings related to continuing disclosure of information pursuant to the Rule.

Limitation on Remedies; Amounts Held in the County Treasury Pool

The opinion of Bond Counsel, the proposed form of which is attached hereto as APPENDIX B, is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor’s rights. The rights of the Owners of the Bonds are subject to certain limitations. Enforceability of the rights and remedies of the Owners of the Bonds, and the obligations incurred by the District, are limited by applicable bankruptcy, insolvency, reorganization, moratorium, and similar laws relating to or affecting the enforcement of creditors’ rights generally, now or hereafter in effect, equity principles that may limit the specific enforcement under State law of certain remedies, the exercise by the United States of America of the powers delegated to it by the Constitution, the reasonable and necessary exercise, in certain exceptional situations, of the police powers inherent in the sovereignty of the State and its governmental bodies in the interest of serving a significant and legitimate public purpose, and the limitations on remedies against school and community college districts in the State. Bankruptcy proceedings, if initiated, could subject the beneficial owners of the Bonds to judicial discretion and interpretation of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitation, or modification of their rights.

Under Chapter 9 of the Federal Bankruptcy Code (Title 11, United States Code) (the “Bankruptcy Code”), which governs the bankruptcy proceedings for public agencies, no involuntary petitions for bankruptcy relief are permitted. While current State law precludes school districts from voluntarily seeking bankruptcy relief under Chapter 9 of the Bankruptcy Code without the concurrence of the State, such concurrence could be granted or State law could be amended.

The Resolution and the Act require the County to annually levy *ad valorem* taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates), for the payment of the principal of, premium, if any, and interest on the Bonds. The County on behalf of the District is thus expected to be in possession of the annual *ad valorem* taxes and certain funds to repay the Bonds and may invest these funds in the County’s Investment Pool, as described in “THE KERN COUNTY TREASURY POOL” herein. In the event the District or the County were to go into bankruptcy, a federal bankruptcy court might hold that the Owners of the Bonds are unsecured creditors with respect to any funds received by the District or the County prior to the bankruptcy, where such amounts are deposited into the County Treasury Pool, and such amounts may not be available for payment of the principal of and interest on the Bonds unless the Owners of the Bonds can “trace” those funds. There can be no assurance that the Owners could successfully so “trace” such taxes on deposit in the Debt Service Fund where such amounts are invested in the County Treasury Pool. Under any such circumstances, there could be delays or reductions in payments on the Bonds.

California Senate Bill 222

On July 13, 2015, the Governor signed Senate Bill 222 (“SB 222”) into law, effective January 1, 2016. SB 222 was introduced on February 12, 2015, initially to amend Section 15251 of the California Education Code to clarify the process of lien perfection for general obligation bonds issued by or on behalf of California school and community college districts. Subsequently, on April 15, 2015, SB 222 was amended to include an addition to the California Government Code to similarly clarify the process of lien perfection for general obligation bonds issued by cities, counties, authorities and special districts, including the District.

SB 222, applicable to general obligations bonds issued after its effective date, removes the extra step between (a) the issuance of general obligation bonds by cities, counties, cities and counties, school districts, community college districts, authorities and special districts; and (b) the imposition of a lien on the future *ad valorem* property taxes that are the source of repayment of the general obligation bonds. By clarifying that the lien created with each general obligation bond issuance is a “statutory” lien (consistent with bankruptcy statutory law and case precedent), SB 222, while it does not prevent default, should reduce the ultimate bankruptcy risk of non-recovery on local general obligation bonds, and thus potentially improve ratings, interest rates and bond cost of issuance.

Special Revenues

If the District were to become a debtor in a Chapter 9 proceeding, because the Bonds are for the financing of specific capital projects and are supported by a consensual lien on *ad valorem* property taxes that are use-restricted to the repayment of the Bonds, the District believes that those taxes are “special revenues” as defined in the Bankruptcy Code, and thus there is a special revenue lien in favor of owners of the Bonds in addition to, and separate and independent of, the statutory lien created by SB 222. In comparison to other consensual pledges and liens arising by agreement (that are all made ineffective post-bankruptcy by Section 552 of the Bankruptcy Code), special revenues acquired by a municipality during a Chapter 9 case will remain subject to the lien that arose from the security agreement entered into prior to the beginning of the case, and will survive the conclusion of the Chapter 9 proceeding. In addition, the automatic stay arising upon the filing of the bankruptcy petition does not stay the application of those special revenues to payment of the bonds secured by such special revenues. Thus, regularly scheduled payments of principal and interest to Owners of the Bonds likely would continue under 11 U.S.C. §922(d) throughout any bankruptcy proceeding.

Based on the foregoing, if the District were to become a debtor in a Chapter 9 proceeding, the District believes that: the *ad valorem* property taxes could not be used for any other purpose other than repayment of the Bonds; the *ad valorem* property taxes should be determined to be special revenues in a Chapter 9 proceeding, and thus Owners of the Bonds would ordinarily continue to be paid post-petition; and the *ad valorem* property taxes are also protected by a statutory lien in favor of the bondholders. It should be noted, however, that it is possible – in the context of confirming a Plan of Adjustment (the “Plan”) in a Chapter 9 case where the Plan has not received the requisite consent of the holders of the Bonds – a bankruptcy court may confirm a Plan that adjusts the timing of payments on the Bonds or the interest rate or other terms of the Bonds provided that (a) the Bondholders retain their lien on the revenues subject to the statutory and/or special revenues lien, (b) the payment stream has a present value equal to the value of the revenues subject to the lien(s) and (c) the bankruptcy court finds that these and any other adjustments to the Bonds’ terms are fair and equitable.

The Resolution and the State Government Code require the County to annually levy *ad valorem* taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates), for the payment of the principal of,

premium, if any, and interest on the Bonds. The County on behalf of the District is thus expected to be in possession of the annual *ad valorem* taxes and certain funds to repay the Bonds and may invest these funds in the County's Treasury Pool, as described in "THE KERN COUNTY TREASURY POOL" herein. In the event the District or the County were to go into bankruptcy, a federal bankruptcy court might hold that the Owners of the Bonds are unsecured creditors with respect to any funds received by the District or the County prior to the bankruptcy, where such amounts are deposited into the County Treasury Pool, and such amounts may not be available for payment of the principal of and interest on the Bonds unless the Owners of the Bonds can "trace" those funds. There can be no assurance that the Owners could successfully so "trace" such taxes on deposit in the Debt Service Fund where such amounts are invested in the County Treasury Pool. Under any such circumstances, there could be delays or reductions in payments on the Bonds.

LEGALITY FOR INVESTMENT

Under provisions of the California Financial Code, the Bonds are legal investments for commercial banks in California to the extent that the Bonds, in the informed opinion of the investing bank, are prudent for the investment of funds of depositors. Under provisions of the California Government Code, the Bonds are eligible to secure deposits of public moneys in California.

RATINGS

S&P Global Ratings, a Standard and Poor's LLC business ("S&P") is expected to assign a municipal bond rating of "AA" to the Insured Bonds based upon the issuance of the insurance policy by BAM at the time of the delivery of the Insured Bonds. S&P and Moody's Investors Services ("Moody's") have assigned underlying ratings of "A+" and "Aa2," respectively, to the Bonds. Such ratings reflect only the views of S&P and Moody's, respectively, and an explanation of the significance of such ratings may be obtained as follows: S&P, 55 Water St., New York, New York 10041, tel. (212) 208-8000 and Moody's, at 7 World Trade Center at 250 Greenwich Street, New York, New York 10007, tel. (212) 553-0300. The District furnished such rating agency with certain information and materials relating to the Bonds that have not been included in this Official Statement. Generally, rating agencies base their ratings on the information and materials so furnished and on investigations, studies and assumptions by rating agencies. There is no assurance that such ratings will continue for any given period of time or that it will not be revised downward or withdrawn entirely if, in the judgment of the rating agencies, circumstances so warrant. The District has not undertaken any responsibility to bring to the attention of the owners of the Bonds any proposed revision or withdrawal of a rating of the Bonds or to oppose any such proposed revision or withdrawal. Any such downward revision or withdrawal of such ratings may have an adverse effect on the market price of the Bonds.

UNDERWRITING

J.P. Morgan Securities LLC, as Original Purchaser (the "Original Purchaser"), has agreed to purchase the Bonds from the District at the purchase price of \$22,929,126.94 (being the initial principal issue amount of the Bonds, plus net original issue premium of \$1,071,098.70, and less an underwriter's discount), at the rates and yields shown on the inside cover hereof.

The Original Purchaser intends to offer the Bonds to the public at the offering prices set forth on the inside cover page of this Official Statement. The Original Purchaser may, however, offer and sell Bonds to certain dealers and others at prices lower than the offering prices stated on the inside cover page of this Official Statement. The offering prices may be changed from time to time by the Original Purchaser.

NO LITIGATION

The District is not aware of any litigation pending or threatened questioning the political existence of the District or contesting the District's ability to receive *ad valorem* taxes or to collect other revenues or contesting the District's ability to issue the Bonds.

FINANCIAL ADVISOR

Fieldman, Rolapp & Associates (the "Financial Advisor") is employed as Financial Advisor to the District in connection with the issuance of the Bonds. The Financial Advisor's fee for services rendered with respect to the sale of the Bonds is contingent upon the issuance and delivery of the Bonds. Fieldman, Rolapp & Associates, in its capacity as Financial Advisor, does not assume any responsibility for the information, covenants and representations contained in any of the legal documents with respect to the federal income status of the Bond, or the possible impact of any present, pending or future actions taken by any legislative or judicial bodies.

OTHER INFORMATION

References are made herein to certain documents, reports, statutes, and constitutional provisions which are brief summaries thereof, and which do not purport to be complete, comprehensive or definitive, and are qualified in their entireties by reference each such document, report, statute and constitutional provision. Reference is made to such documents, reports, statutes, and constitutional provisions for full and complete statements of the contents thereof. Additional information concerning the District and copies of the most recent and subsequent audited financial statements of the District and the Resolution may be obtained by contacting: Bakersfield City School District, 1300 Baker Street, Bakersfield, California 93305, Attention: Superintendent. The District may impose a fee for copying, shipping and handling.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not be construed as a contract or agreement between the District and the purchasers or Owners of any of the Bonds.

The execution and delivery of this Official Statement has been duly authorized by the District.

BAKERSFIELD CITY SCHOOL DISTRICT

By: /s/ Steve McClain
Assistant Superintendent, Business Services

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APPENDIX A

THE DISTRICT

Prospective purchasers of the Bonds should be aware that the following discussion of the financial condition of the Bakersfield City School District (the “District”), its fund balances, budgets and obligations, is intended as general information only, and no implication is made that the payment of principal of or interest on the Bonds is dependent in any way upon the District’s financial condition. The District neither receives nor accounts for ad valorem property tax revenues collected by the County of Kern (the “County”) to pay debt service on the Bonds (or its other general obligation bonds) in the following tables or in its annual financial statements. Pursuant to Section 15251 of the California Education Code, all tax revenues collected for payment of debt service on the Bonds must be deposited into the debt service fund of the District. The Bonds are and will continue to be payable solely from ad valorem taxes levied and collected by the County within the boundaries of the District. See the body of this Official Statement under the caption “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS.”

This Appendix A provides information concerning the operations and finances of the District. The Bonds are general obligation bonds of the District, secured and payable from ad valorem property taxes assessed on taxable properties within the District. The Bonds are not an obligation of the County, the State of California (the “State”) or any of its other political subdivisions or of the general fund of the District. See “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS” in the forepart of this Official Statement.

General

The District, established in 1882, is located in the southern San Joaquin Valley in the County, approximately 110 miles north of Los Angeles and approximately 120 miles east of San Luis Obispo. The District encompasses approximately 158 square miles, and provides kindergarten through eighth grade education services in 33 elementary schools, 9 middle schools and junior high schools and two alternative sites for special education. Fiscal year 2015-16 enrollment in the District was 30,222 students with an average daily attendance (“ADA”) of 28,753. For fiscal year 2016-17, the District predicts enrollment of 30,372 students and an ADA of 28,896.

Unless otherwise indicated, the following financial, statistical and demographic data has been provided by the District. Additional information concerning the District and copies of the most recent and subsequent audited financial statements of the District may be obtained by contacting: Bakersfield City School District, 1300 Baker Street, Bakersfield, California 93305, Attention: Superintendent.

District Organization

The District is governed by a Board of Education (the “Board”). The Board consists of five members who are elected at-large to overlapping four-year terms at elections held in staggered years. If a vacancy arises during any term, the vacancy is filled by either an appointment by the majority vote of the remaining Board members or by a special election. The years in which the current terms for each member of the Board expire are set forth below:

BOARD OF EDUCATION

<u>Name</u>	<u>Office</u>	<u>Term Expires (November)</u>
Lillian Tafoya	President	2020
Dr. Raymond J. Gonzales	President Pro Tem	2020
Pam Baugher	Clerk	2018
Dr. Fred L. Haynes	Clerk Pro Tem	2020
Russ Shuppert	Member	2018

Unless otherwise indicated, the following financial, statistical and demographic data has been provided by the District.

Key Personnel

The Superintendent of Schools of the District is appointed by the Board and reports to the Board. The Superintendent is responsible for management of the District's day-to-day operations and supervises the work of other key District administrators.

Doc Ervin, Superintendent. Mr. Ervin joined the District as Superintendent in 2016. He has served over 20 years in public education, having previously served as a classroom teacher, school principal, Assistant Superintendent and Superintendent at various school districts in the State. Mr. Ervin has dedicated his career to bringing equity and access to economically disadvantaged students from culturally diverse backgrounds and ensuring that high expectations lead to increasing student achievement for every student, in every classroom, every year. Mr. Ervin, who is fluent in Spanish, received both his Bachelor of Arts Degree in Liberal Studies and his Master in Science in Education Administration from Alliant International University, and his Administrative Credential from California State University, Fullerton.

Steve McClain, Assistant Superintendent, Business Services. Mr. McClain has over 20 years of public education experience. Prior to starting with the District, Mr. McClain worked in the private sector for eight years and then with the Kern County Superintendent of Schools for eight years. He was hired by the District in 2004 and became the Chief Business Official (now titled Assistant Superintendent, Business Services) in 2008 after completing the California State University Bakersfield Chief Business Officer Program. Mr. McClain holds a Bachelor's Degree in Business Administration and Accounting from California State University, Long Beach. Mr. McClain has also been a certified public accountant since 1990 and a CASBO Certified Chief Business Official since 2008.

District Growth

The table below sets forth the enrollment and ADA for the District for the fiscal years 2011-12 through 2015-16 and estimates for fiscal years 2016-17 through 2018-19.

**BAKERSFIELD CITY SCHOOL DISTRICT
ENROLLMENT AND AVERAGE DAILY ATTENDANCE
FISCAL YEARS 2011-2012 THROUGH 2018-19⁽¹⁾**

<u>Fiscal Year</u>	<u>Enrollment</u>	<u>ADA</u>
2011-12	28,321	26,724.74
2012-13	28,987	27,304.11
2013-14	29,684	28,130.51
2014-15	30,076	28,574.23
2015-16	30,222	28,752.88
2016-17	30,372	28,895.92
2017-18 ⁽¹⁾	30,520	29,038.63
2018-19 ⁽¹⁾	30,672	29,181.34

⁽¹⁾ Estimates based on the District's 2016-17 Budget.
Source: The District.

Population

The population of the County and the State is set forth in the following tables.

**POPULATION OF THE
COUNTY AND STATE⁽¹⁾**

<u>Calendar Year⁽²⁾</u>	<u>Kern County</u>	<u>State</u>
2009	825,503	36,966,713
2010	839,631	37,253,956
2011	844,480	37,427,946
2012	851,643	37,680,593
2013	861,646	38,030,609
2014	868,610	38,357,121
2015	874,264	38,714,725
2016	886,507	39,255,883

⁽¹⁾ Population figures for the City of Rosamond are unavailable.

⁽²⁾ Figures as of January of the year indicated.

Source: California State Department of Finance.

District Employees

In fiscal year 2015-16, the District employed approximately 1,786 full-time and part-time certificated academic professionals as well as 1,608 full-time and part-time classified employees.

Certificated employees are represented by the Bakersfield Elementary Teachers Association ("BETA"). The certificated employees' contract with BETA expires on June 30, 2018. The skilled trades employees of the District have assigned the Laborers' International Union of North America, Local 777, ("LIUNA") as their exclusive bargaining agent. The skilled trades employees' contract with LIUNA expires on June 30, 2018. Classified employees are represented by California School Employees Association ("CSEA"). The classified employees' contract with CSEA expires on June 30, 2017.

Pension Plans

The District participates in the State of California Teachers Retirement System (“STRS”) which provides retirement benefits to certificated personnel. The District contributed \$11,093,648 to STRS in fiscal year 2014-15 and \$14,295,169 in fiscal year 2015-16. The District estimates a contribution of \$28,587,175 in fiscal year 2016-17.

The District also participates in the State of California Public Employees’ Retirement System (“PERS”) which provides retirement benefits to classified personnel. The District contributed \$5,073,858 to PERS in fiscal year 2014-15 and \$5,595,312 in fiscal year 2015-16. The District estimates a contribution of \$6,769,258 in fiscal year 2016-17.

The District also contributes to the Self-Insured Schools of California (“SISC”) Defined Benefit Plan, a cost-sharing multiple-employer public employee retirement system defined benefit pension plan for all part-time, temporary, and seasonal employees. The District’s contributions to the SISC Defined Benefit Plan for fiscal years 2013-14, 2014-15 and 2015-16 were \$119,504, \$118,870 and \$145,520 respectively, and equal 100% of the required District contributions.

The information set forth below regarding STRS and PERS has been obtained from publicly available sources and has not been independently verified by the District or the Financial Advisor, is not guaranteed as to the accuracy or completeness of the information and is not to be construed as a representation by the District or the Financial Advisor. Furthermore, the summary data below should not be read as current or definitive, as recent gains or losses on investments made by the retirement systems generally may have changed the unfunded actuarial accrued liabilities.

Both CalPERS and STRS are operated on a statewide basis. District contribution rates to CalPERS can vary annually depending on changes in actuarial assumption and other factors, such as liability. Both CalPERS and STRS have substantial State unfunded actuarial liabilities. CalPERS may issue certain pension obligation bonds to reach funded status. (Additional funding of STRS by the State and the inclusion of adjustments to such State contributions based on consumer price changes were provided for in 1979 Statutes, Chapter 282.) The amounts of the pension/award benefit obligation (CalPERS) or actuarially accrued liability (STRS) will vary from time to time depending upon actuarial assumptions, rates of return on investments, salary scales, and levels of contribution. The District is unable to predict what the amount of liabilities will be in the future, or the amount of the contributions which the District may be required to make.

Unlike typical defined benefit programs, however, neither the STRS employer nor the State contribution rate varies annually to make up funding shortfalls or assess credits for actuarial surpluses. However, in recent years, the combined employer, employee and State contributions to STRS have not been sufficient to pay actuarially required amounts. As a result, and due to significant investments losses, the unfunded actuarial liability of STRS has increased significantly. The District is unable to predict what the STRS program liabilities will be in the future.

In order to address STRS funding inadequacies, the Governor signed Assembly Bill 1469 (“AB 1469”), which sets forth a plan of shared responsibility among the State, school districts and teachers to shore up STRS. The first year’s increased contributions from all three entities are approximately \$275 million. The contributions would increase in subsequent years, reaching more than \$5 billion annually. Total contributions from all three entities today equal 19.3 percent of teacher payroll at an average school district and would rise to 35.7 percent. Contributions from school districts and community colleges are presently at 12.58 percent for fiscal year 2016-17, and would increase to 19.10 percent by July 1, 2020. Governor Brown expects that this would eliminate the unfunded liability in approximately 30 years.

STATE OF CALIFORNIA
ACTUARIAL VALUE OF STATE RETIREMENT SYSTEMS⁽¹⁾

Name of Plan	Excess of Actuarial Value of Assets Over Actuarial Accrued Liabilities (Unfunded Actuarial Accrued Liability)
Public Employees' Retirement Fund Schools (CalPERS) ⁽²⁾	\$16.5 billion ⁽³⁾
State Teachers' Retirement Fund Defined Benefit Program (STRS) ⁽⁴⁾	\$(76.20) billion ⁽³⁾

⁽¹⁾ Updated numbers expected on or about March 2017.

⁽²⁾ As of June 30, 2015, the CalPERS provided pension benefits to 1,204,621 active and inactive program members and 611,078 retirees, beneficiaries, and survivors.

⁽³⁾ Figure as of June 30, 2015; schools portion only.

⁽⁴⁾ As of June 30, 2015, the CalSTRS Defined Benefit Program had approximately 613,856 active and inactive program members and 282,100 retirees and benefit recipients.

Source: CalPERS State and Schools Actuarial Valuation and STRS Defined Benefit Program Actuarial Valuation.

In addition, AB 1469 provides the State Teachers Retirement Board with authority to modify the percentages paid by employers and employees for fiscal year 2021-22 and each fiscal year thereafter with the goal of eliminating the CalSTRS unfunded liability by June 30, 2046. The State Teachers Retirement Board would also have authority to reduce employer and State contributions if they are no longer necessary.

Pursuant to AB 1469, contribution rates for the State's K-14 districts will increase through fiscal year 2020-21 as shown in the following table. Beginning fiscal year 2021-22, employer contribution rates will be set each year by the STRS board to reflect the contribution required to eliminate unfunded liabilities by June 30, 2046:

Effective Date (July 1)	School District Contribution Rate
2016	12.58%
2017	14.43
2018	16.28
2019	18.13
2020	19.10

Source: Assembly Bill 1469.

At its December 21, 2016, meeting, the CalPERS Board of Administration approved lowering the CalPERS discount rate assumption, the long-term rate of return, from 7.50% to 7.00% over the next three years. This will increase public agency employer contribution costs beginning in Fiscal Year 2018-19.

The phase-in of the discount change approved by the CalPERS Board of Administration for fiscal year 2018-19 through 2020-21 is as follows:

<u>Fiscal Year</u>	<u>Discount Rate</u>
2018-19	7.375%
2019-20	7.250
2020-21	7.000

Source: CalPERS Actuarial Circular Letter, dated January 19, 2017.

Lowering the discount rate means plans will see increases in both the normal costs (the cost of pension benefits accruing in one year for active members) and the accrued liabilities. CalPERS reports that these increases will result in higher required employer contributions.

CalPERS employs an amortization and smoothing policy that pays for all gains and losses over a fixed 30-year period with the increases or decreases in the rate spread directly over a 5-year period. This amortization and smoothing policy was used for the first time in the June 30, 2014 actuarial valuations. These valuations were performed in early 2015 and set employer contribution rates for the fiscal year 2015-16. Prior to this change, CalPERS employed an amortization and smoothing policy which spread investment returns over a 15-year period with experience gains and losses paid for over a rolling 30-year period. In February 2014, the CalPERS Board adopted new actuarial demographic assumptions that take into account public employees living longer and modified the asset allocation. The District cannot predict how these changes will affect its contribution levels.

STRS and PERS each issue separate comprehensive annual financial reports that include financial statements and required supplementary information. Copies of the STRS annual financial report may be obtained from www.calstrs.com or by written request mailed to STRS, P.O. Box 15275, Sacramento, California 95851-0275, and copies of the PERS annual financial report may be obtained from www.calpers.ca.gov or by written request mailed to the CalPERS Financial Services Division, P.O. Box 942703, Sacramento, California 94229-2703. The information presented in those reports is not incorporated by reference in this Official Statement.

The District is unable to predict what the amount of liabilities will be in the future, or the amount of future contributions that the District may be required to pay. See APPENDIX C – “AUDITED FINANCIAL STATEMENTS OF THE DISTRICT FOR FISCAL YEAR 2015-16 for additional information concerning STRS and PERS contained in the notes to said financial statements.

Pension Reform Act of 2013 (Assembly Bill 340)

On September 12, 2012, Governor Brown signed AB 340, a bill that will enact the California Public Employees’ Pension Reform Act of 2013 (“PEPRA”) which amended various sections of the California Education and Government Codes. AB 340 (i) increases the retirement age for new State, school, and city and local agency employees depending on job function, (ii) caps the annual PERS and STRS pension benefit payouts, (iii) addresses abuses of the system, and (iv) requires State, school, and certain city and local agency employees to pay at least half of the costs of their PERS pension benefits. PEPRA will apply to all public employers except the University of California, charter cities and charter counties (except to the extent they contract with PERS.)

The provisions of AB 340 went into effect on January 1, 2013 with respect to new State, school, and city and local agency employees hired on that date and after; existing employees who are members of

employee associations, including employee associations of the District, will have a five-year window to negotiate compliance with AB 340 through collective bargaining. If no deal is reached by January 1, 2018, a city, public agency or school district could require employees to pay their half of the costs of PERS pension benefits, up to 8 percent of pay for civil workers and 11 percent or 12 percent for public safety workers.

PERS has predicted that the impact of AB 340 on employers, including the District and other employers in the STRS system, and employees will vary, based on each employer's current level of benefits. To the extent that the new formulas lower retirement benefits, employer contribution rates could decrease over time as current employees retire and employees subject to the new formulas make up a larger percentage of the workforce. This change would, in some circumstances, result in lower retirement benefits than employees currently earn. Additionally, PERS has noted that AB 340 changes may have an adverse impact on public sector recruitment in areas that have historically experienced recruitment challenges due to higher pay for similar jobs in the private sector.

With respect to STRS, for employees hired after January 1, 2013, future members will pay the greater of either (1) at least 50 percent of the cost of their retirement plan, rounded to the nearest one-quarter percent, or (2) the contribution rate paid by current members. The member contribution rate could be increased from this level through collective bargaining or may be adjusted based on other factors. Public employers will pay at least the normal cost rate, after subtracting the member's contribution. The District is unable to predict the amount of future contributions it will make to STRS as a result of the implementation of AB 340 (being its future contributions for the normal costs of new employees), and as a result of negotiations with its employee associations, or, notwithstanding the adoption of AB 340, resulting from any legislative changes regarding STRS employer contributions that may be adopted in the future.

More information about AB 340 can be accessed through the PERS's web site at www.calpers.ca.gov and through the STRS website at www.calstrs.com. The references to these internet websites are shown for reference and convenience only; the information contained within the websites may not be current and has not been reviewed by the District and is not incorporated herein by reference. The District is unable to predict what the amount of State pension liabilities will be in the future, or the amount of the contributions which the District may be required to make. See APPENDIX C – "AUDITED FINANCIAL STATEMENTS OF THE DISTRICT FOR FISCAL YEAR 2015-16 for additional information concerning STRS and PERS contained in the notes to said financial statements.

Other Post-Employment Benefits ("OPEB")

In addition to the retirement plan benefits with STRS and PERS, the District provides certain post-retirement healthcare benefits, in accordance with District employment contracts. The District's health care plan (the "Plan") is a single-employer defined benefit healthcare plan administered by the District to provide health benefits to eligible retirees. The required contribution is based on projected pay-as-you-go financing requirements. Membership of the Plan consists of 285 retirees currently receiving benefits and 2,581 active members. It excludes employees hired after the beginning of the 2014-15 school year. The District provides employer paid medical benefits to eligible retirees and their eligible dependents from age 55 through age 65 up to an annual maximum. Eligibility for retiree health benefits requires at least 10 years of consecutive full-time service for those employees hired prior to June 1, 2007, or 10 years of consecutive full-time service at retirement for those employees hired after June 1, 2007. For fiscal year 2014-15, the District contributed \$4,738,573 to the Plan. For fiscal year 2015-16, the District contributed \$4,866,731 to the Plan, and for fiscal year 2016-17, the District expects to contribute \$4,921,464 to the Plan. These contributions are based on the actual cash contributions made by the District, and do not take into account the implicit rate subsidy factor. Please see Note 10 to the District's

Audited Financial Statements, attached as APPENDIX C hereto, for the annual required contributions including the implicit rate subsidy factor.

Demsey, Filliger and Associates, has prepared an actuarial valuation covering the District's retiree health benefits and reports that, as of July 1, 2014, the District had an actuarial liability of \$67,902,493, and that if the District were to place this amount in a fund earning interest at the rate of 4.0% per year, and all other actuarial assumptions were exactly met, the fund would have exactly enough to pay all expected benefits. The District's actuarial liability of \$67,902,493 is apportioned into a past service liability of \$67,902,493 as of July 1, 2014, comprised of a liability of \$45,202,157 for active employees and \$22,700,336 for retirees. Because the District has not contributed to an irrevocable trust for the pre-funding of retiree healthcare benefits, the Unfunded Accrued Liability is also \$67,902,493.

According to such valuation, the District's annual required contribution was \$7,575,876 for fiscal 2014-15. The District's net OPEB obligation was \$11,589,816 as of June 30, 2014, \$12,944,419 as of June 30, 2015, and \$14,106,611 as of June 30, 2016. Certain assumptions incorporated in such actuarial valuation include a 4.0% discount rate, a 4.0% return on assets, and various other assumptions.

The Governmental Accounting Standards Board (the "GASB") released its Statement Number 45 ("Statement Number 45"), which requires municipalities to account for OPEB (meaning other than pension benefits) liabilities much like municipalities are required to account for pension benefits. The expense is generally accrued over the working career of employees, rather than on a pay-as-you-go basis, which has been the practice for most municipalities and public sector organizations. OPEBs generally include post-employment health benefits (medical, dental, vision, prescription drug and mental health), life insurance, disability benefits and long term care benefits. Statement Number 45 was phased in over a three-year period based upon the entity's revenues.

Statement Number 45 explicitly incorporates Actuarial Standards of Practice ("ASOPs"). There was a recent change to ASOPs No. 6 ("ASOP 6") requiring reflection of "implicit subsidies" in OPEB costs and projections. "Implicit subsidies" refers to an indirect cost sharing feature of OPEB plans. Using unadjusted flat-rate premiums as a cost basis for accounting was previously acceptable under GASB 45 when the health plans are considered "community-rated." Community-rated plans have premium levels determined without adjustment for the demographics of an individual employer buying coverage. Although these subsidies were previously allowed to be excluded, the changes to ASOP 6 eliminated the community-rated exemption. As a result, the District is required to reflect these implicit subsidies in its OPEB liability accounting beginning with fiscal year 2016-17.

For additional information about the District's Plan, as well as information regarding a previous actuarial valuation, see District's financial statements attached hereto as APPENDIX C. A copy of the latest actuarial valuation is available upon request from the District at the address listed on the first page of the forepart of this Official Statement. The District may impose a charge for copying, handling and mailing such requested documents.

GASB 67 and 68

On June 25, 2012, GASB voted to approve two new standards that aimed to improve the accounting and financial reporting of public employee pensions by state and local governments. Statement No. 67, Financial Reporting for Pension Plans, revised existing guidance for the financial reports of most pension plans. Statement No. 68, Accounting and Financial Reporting for Pensions, revised and established new financial reporting requirements for most governments that provide their employees with pension benefits.

Statement 67 replaces the requirements of Statement No. 25, Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans and Statement 50, Pension Disclosures as they relate to pension plans that are administered through trusts or similar arrangements meeting certain criteria. Statement 67 builds upon the existing framework for financial reports of defined benefit pension plans, which includes a statement of fiduciary net position (the amount held in a trust for paying retirement benefits) and a statement of changes in fiduciary net position. Statement 67 enhances note disclosures and RSI for both defined benefit and defined contribution pension plans. Statement 67 also requires the presentation of new information about annual money-weighted rates of return in the notes to the financial statements and in 10-year required supplementary information schedules.

Statement 68 replaces the requirements of Statement No. 27, Accounting for Pensions by State and Local Governmental Employers and Statement No. 50, Pension Disclosures, as they relate to governments that provide pensions through pension plans administered as trusts or similar arrangements that meet certain criteria. Statement 68 requires governments providing defined benefit pensions to recognize their long-term obligation for pension benefits as a liability for the first time, and to more comprehensively and comparably measure the annual costs of pension benefits. The Statement also enhances accountability and transparency through revised and new note disclosures and required supplementary information.

The provisions in Statement 67 became effective for financial statements for periods beginning after June 15, 2013. The provisions in Statement 68 became effective for fiscal years beginning after June 15, 2014.

Insurance

The District maintains insurance or self-insurance in such amounts and with such retentions and other terms providing coverages for property damage, fire and theft, general public liability and worker's compensation as are adequate, customary and comparable with such insurance maintained by similarly situated elementary school districts. The District also participates in three joint ventures under joint powers agreement: Self Insured Schools of California I, Self Insured Schools of California II and Self Insured Schools of California III (collectively, the "JPAs"). The JPAs arrange for and provide workers' compensation, property and liability and health insurance coverage to member districts. In addition, based upon prior claims experience, the District believes that the recorded liabilities for self-insured claims are adequate.

Financial Statements of the District

The following information, concerning the operations and finances of the District is not intended to and does not suggest that the Bonds are secured by the general revenues or General Fund of the District, nor is the County obligated in any way with respect to the Bonds. The Bonds are general obligation bonds of the District, secured and payable solely from ad valorem property taxes collected against taxable properties within the boundaries of the District. Prospective purchasers of the Bonds should be aware that the following discussion of the District's financial condition, its fund balances, budgets and other obligations is intended as general information only, and no implication is made the payment of principal of or interest on the Bonds is dependent in any way upon the District's financial condition. The District neither receives nor accounts for ad valorem property taxes collected by the County to pay debt service on the Bonds. Pursuant to Section 15241 of the California Education Code, all tax revenues collected for payment of debt service on general obligation bonds, including the Bonds, must be deposited into the debt service fund of the District maintained within the County Treasury Pool. See the body of this Official Statement under the caption "SECURITY AND SOURCES OF PAYMENT FOR THE BONDS."

The General Fund of the District, as shown herein, is a combined fund comprised of moneys which are unrestricted and available to finance the legally authorized activities of the District not financed by restricted funds and moneys which are restricted to specific types of programs or purposes. General Fund revenues are derived from such sources as State of California (the "State") fund apportionments, taxes, use of money and property, and aid from other governmental agencies.

The District's financial statements are prepared on a modified accrual basis of accounting in accordance with generally accepted accounting principles as set forth by the Governmental Accounting Standards Board.

Funds used by the District are categorized as follows:

<u>Governmental Funds</u>	<u>Fiduciary Funds</u>	<u>Proprietary Funds</u>
General Fund	Agency Funds	Internal Service Funds
Special Revenue Funds		
Debt Service Funds		
Capital Project Funds		

The financial statements included herein were prepared by the District using information from the Annual Financial Reports which are prepared by the District and audited by independent certified public accountants each year. The District's audited financial statements for fiscal year 2015-16 are attached hereto as APPENDIX C. The District has not requested its auditor to provide any review or update of such financial statements in connection with their inclusion in this Official Statement. Certain information from the District's financial statements follows.

General Fund

The following table describes the District's audited financial results for the General Fund for fiscal years 2012-13 through 2015-16.

	Audited 2012-13	Audited 2013-14	Audited 2014-15	Audited 2015-16
Revenues				
Revenue Limit Sources ⁽¹⁾	\$140,536,715	\$196,175,207	\$228,323,309	\$267,192,019
Federal Revenue	26,963,188	25,708,072	26,274,947	26,171,829
Other State Revenue	65,370,123	34,624,668	32,216,913	54,566,174
Other Local Revenue	1,694,248	1,888,703	3,542,262	2,609,996
Total Revenues	<u>\$234,564,274</u>	<u>\$258,396,650</u>	<u>\$290,357,431</u>	<u>\$350,540,018</u>
Expenditures				
Certificated Salaries	\$110,781,563	\$117,376,794	\$126,792,327	\$135,725,960
Classified Salaries	34,096,630	36,194,412	41,499,281	45,666,256
Employee Benefits	60,318,636	61,606,688	67,486,898	83,431,795
Books and Supplies	10,836,569	19,645,868	26,514,123	24,722,367
Services and operating expenditures	19,060,939	19,114,263	23,650,318	27,185,044
Capital Outlay	2,351,958	10,660,890	3,977,105	8,694,163
Other outgo	521,526	783,582	(221,592)	(87,668)
Direct/Indirect Costs	(660,651)	(865,727)	—	—
Total Expenditures	<u>\$237,307,170</u>	<u>\$264,516,770</u>	<u>\$289,698,460</u>	<u>\$325,337,917</u>
Excess (Deficiency) of Revenues Over Expenditures	(2,742,896)	(6,120,120)	658,971	25,202,101
Other Financing Sources (Uses)				
Operating Transfers In	—	—	—	—
Operating Transfers Out	—	2,038,778	1,000,000	5,038,479
Total Other Financing Sources (uses)	—	(2,038,778)	(1,000,000)	(5,038,479)
Net Changes in Fund Balances	(2,742,896)	(8,158,898)	(341,029)	20,163,622
Beginning Fund Balances, July 1	72,797,815	70,054,919	61,896,021	61,554,992
Ending Fund Balances, June 30	\$70,054,919	\$61,896,021	\$61,554,992	\$81,718,614

Source: The District.

District Revenues

The District's General Fund is used to account for the day-to-day operations of the District. The General Fund is divided into two sections: unrestricted and restricted. Unrestricted revenue may be spent at the District's discretion. Restricted funds are moneys that can only be used for the purposes allowed by the funding agency.

Other state Revenues, or categorical funds, consist primarily of restricted revenues that fund specific items, such as new curriculum and technology, special education programs, instructional materials, and mentor teachers.

Common Core Block Grant. Approved in March 7, 2012, by the California State Board of Education, the Common Core State Standards ("Common Core") requires the adoption of new curriculum and the development of technology. The District has developed its own plan for Common Core systems implementation based on local needs and resources.

The 2013-14 State Budget included provisions for block grants toward the implementation of Common Core. The Common Core block grants can be used for professional development for teachers and other employees involved in the direct instruction of students, instructional materials and the integration of standards through technology. In fiscal year 2013-14, the District received \$5,825,305 million in funding which is carried over to fiscal year 2014-15 and must be used over the two-year period, and which has been fully expended.

Prop 39 Energy Grant. Proposition 39, a voter approved initiative at the November 2012 statewide election, provides for annual transfers from the State General Fund to the Clean Energy Job Creation Fund for a period of five years, 2013-14 through 2017-18. The 2014-15 State budget appropriated \$307 million to K-12 schools with 85 percent of the appropriation to be allocated based on 2013-14 ADA and 15 percent based on 2013-14 free and reduced-priced meals. Proposition 39 funds will be provided to schools to improve energy efficiency and create clean energy jobs. The total estimated funding over the five-year period for the District is \$7,754,280 million, of which the District has received \$1,361,571 to date.

State Lottery. The District receives a portion of the State Lottery (the “Lottery”) revenues. Lottery revenues allocated to the District must be used for the education of students and cannot be used for non-instructional purposes, such as real property acquisition, facility construction, or the financing of research. Lottery net revenues (gross revenues less prizes and administration expenses) are allocated by computing an amount per ADA or full time equivalent (“FTE”). This figure is derived by dividing the total net revenues figures by the total ADA for grades K-12 and by the total FTE for the community colleges, University of California system and the California State University and College system. Each entity receives an amount equal to its total ADA or FTE, as applicable, multiplied by the per ADA or FTE figure. The Lottery revenues were \$5,038,326 in fiscal year 2014-15. The Lottery estimated actual revenues fiscal year 2015-16 were \$6,024,025 and are budgeted to be approximately \$5,423,375 in fiscal year 2016-17.

Budgets of District

State law requires school districts to maintain a balanced budget in each fiscal year. The State Department of Education imposes a uniform budgeting and accounting format for school districts.

California Assembly Bill 1200 (“A.B. 1200”), effective January 1, 1992, tightened the budget development process and interim financial reporting for school districts, enhancing the authority of the county schools superintendents’ offices and establishing guidelines for emergency State aid apportionments. Many provisions affect District operations directly, while others create a foundation from which outside authorities (primarily state and county school officials) may impose actions on the District. A school district governing board must file with the county superintendent of schools a tentative budget by July 1 in each fiscal year and an adopted budget by September 8 of each fiscal year.

Under the provisions of A.B. 1200, school districts in the State must also conduct a review of their budgets according to certain standards and criteria established by the State Department of Education, and each school district is required to file interim certifications with the county office of education as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent fiscal year. A written explanation must be provided for any element in the budget that does not meet the established standards and criteria. The district superintendent or designee must certify that such a review has been conducted and the certification, together with the budget review checklist and a written narrative, must accompany the budget when it is submitted to the governing board for approval. The balanced budget requirement makes appropriations reductions necessary to offset any revenue shortfalls. The county office of education reviews the certification,

completes the budget review checklist and conducts an analysis of any budget item that does not meet the established standards and issues either a positive, negative or qualified certification. A copy of the completed checklist, together with any comments or recommendations, must be provided to the district and its governing board by November 1. By November 30, every district must have an adopted and approved budget, or the county superintendent of schools will impose one. A positive certification is assigned to any school district that will meet its financial obligations for the current fiscal year and subsequent two fiscal years. A negative certification is assigned to any school district that will be unable to meet its financial obligations for the remainder of the fiscal year or subsequent fiscal year. A qualified certification is assigned to any school district that may not meet its financial obligations for the current fiscal year or two subsequent fiscal years. Each certification is based on then-current projections. Within the previous five fiscal years, the District has not received a qualified or negative certification from the County Office of Education. Presented on the following page are the District's adopted budgets for fiscal years 2014-15 through 2016-17. The District adopted its budget for fiscal year 2016-17 on June 28, 2016.

The following table compares the District's Board adopted budgets to audited actuals for fiscal years 2013-14, 2014-15 and 2015-16, and provides the fiscal year 2016-17 adopted budget and first interim numbers. See APPENDIX C for the District's financial statements for fiscal year 2015-16.

**BAKERSFIELD CITY SCHOOL DISTRICT
COMPARISON OF ADOPTED BUDGETS AND ACTUALS⁽¹⁾**

	2013-14 Original Budget	2013-14 Audited Actuals	2014-15 Original Budget	2014-15 Audited Actuals	2015-16 Original Budget	2015-16 Audited Actuals	2016-17 Original Budget	2016-17 First Interim⁽²⁾
Revenues								
Revenue Limit/LCFF Sources	\$148,054,939	\$196,175,207	\$225,809,862	\$228,323,309	\$268,772,901	\$267,192,019	\$286,498,615	\$286,780,629
Federal Revenues	26,327,666	25,708,072	28,154,634	26,274,947	27,519,663	26,171,829	26,674,668	34,431,475
Other State Revenues	66,415,404	34,624,668	30,155,863	32,216,913	46,392,855	54,566,174	44,379,957	44,379,957
Other Local Revenues	1,572,657	1,888,703	2,984,624	3,542,262	1,629,980	2,609,996	1,976,501	2,402,642
Total Revenues	<u>\$242,370,666</u>	<u>\$258,396,650</u>	<u>\$287,104,983</u>	<u>\$290,357,431</u>	<u>\$344,315,399</u>	<u>\$350,540,018</u>	<u>\$359,529,741</u>	<u>\$367,994,703</u>
Expenditures								
Current Expenditures								
Certificated Salaries	\$111,820,922	\$117,376,794	\$129,669,359	\$126,792,327	\$143,219,671	\$135,725,960	\$145,687,407	\$147,699,070
Classified Salaries	34,228,818	36,194,412	38,857,013	41,499,281	45,374,325	45,666,256	50,043,856	50,507,133
Employee Benefits	60,422,688	61,606,688	69,705,321	67,486,898	78,642,381	83,431,795	95,203,928	95,549,606
Books and Supplies	12,262,584	19,645,868	23,715,762	26,514,123	23,631,696	24,722,367	25,195,162	28,223,744
Services and Other Operating Expenditures	21,546,753	19,114,263	24,297,441	23,650,318	27,630,591	27,185,044	28,876,828	34,699,599
Other Outgo/Indirect Costs	(139,990)	(82,145)	(259,322)	(221,595)	(19,527)	(87,668)	134,728	(108,220)
Capital Outlay	6,386,626	10,660,890	5,614,219	3,997,105	9,976,681	8,694,163	6,763,803	7,950,552
Total Expenditures	<u>\$246,528,401</u>	<u>\$264,516,770</u>	<u>\$291,599,793</u>	<u>\$289,698,460</u>	<u>\$328,455,818</u>	<u>\$325,337,917</u>	<u>\$351,905,716</u>	<u>\$364,737,924</u>
Excess (Deficiency) of Revenues Over Expenditures	(4,157,735)	(6,120,120)	(4,494,810)	658,971	15,859,581	25,202,101	7,624,025	3,256,779
Other Financing Sources (Uses)								
Operating transfers out	(800,000)	(2,038,778)	(1,000,000)	(1,000,000)	-	(5,038,479)	(2,339,015)	(2,339,015)
Total Other Financing Sources (Uses)	<u>(800,000)</u>	<u>(2,038,778)</u>	<u>(1,000,000)</u>	<u>(1,000,000)</u>	<u>-</u>	<u>(5,038,479)</u>	<u>(2,339,015)</u>	<u>(2,339,015)</u>
Net Change in Fund Balance	(4,957,735)	(8,158,898)	(5,494,810)	(341,029)	15,859,581	20,163,622	5,285,010	917,764
Fund Balances, July 1	70,054,919	70,054,919	61,896,021	61,896,021	61,554,992	61,554,992	81,718,614	81,718,614
Fund Balances, June 30	<u>\$ 65,097,184</u>	<u>\$ 61,896,021</u>	<u>\$ 56,401,211</u>	<u>\$ 61,554,992</u>	<u>\$ 77,414,573</u>	<u>\$ 81,718,614</u>	<u>\$ 87,003,624</u>	<u>\$ 82,636,378</u>

⁽¹⁾ Totals may not add due to rounding.

⁽²⁾ Projected totals.

Source: The District.

District Investments

The Kern County Treasurer and Tax Collector (the “Treasurer”) manages, in accordance with California Government Code Section 53600 *et seq.*, funds deposited with the Treasurer by school and community college districts located in the County, various special districts, and some cities within the State of California. State law generally requires that all moneys of the County, school and community college districts and certain special districts located in the County be held in the County’s Treasury Pool.

The composition and value of investments under management in the Treasury Pool vary from time to time depending on cash flow needs of the County and public agencies invested in the pool, maturity or sale of investments, purchase of new securities, and due to fluctuations in interest rates generally.

For a further discussion of the County’s Treasury Pool, see the caption “THE KERN COUNTY TREASURY POOL” herein.

Significant Accounting Policies and Audited Financial Statements

The California State Department of Education imposes by law uniform financial reporting and budgeting requirements for K-12 school districts. Financial transactions are accounted for in accordance with the California School Accounting Manual. Vavrinek, Trine, Day and Co., Fresno, California, serves as independent auditor to the District and excerpts of their report for the Fiscal Year Ended June 30, 2016, are attached hereto as APPENDIX C. The District’s auditor has not specifically approved the inclusion of such excerpts herewith.

Independently audited financial reports are prepared annually in conformity with generally accepted accounting principles for educational institutions. The annual audit report is generally available about six months after the June 30 close of each fiscal year. For the District’s most recent available audited financial statements, see APPENDIX C.

FUNDING OF SCHOOL DISTRICTS IN CALIFORNIA

Public school district revenues consist primarily of guaranteed State moneys, *ad valorem* property taxes and funds received from the State and federal government in the form of categorical aid, which are amounts restricted to specific categories of use, under various ongoing programs. All State apportionment (“State Aid”) is subject to the appropriation of funds in the State’s annual budget. Decreases in State revenues may affect appropriations made by the State Legislature to the District.

Historically, the majority of the District’s annual General Fund revenues have consisted of payments from or under the control of the State. Payments made to K-12 public schools and public colleges and universities are priority payments for State funds and are expected to be made prior to other State payment obligations. Although the State Constitution protects the priority of payments to K-12 schools, college and universities, it does not protect the timing of such payments and other obligations may be scheduled and have been scheduled to be paid in advance of those dates on which payments to school districts are scheduled to be made.

On June 27, 2013, the State adopted a new method for funding school districts commonly referred to as the “Local Control Funding Formula” (the “LCFF”). The LCFF will be implemented in stages, beginning in fiscal year 2013-14 and will be fully implemented in fiscal year 2020-21. See “– Local Control Funding Formula” below for more information. Prior to adoption of the LCFF, the State used a revenue limit funding system, described below under “– Revenue Limit.”

Revenue Limit Funding. School districts in the State have historically received most of their revenues under a formula known as the “revenue limit.” Generally, revenue limits were calculated for each school district by multiplying the ADA for such district by a base revenue limit per unit of ADA. Revenue limit calculations were subject to adjustment to provide cost of living adjustments (“COLAs”) and to equalize revenues among school districts of the same type. The revenue limit system of funding has been replaced by the LCFF. A description of the revenue limit system is included herein as the District has historically received financial assistance from the State pursuant to this method of appropriations.

Each school district’s revenue limit, which was funded by State moneys and local *ad valorem* property taxes from the general 1% *ad valorem* property tax levy, was allocated based on the ADA of each school district for either the current or preceding school year. Generally, State Aid to a school district amounted to the difference between the school district’s revenue limit and the school district’s local property tax allocation from the general 1% *ad valorem* property tax levy.

Local Control Funding Formula. Effective in fiscal year 2013-14, the State established the LCFF, a new system for funding school districts, charter schools and county offices of education. The LCFF replaces the revenue limit funding system, as well as many categorical programs. The LCFF distributes State resources to schools through a guaranteed base funding grant per unit of ADA (a “Base Grant”). The Base Grants per unit of ADA for each grade span are: (i) \$6,845 for grades K-3; (ii) \$6,947 for grades 4-6; (iii) \$7,154 for grades 7-8; and (iv) \$8,289 for grades 9-12. Implementation of the LCFF is expected to take several years, ending in fiscal year 2020-21. An annual transition adjustment is calculated for each school district, equal to such district’s proportionate share of appropriations included in the State budget to close the gap between the prior-year funding level and the target allocation following full implementation of the LCFF. Beginning in fiscal year 2014-15, the Base Grants are adjusted for COLAs by applying the implicit price deflator for government goods and services. Following full implementation of the LCFF, the provision of COLAs will be subject to appropriation for such adjustment in the annual State budget.

The Base Grants for grades K-3 are subject to adjustments of 10.4% to cover the costs of class size reduction. Following full implementation of the LCFF, and unless otherwise collectively bargained for, school districts serving students in grades K-3 must maintain an average class enrollment of 24 or fewer students in grades K-3 at each school site in order to continue receiving the adjustment to the K-3 Base Grant. The Base Grants for grades 9-12 are subject to adjustments of 2.6% for the provision of career technical education.

School districts that serve students of limited English proficiency (“EL” students), students from low income families that are eligible for free or reduced priced meals (“LI” students) and foster youth are eligible to receive additional funding grants. Enrollment counts are unduplicated; if the school district has students with both limited English proficiency and eligibility for reduced price meals, for instance, such students will not be duplicated for purposes of determining the additional funding grants. Foster students automatically qualify for free or reduced priced meals. A supplemental grant add-on (each, a “Supplemental Grant”) is authorized for school districts that serve EL/LI students, equal to 20% of the applicable Base Grant multiplied by such districts’ percentage of unduplicated EL/LI student enrollment. School districts whose EL/LI populations exceed 55% of their total enrollment are eligible for a concentration grant add-on (each, a “Concentration Grant”) equal to 50% of the applicable Base Grant multiplied the percentage of such district’s unduplicated EL/LI student enrollment in excess of the 55% threshold. The following table shows a breakdown of the District’s ADA by grade span, total enrollment, and the percentage of EL/LI student enrollment, for fiscal year 2015-16.

BAKERSFIELD CITY SCHOOL DISTRICT
ADA, ENROLLMENT AND EL/LI ENROLLMENT PERCENTAGE
Fiscal Years 2013-14, 2014-15, 2015-16 and Fiscal Year 2016-17 and 2017-18 Projections

Fiscal Year	Average Daily Attendance⁽¹⁾				Enrollment⁽²⁾	
	K-3	4-6	7-8	Total ADA	Total Enrollment	% of EL/LI Enrollment
2013-14	13,700	9,129	5,302	28,131	29,684	87.76
2014-15	13,775	9,290	5,509	28,574	30,076	89.45
2015-16	13,413	9,709	5,631	28,753	30,222	88.67
2016-17 ⁽³⁾	13,524	9,593	5,779	28,896	30,372	89.88
2017-18 ⁽³⁾	13,592	9,641	5,806	28,039	30,522	89.88

⁽¹⁾ Reflects P-2 ADA.

⁽²⁾ As of October report submitted to the California Basic Educational Data System. For purposes of calculating supplemental funding grants, a school district's fiscal year 2014-15 percentage of unduplicated EL/LI students will be expressed solely as a percentage of its total fiscal year 2014-15 total enrollment.

⁽³⁾ Projected.

Source: The District.

The LCFF provides for a permanent economic recovery target ("ERT") add-on for school districts that would have received greater funding levels under the revenue limit system. The ERT is equal to the difference between the revenue limit allocations such districts would have received under the prior system in Fiscal Year 2020-21, and the target LCFF allocations owed to such districts in the same year. The ERT add-on will be paid incrementally over the implementing period of the LCFF. The District does not qualify for the ERT add-on.

The sum of a school district's adjusted Base, Supplemental and Concentration Grants will be multiplied by such district's P-2 ADA for the current or prior year, whichever is greater (with certain adjustments applicable to small school districts). This funding amount, together with any applicable ERT or categorical block grant add-ons, will yield a district's total LCFF allocation. Generally, the amount of annual State apportionments received by a school district will amount to the difference between such total LCFF allocation and such district's share of applicable local property taxes.

Beginning July 1, 2014, school districts are required to develop a three-year Local Control and Accountability Plan (each, an "LCAP"). County Superintendent of Schools and the State Superintendent of Public Instruction will review and provide support to the districts and county offices of education under their jurisdiction. In addition, the Fiscal Year 2013-14 State Budget created the California Collaborative for Education Excellence (the "Collaborative") to advise and assist school districts, county offices of education, and charter schools in achieving the goals identified in their plans. The State Superintendent of Public Instruction may direct the Collaborative to provide additional assistance to any district, county office, or charter school. For those entities that continue to struggle in meeting their goals, and when the Collaborative indicates that additional intervention is needed, the State Superintendent of Public Instruction has authority to make changes to the district or county office's local plan. For charter schools, the charter authorizer will be required to consider revocation of a charter if the Collaborative finds that the inadequate performance is so persistent and acute as to warrant revocation. The State will continue to measure student achievement through statewide assessments, produce an Academic Performance Index for schools and subgroups of students, determine the contents of the school accountability report card, and establish policies to implement the federal accountability system.

State Assistance

The District's principal funding formulas and revenue sources are derived from the budget of the State of California. **The following information concerning the State of California's budgets has been obtained from publicly available information which the District believes to be reliable; however, the State has not entered into any contractual commitment with the District, the Original Purchaser, Bond and Disclosure Counsel or the Owners of the Bonds to provide State budget information to the District or the Owners of the Bonds. Although they believe the State sources of information listed above are reliable, none of the District, Bond and Disclosure Counsel or the Original Purchaser assumes any responsibility for the accuracy of the State budget information set forth or referred to herein or incorporated by reference herein. Additional information regarding State budgets is available at various State-maintained websites, including www.dof.ca.gov, which website is not incorporated herein by reference.**

Fiscal Year 2016-17 State Budget

On June 27, 2016, the Governor signed the fiscal year 2016-2017 State Budget Act (the "2016-17 State Budget"). The 2016-17 State Budget includes general fund revenues in the amount \$117 billion for fiscal year 2015-16 and \$120.3 billion in fiscal year 2016-17. State general fund expenditures are \$115.6 billion for fiscal year 2015-16 and \$122.5 billion for fiscal year 2016-17. The 2016-17 State Budget includes a reserve balance of approximately \$8.5 billion, comprised of an approximate balance of \$1.8 billion in the Special Fund for Economic Uncertainties (the "SFEU") and an approximate balance of \$6.7 billion in the Budget Stabilization Account (the "BSA").

The 2016-17 State Budget focuses on preparing the State for the next recession by limiting new ongoing spending obligations and continued contributions to the BSA, bringing the account balance to 54% of the fund's goal. Additionally, it focuses on one-time spending activities, affordable housing, and addressing the impact of the drought. Further, the 2016-17 State Budget reflects an investment in education for K-12 schools with funding levels increased by over \$3,600 per student over fiscal year 2011-2012 funding levels. The 2016-17 State Budget provides total funding of \$88.3 billion for K-12 education programs.

The 2016-17 State Budget includes Proposition 98 funding of \$71.9 billion, representing an increase of \$3.5 billion beyond the fiscal year 2015-16 State Budget. When combined with \$1.5 billion increases in Proposition 98 in funding in 2014-15 and 2015-16, as well as other one-time savings and adjustments, the 2016-17 State Budget provides a \$5.9 billion increased investment in early education. Major adjustments made to education funding in the 2016-17 State Budget include the following:

- **Local Control Funding Formula** — An increase of more than \$2.9 billion Proposition 98 General Fund to continue the State's landmark transition to the Local Control Funding Formula. This formula commits most new funding to districts serving English language learners, students from low-income families, and youth in foster care. This increase will bring the formula to 96 percent of full implementation.
- **College Readiness Block Grant** — An increase of \$200 million one-time Proposition 98 General Fund for grants to school districts and charter schools serving high school students to provide additional services that support access and successful transition to higher education. These funds can be spent over the next three years. Allocation of the funding will be based on the number of students in grades 9 through 12 that are English-learners, low-income, or foster youth, with no school district or charter school receiving less than \$75,000. The University of California will work to increase admissions of students who were enrolled in schools in

which enrollment of English-learners, low-income students, or foster youth is greater than 75 percent of total enrollment.

- Teacher Workforce — A combined increase of \$35 million one-time General Fund (\$10 million non-Proposition 98 and \$25 million Proposition 98) to fund several programs aimed at recruiting additional teachers and streamlining teacher preparation programs:
 - Integrated Teacher Preparation Grant Program — An increase of \$10 million one-time non-Proposition 98 General Fund for the Integrated Teacher Preparation Grant Program to provide competitive grants to colleges and universities to develop or improve four-year integrated teacher credential programs enabling credential candidates to receive both a teaching credential and a bachelor's degree.
 - Classified School Employees Credentialing Program — An increase of \$20 million one-time Proposition 98 funding, available for five years, to establish the California Classified School Employees Credentialing Program, and provide grants to K-12 local educational agencies to support recruitment of non-certificated school employees to participate in a teacher preparation program and become certificated classroom teachers in California public schools.
 - California Center on Teacher Careers — An increase of \$5 million one-time Proposition 98 General Fund for a multi-year competitive grant to a local educational agency to establish and operate the California Center on Teaching Careers to recruit qualified and capable individuals to the teaching profession. The center will host a referral database for teachers seeking employment, develop and distribute recruitment publications; conduct outreach activities to high school and college students; provide statewide public service announcements related to teacher recruitment; and provide prospective teachers information on credential requirements, financial aid, and loan assistance programs.
- Charter School Start Up Grants — An increase of \$20 million one-time Proposition 98 General Fund to support operational startup costs for new charter schools in 2016 and 2017, which will help offset the loss of federal funding previously available for this purpose. These funds will be available for distribution after all current federal funding for startup costs has been exhausted.
- California Collaborative for Educational Excellence — An increase of \$24 million one-time Proposition 98 funding for the California Collaborative for Educational Excellence to: (1) support statewide professional development training on use of the evaluation rubrics by local educational agencies, and (2) implement a pilot program to inform the Collaborative's long-term efforts related to advising and assisting local educational agencies in improving pupil outcomes. This funding will build local and state capacity to implement a system of continuous improvement in the eight state priority areas upon which the Local Control Funding Formula is based.
- Multi-Tiered Systems of Support — An increase of \$20 million one-time Proposition 98 funding to allow local educational agencies to provide services that assist and encourage multi-tiered systems of supports. These services support academic, behavioral, social, and emotional needs and have been successful in improving outcomes for all students. This funding builds upon the \$10 million included in the 2014-15 State Budget, which was awarded to the Orange County Office of Education to develop guidance and supportive services for schools statewide in implementing these systems.

- Restorative Justice Grants — An increase of \$18 million one-time Proposition 98 funding for truancy and dropout prevention grants, consistent with Proposition 47, the Safe Neighborhoods and School Act.
- Safe Drinking Water in Schools — An increase of \$9.5 million one-time Proposition 98 funding to create a grant program to improve access to safe drinking water for schools located in isolated and economically disadvantaged areas. The program will be developed and administered by the Water Resources Control Board in consultation with the State Department of Education.
- K-12 Mandates — An increase of \$1.3 billion one-time Proposition 98 funding to reimburse K-12 local educational agencies for the costs of state-mandated programs. These funds, combined with previous years' investments, will substantially reduce outstanding mandate debt owed to schools, while providing school districts, county offices of education, and charter schools with discretionary resources to support critical investments at the local level. These funds can be used for activities such as deferred maintenance, professional development, induction for beginning teachers, instructional materials, technology, and the implementation of new educational standards.

Governor's 2017-18 Proposed State Budget

On January 10, 2017, Governor Brown released his proposed fiscal year 2017-18 budget (the "2017-18 Proposed State Budget"). The 2017-18 Proposed State Budget projects general fund revenues in the amount of \$118.77 billion in fiscal year 2016-17 and \$124 billion in fiscal year 2017-18. The State is projected to end fiscal year 2016-17 with a reserve balance of approximately \$6.8 billion, comprised of an approximate balance of \$47 million in the SFEU and an approximate balance of \$6.7 billion in the BSA. Fiscal year 2017-18 is expected to end with an approximately \$9.4 billion reserve balance, comprised of approximately \$1.55 billion in the SFEU and approximately \$7.87 billion in the BSA.

Despite the budgetary improvements in recent years, the 2017-18 Proposed State Budget describes California's budget condition as the most difficult since 2012. California could face a deficit of approximately \$2 billion without corrective budgetary action. The two main factors driving the deficit include a revenue forecast that is \$5.8 billion lower than expected as well as a shortfall in the Medi-Cal Program. As a result, the 2017-18 Proposed State Budget proposes pulling back one-time spending commitments of the preceding year while still prioritizing the protection of education growth, the creation of the state's first earned income tax credit, a minimum wage increase, and the expansion of health care coverage. The 2017-18 Proposed State Budget also continues to build up the BSA.

Under the 2017-18 Proposed State Budget, general fund expenditures for fiscal year 2017-18 are \$122.5 billion (a decrease of \$241 million from fiscal year 2016-17 general fund expenditures), of which \$52.2 billion (42.6%) is allocated to K-12 education. The 2017-18 Proposed State Budget provides Proposition 98 funding of \$73.5 billion for fiscal year 2017-18. This funding, when combined with approximately \$400 million in "settle-up" payments for prior years, proposes an increased investment of \$2.1 billion in K-14 education.

Total per-pupil expenditures from all sources are projected to be \$14,822 in fiscal year 2016-17 and \$15,216 in fiscal year 2017-18, including funds provided for prior year "settle-up" obligations. Ongoing K-12 Proposition 98 per-pupil expenditures are \$10,910 in fiscal year 2017-18, an increase of \$331 per-pupil over the level provided in fiscal year 2016-17. The 2017-18 Proposed State Budget notes that attendance in public schools grew in fiscal year 2013-14 and declined in fiscal year 2014-15. Attendance grew in fiscal year 2015-16 but is expected to decline in both fiscal years 2016-17 and 2017-

18. For fiscal year 2016-17, the 2017-18 Proposed State Budget estimates K-12 Average Daily Attendance (“ADA”) to be 5,958,933, a decrease of 12,410 from fiscal year 2015-16. For fiscal year 2017-18, the 2017-18 Proposed State Budget estimates that ADA will drop by 645 from the fiscal year 2016-17 level to 5,958,288.

The 2017-18 Proposed State Budget also provides a fifth-year investment of more than \$744 million in the Local Control Funding Formula, exceeding the original 2013 projection of formula funding provided through the 2017-18 fiscal year by more than \$4 billion. The proposed funding level results in total formula implementation at 96 percent. This investment builds upon the almost \$15.7 billion provided over the last four years.

The 2017-18 Proposed State Budget included the following significant adjustments affecting California K-12 school districts:

- School District Local Control Funding Formula — Additional growth of more than \$744 million in Proposition 98 General Fund for school districts and charter schools in fiscal year 2017-18 to continue their transition to full implementation of the Local Control Funding Formula.
- One-Time Discretionary Funding — An increase of \$287 million in one-time Proposition 98 General Fund for school districts, charter schools and county offices of education to use at local discretion. This allocation builds on the more than \$4.9 billion in combined one-time funding provided over the last three budgets, providing substantial resources to local schools to support critical investments such as content standards implementation, technology, professional development, induction programs for beginning teachers and deferred maintenance. All of the funds provided will offset any applicable mandate reimbursement claims for these entities.
- Career Technical Education Funding — The 2017-18 Proposed State Budget provides \$200 million for the Career Technical Education Incentive Grant Program, the final installment of funding for this three-year program initiated in the 2014-15 State Budget. Commencing with fiscal year 2018-19, schools will support the full cost of these programs within their Local Control Funding Formula allocations.
- One-Time Local Control Funding Formula Cost Shift — The 2017-18 Proposed State Budget proposes to shift \$859.1 million in Local Control Funding Formula expenditures from June 2017 to July 2017. This deferral is necessary to maintain 2016-17 programmatic expenditure levels in light of the reduction to Proposition 98 funding for fiscal year 2016-17 compared to the 2015-2016 State Budget. The 2017-18 Proposed State Budget proposes to immediately repay this deferral in fiscal year 2017-18.
- Shift One-Time Discretionary Funding — The 2017-18 Proposed State Budget proposes to shift \$310 million of one-time discretionary funding expenditures attributable to the 2015-16 fiscal year to 2016-17 as a result of the reduction to the Proposition 98 guarantee in fiscal year 2015-16.
- Instructional Quality Commission — To prioritize funding for other purposes, the 2017-18 Proposed State Budget delays the current deadlines for the Commission to revise the content standards for visual and performing arts and world language, develop standards for computer science, and create a model curriculum in ethnic studies. Further, it delays the current

deadline for the Superintendent of Public Instruction to convene a computer science strategic implementation advisory panel.

- County Offices of Education Local Control Funding Formula — An increase of \$2.4 million Proposition 98 General Fund to support a cost-of-living adjustment and average daily attendance changes for county offices of education.
- Charter School Growth — An increase of \$93 million Proposition 98 General Fund to support projected charter school average daily attendance growth.
- Special Education — A decrease of \$4.9 million Proposition 98 General Fund to reflect a projected decrease in special education average daily attendance.
- Local Property Tax Adjustments — A decrease of \$149.2 million Proposition 98 General Fund for school districts and county offices of education in fiscal year 2016-17 as a result of higher offsetting property tax revenues. A decrease of \$922.7 million in Proposition 98 General Fund for school districts and county offices of education in fiscal year 2017-18 as a result of increased offsetting local property tax revenues.
- School District Average Daily Attendance — A decrease of \$168.9 million in fiscal year 2016-17 for school districts as a result of a decrease in projected average daily attendance from the 2015-16 State Budget, and a decrease of \$63.1 million in fiscal year 2017-18 for school districts as a result of further projected decline in average daily attendance for fiscal year 2017-18.
- Cost-of-Living Adjustments — An increase of \$58.1 million Proposition 98 General Fund to support a 1.48-percent cost-of-living adjustment for categorical programs that remain outside of the Local Control Funding Formula, including Special Education, Child Nutrition, Foster Youth, American Indian Education Centers, and the American Indian Early Childhood Education Program. Cost-of-living adjustments for school districts and charter schools are provided within the increases for school district Local Control Funding Formula implementation noted above.
- Proposition 39 — Proposition 39 was approved in 2012 and increases state corporate tax revenues. For fiscal years 2013-14 through 2017-18, the measure requires half of the increased revenues, up to \$550 million per year, to be used to support energy efficiency. The 2017-18 Proposed State Budget proposes \$422.9 million to support school district and charter school energy efficiency projects in fiscal year 2017-18.
- Proposition 47 — Proposition 47 was approved in 2014 and reduced the penalties for certain non-serious and non-violent property and drug offenses. It also requires a portion of any resulting state savings to be invested into K-12 truancy and dropout prevention, victim services, and mental health and drug treatment. The 2017-18 Proposed State Budget provides \$10.1 million to support investments aimed at improving outcomes for public school pupils in K-12 by reducing truancy and supporting pupils who are at risk of dropping out of school or are victims of crime, consistent with the provisions of Proposition 47.
- Proposition 56 — Proposition 56 was approved in 2016 and increases the cigarette tax by \$2.00 per pack of cigarettes and an equivalent increase on other tobacco products. After making specified allocations, Proposition 56 requires 2 percent of the remaining revenue to be used for school programs that prevent and reduce the use of tobacco and nicotine products

by young people. The 2017-18 Proposed State Budget provides \$29.9 million to support tobacco and nicotine prevention and reduction programs at K-12 schools.

- **Mandate Block Grant** — An increase of \$8.5 million Proposition 98 General Fund to reflect the addition of the Training for School Employee Mandated Reporters program.

Additional Information. Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of the State budget may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading “California Budget.” Various analyses of the budget may be found at the website of the LAO at www.lao.ca.gov. In addition, various State official statements, many of which contain a summary of the current and past State budgets and the impact of those budgets on school districts in the State, may be found via the website of the State Treasurer, www.treasurer.ca.gov. The information presented in these websites is not incorporated by reference in this Official Statement.

Future State Budgets. The District cannot predict what actions will be taken in the future by the State Legislature and the Governor to address any future budget deficits and cash management practices. Future State budgets will be affected by national and State economic conditions over which the District has no control, and other factors over which the District will have no control. To the extent that the State budget process results in reduced revenues deferred revenues or increased expenses for the District, the District will be required to make adjustments to its budget and cash management practices. In the event current or future State Budgets decrease the District’s revenues or increase required expenditures by the District from the levels assumed by the District, the District will be required to generate additional revenues, curtail programs or services, or use its reserve funds to ensure a balanced budget.

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APPENDIX B

FORM OF BOND COUNSEL OPINION

[Closing Date]

Board of Education
Bakersfield City School District
1300 Baker Street
Bakersfield, California 93305

Re: \$_____ Bakersfield City School District (Kern County, California)
 General Obligation Bonds, Election of 2016, 2017 Series A

Ladies and Gentlemen:

We have acted as Bond Counsel to the Bakersfield City School District, County of Kern, State of California (the “District”), in connection with the issuance by the District of \$_____ aggregate principal amount of its General Obligation Bonds, Election of 2016, 2017 Series A (the “Bonds”). The Bonds are issued pursuant to (i) Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State, as amended, (ii) applicable provisions of the Education Code of the State, as amended, (iii) Article XIIA of the California Constitution, and (iv) pursuant to a resolution of the Board of Education of the District adopted on March 2, 2017 (the “Resolution”). All terms used herein and not otherwise defined shall have the meanings given to them in the Resolution.

As Bond Counsel, we have examined copies, certified to us as being true and complete copies, of the proceedings of the District for the authorization and issuance of the Bonds. In connection thereto, we have also examined such certificates of public officials and officers of the District as we have considered necessary for the purposes of this opinion. We have, with your approval, assumed that all items submitted to us as originals are authentic and that all items submitted to us as copies conform to the originals.

On the basis of such examination, our reliance upon the assumptions contained herein and our consideration of those questions of law we considered relevant, and subject to the limitations and qualifications in this opinion, we are of the opinion that:

1. The Bonds have been duly authorized and issued and constitute legally valid and binding obligations of the District, enforceable in accordance with their terms and the terms of the Resolution.
2. The Bonds are payable solely from and are secured by a pledge of *ad valorem* taxes which may be levied without limitation as to rate or amount upon all taxable real property in the District, and which, under the laws now in force with respect to the Bonds, may be levied within the limit prescribed by law upon all taxable personal property in the District, and from other available funds as set forth in the Resolution.
3. The Resolution has been duly authorized by the District and constitutes the legally valid and binding obligation of the District, enforceable in accordance with its terms. The

Bonds, assuming due authentication by the Paying Agent, are entitled to the benefits of the Resolution.

4. The Internal Revenue Code of 1986, as amended (the “Code”) sets forth certain requirements which must be met subsequent to the issuance and delivery of the Bonds for interest thereon to be and remain excluded from gross income for federal income tax purposes. Noncompliance with such requirements could cause the interest on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issue of the Bonds. Pursuant to the Resolution and the Tax and Nonarbitrage Certificate executed by the District in connection with the issuance of the Bonds (the “Tax Certificate”), the District has covenanted to comply with the applicable requirements of the Code in order to maintain the exclusion of the interest on the Bonds from gross income for federal income tax purposes pursuant to Section 103 of the Code. In addition, the District has made certain representations and certifications in the Resolution and the Tax Certificate. We have not independently verified the accuracy of those certifications and representations.

Under existing law, assuming compliance with the tax covenants described herein and the accuracy of the aforementioned representations and certifications, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code. We are also of the opinion that such interest is not treated as a preference item in calculating the alternative minimum tax imposed under the Code with respect to individuals and corporations. Interest on the Bonds is, however, included in the adjusted current earnings of certain corporations for purposes of computing the alternative minimum tax imposed on such corporations.

5. Interest on the Bonds is exempt from personal income taxes of the State of California under present state law.
6. Bond Counsel is further of the opinion that the excess of the principal amount of any maturity of the Bonds over the price at which a substantial amount of such maturity of the Bonds was sold to the public (excluding bond houses, brokers or similar persons or organizations acting in the capacity of underwriters or wholesalers) (each, a “Discount Bond” and collectively, the “Discount Bonds”) constitutes original issue discount which is excluded from gross income for federal income tax purposes to the same extent as interest on the Bonds. Further, such original issue discount accrues actuarially on a constant interest rate basis over the term of each Discount Bond and the basis of each Discount Bond acquired at such initial offering price by an initial purchaser thereof will be increased by the amount of such accrued original issue discount. The accrual of original issue discount may be taken into account as an increase in the amount of tax-exempt income for purposes of determining various other tax consequences of owning the Discount Bonds, even though there will not be a corresponding cash payment.

The opinions set forth in paragraphs 1, 2, and 3 above (i) assume that the Paying Agent has duly authenticated the Bonds and (ii) are subject to (a) applicable bankruptcy, insolvency, reorganization, moratorium or similar laws relating to or affecting creditors’ rights generally (including, without limitation, fraudulent conveyance laws), (b) the effect of general principles of equity, including, without limitation, concepts of materiality, reasonableness, good faith and fair dealing and the possible unavailability of specific performance or injunctive relief, regardless of whether considered in a proceeding in equity or at law, and (c) the limitations on legal remedies against government entities in the State of California.

In rendering the opinions set forth in paragraphs 4 and 6 above, we are relying upon representations and covenants of the District in the Tax Certificate concerning the investment and use of Bond proceeds, the rebate to the federal government of certain earnings thereon, and the use of the property and facilities financed with the proceeds of the Bonds. In addition, we have assumed that all such representations are true and correct and that the District will comply with such covenants. We express no opinion with respect to the exclusion of the interest on the Bonds from gross income under Section 103(a) of the Code in the event that any of such representations are untrue or the District fails to comply with such covenants, unless such failure to comply is based on our advice or opinion.

Except as stated in paragraphs 4 through 6, we express no opinion as to any other federal, state or local tax consequences of the ownership or disposition of the Bonds. Furthermore, we express no opinion as to any federal, state or local tax law consequences with respect to the Bonds, or the interest thereon, if any action is taken with respect to the Bonds or the proceeds thereof upon the advice or approval of other counsel.

No opinion is expressed herein on the accuracy, completeness or sufficiency of the Official Statement or other offering material relating to the Bonds. This opinion is expressly limited to the matters set forth above and we render no opinion, whether by implication or otherwise, as to any other matters.

Our opinions are limited to matters of California law and applicable federal law, and we assume no responsibility as to the applicability of laws of other jurisdictions. We call attention to the fact that the opinions expressed herein and the exclusion of interest on the Bonds from gross income for federal income tax purposes may be affected by actions taken or omitted or events occurring or failing to occur after the date hereof. We have not undertaken to determine, or inform any person, whether any such actions are taken, omitted, occur or fail to occur.

Respectfully submitted,

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APPENDIX C

**BAKERSFIELD CITY SCHOOL DISTRICT
AUDITED FINANCIAL STATEMENTS
FOR FISCAL YEAR ENDED JUNE 30, 2016**

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BAKERSFIELD CITY SCHOOL DISTRICT

ANNUAL FINANCIAL REPORT

JUNE 30, 2016

BAKERSFIELD CITY SCHOOL DISTRICT

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JUNE 30, 2016

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BAKERSFIELD CITY SCHOOL DISTRICT

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FINANCIAL SECTION



INDEPENDENT AUDITOR'S REPORT

Governing Board
Bakersfield City School District
Bakersfield, California

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Bakersfield City School District (the District) as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *2015-2016 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, issued by the California Education Audit Appeals Panel as regulations. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of the Bakersfield City School District, as of June 30, 2016, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 5 through 13, budgetary comparison schedules on pages 71 and 72, schedule of other postemployment benefits funding progress on page 73, schedule of the district's proportionate share of net pension liability on page 74, and the schedule of district contributions on page 75, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Bakersfield City School District's basic financial statements. The accompanying supplementary information such as the combining and individual non-major fund financial statements and Schedule of Expenditures of Federal Awards, as required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* and the other supplementary information as listed on the table of contents are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The accompanying supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 30, 2016, on our consideration of the Bakersfield City School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Bakersfield City School District's internal control over financial reporting and compliance.

Vannink, Trine, Day & Co., LLP

Fresno, California
November 30, 2016

BAKERSFIELD CITY SCHOOL DISTRICT

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This section of the Bakersfield City School District's (the District) annual financial report presents our discussion and analysis of the District's financial performance during the fiscal year that ended on June 30, 2016. Please read it in conjunction with the District's financial statements, which immediately follow this section.

OVERVIEW OF THE FINANCIAL STATEMENTS

The Financial Statements

The financial statements presented herein include all of the activities of the District and its component units using the integrated approach as prescribed by Governmental Accounting Standards Board (GASB) Statement No. 34.

The *Government-Wide Financial Statements* present the financial picture of the District from the economic resources measurement focus using the accrual basis of accounting. They present governmental activities and business-type activities separately. These statements include all assets of the District (including capital assets), as well as all liabilities (including long-term obligations). Additionally, certain eliminations have occurred as prescribed by the statement in regards to interfund activity, payables, and receivables.

The *Fund Financial Statements* include statements for each of the two categories of activities: governmental, and fiduciary.

The *Governmental Activities* are prepared using the current financial resources measurement focus and modified accrual basis of accounting.

The *Fiduciary Activities* are prepared using the economic resources measurement focus and the accrual basis of accounting.

Reconciliation of the Fund Financial Statements to the Government-Wide Financial Statements is provided to explain the differences created by the integrated approach.

The Primary unit of the government is the Bakersfield City School District.

BAKERSFIELD CITY SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2016

REPORTING THE DISTRICT AS A WHOLE

The Statement of Net Position and the Statement of Activities

The Statement of Net Position and the Statement of Activities report information about the District as a whole and about its activities. These statements include all assets and liabilities of the District using the accrual basis of accounting, which is similar to the accounting used by most private-sector companies. All of the current year's revenues and expenses are taken into account regardless of when cash is received or paid.

These two statements report the District's net position and changes in them. Net position is the difference between assets and liabilities, which is one way to measure the District's financial health, or financial position. Over time, increases or decreases in the District's net position will serve as a useful indicator of whether the financial position of the District is improving or deteriorating. Other factors to consider are changes in the District's property tax base and the condition of the District's facilities.

The relationship between revenues and expenses is the District's *operating results*. Since the governing board's responsibility is to provide services to our students and not to generate profit as commercial entities do, one must consider other factors when evaluating the overall health of the District. The quality of the education and the safety of our schools will likely be an important component in this evaluation.

In the Statement of Net Position and the Statement of Activities, we present the District activities as follows:

Governmental Activities - Most of the District's services are reported in this category. This includes the education of kindergarten through grade eight students, the operation of child development activities, and the on-going effort to improve and maintain buildings and sites. Property taxes, State income taxes, user fees, interest income, Federal, State, and local grants, as well as general obligation bonds, finance these activities.

REPORTING THE DISTRICT'S MOST SIGNIFICANT FUNDS

Fund Financial Statements

The fund financial statements provide detailed information about the most significant funds - not the District as a whole. Some funds are required to be established by State law and by bond covenants. However, management establishes many other funds to help it control and manage money for particular purposes or to show that it is meeting legal responsibilities for using certain taxes, grants, and other money that it receives from the U.S. Department of Education.

Governmental Funds - Most of the District's basic services are reported in governmental funds, which focus on how money flows into and out of those funds and the balances left at year-end that are available for spending. These funds are reported using an accounting method called modified accrual accounting, which measures cash and all other financial assets that can readily be converted to cash. The governmental fund statements provide a detailed short-term view of the District's general government operations and the basic services it provides. Governmental fund information helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. The differences of results in the governmental fund financial statements to those in the government-wide financial statements are explained in a reconciliation following each governmental fund financial statement.

BAKERSFIELD CITY SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2016

Proprietary Funds - When the District charges users for the services it provides, whether to outside customers or to other departments within the District, these services are generally reported in proprietary funds. Proprietary funds are reported in the same way that all activities are reported in the Statement of Net Position and the Statement of Revenues, Expenses, and Changes in Fund Net Position. In fact, the District's enterprise funds are the same as the business-type activities we report in the government-wide statements, but provide more detail and additional information, such as cash flows, for proprietary funds. We use internal service funds (the other component of proprietary funds) to report activities that provide supplies and services for the District's other programs and activities, such as the District's Self-Insurance Funds. The internal service funds are reported with governmental activities in the government-wide financial statements.

THE DISTRICT AS A TRUSTEE

Reporting the District's Fiduciary Responsibilities

The District is the trustee, or *fiduciary*, for funds held on behalf of others for our associated student body activities. The District's fiduciary activities are reported in the Statements of Fiduciary Net Position. We exclude these activities from the District's other financial statements because the District cannot use these assets to finance its operations. The District is responsible for ensuring that the assets reported in these funds are used for their intended purposes.

FINANCIAL HIGHLIGHTS

- The District's financial status continues to remain solid. The District is able to meet all of its current needs and maintain an adequate reserve.
- Overall revenues for all governmental activities were \$380,473,632, which was \$20,965,575 more than expenditures.
- The General Fund balance increased \$20,115,028 excluding the impact of the consolidation of the Special Reserve Other Postemployment Benefits Fund and the Pupil Transportation Fund. The reserved nonspendable portion increased by \$506,695; the restricted portion increased by \$2,962,520; and the unassigned portion increased by \$16,645,814.
- The District increased the outstanding long-term obligations by \$13,881,316; the increase was primarily due to the issuance of general obligation bonds.
- Average Daily Attendance of the District increased by 0.6 percent.

BAKERSFIELD CITY SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2016

THE DISTRICT AS A WHOLE

Net Position

The District's net position was \$1,770,603 for the fiscal year ended June 30, 2016. Of this amount, \$24,293,302 was restricted. Restricted net position is reported separately to show legal constraints from debt covenants and enabling legislation that limits the governing board's ability to use net position for day-to-day operations. Our analysis below, in summary form, focuses on the net position (Table 1) and change in net position (Table 2) of the District's governmental activities.

Table 1

	Governmental Activities		
	2016	2015	Variance
Assets			
Current and other assets	\$ 154,822,692	\$ 118,579,586	\$ 36,243,106
Capital assets	191,031,126	183,205,987	7,825,139
Total Assets	345,853,818	301,785,573	44,068,245
Deferred Outflows of Resources	71,343,942	16,167,506	55,176,436
Liabilities			
Current liabilities	32,160,421	27,113,660	5,046,761
Long-term obligations	99,213,893	85,332,577	13,881,316
Aggregate net pension liability	237,291,686	177,123,512	60,168,174
Total Liabilities	368,666,000	289,569,749	79,096,251
Deferred Inflows of Resources	46,761,157	47,578,302	(817,145)
Net Position			
Net investment in capital assets	117,426,402	112,360,279	5,066,123
Restricted	24,293,302	22,784,686	1,508,616
Unrestricted	(139,949,101)	(154,339,937)	14,390,836
Total Net Position	\$ 1,770,603	\$ (19,194,972)	\$ 20,965,575

The \$1,770,603 in net position of the governmental activities represents the accumulated results of all past years' operations. Unrestricted net position – the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation, or other legal requirements – increased by 9.32 percent (\$139,949,101) compared to \$(154,339,937)).

BAKERSFIELD CITY SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2016

Changes in Net Position

The results of this year's operations for the District as a whole are reported in the Statement of Activities. Table 2 takes the information from the Statement and rearranges the numbers slightly so you can see our total revenues for the year.

Table 2

	Governmental Activities		
	2016	2015	Variance
Revenues			
Program revenues:			
Charges for services	\$ 1,956,524	\$ 2,162,627	\$ (206,103)
Operating grants and contributions	82,345,492	73,336,491	9,009,001
Capital grants and contributions	60,261	128,974	(68,713)
General revenues:			
Federal and State aid not restricted	268,577,282	226,821,300	41,755,982
Property taxes	23,321,636	18,726,336	4,595,300
Other general revenues	4,212,437	3,185,699	1,026,738
Total Revenues	380,473,632	324,361,427	56,112,205
Expenses			
Instruction related	264,247,756	246,230,870	18,016,886
Student support services	42,998,846	39,858,534	3,140,312
Administration	14,401,862	13,907,688	494,174
Plant services	29,710,375	25,629,907	4,080,468
Other	8,149,218	7,465,331	683,887
Total Expenses	359,508,057	333,092,330	26,415,727
Change in Net Position	\$ 20,965,575	\$ (8,730,903)	\$ 29,696,478

Governmental Activities

As reported in the Statement of Activities, the cost of all of our governmental activities this year was \$359,508,057. However, the amount that our taxpayers ultimately financed for these activities through local taxes was only \$23,321,636 because the cost was paid by those who benefited from the programs totaling \$1,956,524 or by other governments and organizations who subsidized certain programs with grants and contributions totaling \$82,405,753. We paid for the remaining "public benefit" portion of our governmental activities with \$272,789,719 in State funds, and with other revenues, like interest and general entitlements.

In Table 3, we have presented the cost and net cost of each of the District's largest functions: instruction related, student support services, administration and plant services. As discussed above, net cost shows the financial burden that was placed on the District's taxpayers by each of these functions. Providing this information allows our citizens to consider the cost of each function in comparison to the benefits they believe are provided by that function.

BAKERSFIELD CITY SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2016

Table 3

	Net Cost of Services		
	2016	2015	Variance
Instruction related	\$ 205,866,969	\$ 196,616,833	\$ 9,250,136
Student support services	21,032,962	18,932,408	2,100,554
Administration	12,586,442	11,924,149	662,293
Plant services	28,916,360	24,753,359	4,163,001
Other	6,743,047	5,237,489	1,505,558
Total	\$ 275,145,780	\$ 257,464,238	\$ 17,681,542

THE DISTRICT'S FUNDS

As the District completed this year, our governmental funds reported a combined fund balance of \$115,956,918, which is an increase of \$31,962,834 from last year (Table 4).

Table 4

(Amounts in millions)	Balances	
	June 30, 2016	June 30, 2015
General	\$ 81,718,614	\$ 61,554,992
Child Development	301,922	254,655
Cafeteria	4,034,705	3,287,833
Deferred Maintenance	-	96,127
Building	10,387,441	501,269
Capital Facilities	4,005,941	2,921,603
County School Facilities	5,934,911	10,551,620
Special Reserve Capital Outlay	5,087,564	1,624,493
Bond Interest and Redemption	4,485,820	3,201,492
Total	\$ 115,956,918	\$ 83,994,084

The primary reasons for the changes are:

- Our General Fund is our principal operating fund. The fund balance in the General Fund increased \$20,163,622 to \$81,718,614. This net increase is due primarily to increased Local Control Funding Formula (LCFF) and state revenues.
- Our special revenue funds reported a net increase of \$698,012. The majority of the increase was in the Cafeteria Fund which saw increased Federal revenues and decreased costs.
- The debt service fund showed an increase of \$1,284,328. The increase was due to increased property tax revenues collected for future bond debt service.
- The capital outlay funds showed an overall increase of \$9,816,872 due primarily to general obligation bond proceeds.

BAKERSFIELD CITY SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2016

General Fund Budgetary Highlights

The difference between the original budget and the final amended budget was an increase of \$2,057,481 or (0.623 percent) of the total General Fund expenditures, excluding the impact of the consolidation of the Pupil Transportation Fund and the Special Reserve Other Postemployment Benefits Fund, as summarized below:

\$3,346,351 or 1.012 percent decrease in Instructional Services

\$159,244 or 0.048 percent increase in Pupil Services

\$602,047 or 0.182 percent increase in Plant Services

\$4,642,541 or 1.405 percent increase in Other Supporting Services

Over the course of the year, the District revises its budget as it attempts to deal with unexpected changes in revenues and expenditures. The final amendment to the budget was adopted on September 27, 2016. A schedule showing the District's original and final budget amounts compared with amounts actually paid and received is provided in our annual report.

These budget amendments fall into the following categories:

- Budgets are revised when revisions are made to the enacted or proposed state budget.
- Budgets are revised when negotiations are completed.
- Final amounts for state and federal grants become available and budgets are revised mid-year.
- New grants become available.
- Final budget revisions are made to cover all areas of expenditures.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2016, the District had \$191,031,126 in a broad range of capital assets (net of depreciation), including land, buildings, furniture, and equipment. This amount represents a net increase (including additions, deductions, and depreciation) of \$7,825,139, or 4.27 percent, from last year (Table 5).

Table 5

	Governmental Activities		
	2016	2015	Variance
Land	\$ 14,580,278	\$ 14,580,278	\$ -
Construction in progress	13,561,665	20,270,634	(6,708,969)
Land improvements	28,857,468	28,279,217	578,251
Buildings and improvements	125,553,053	112,617,529	12,935,524
Furniture and equipment	8,478,662	7,458,329	1,020,333
Total	\$ 191,031,126	\$ 183,205,987	\$ 7,825,139

BAKERSFIELD CITY SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2016

This year's additions of \$15,914,396 included on-going construction projects, various site improvements, portable classrooms, various site modernization projects, vehicles and cafeteria equipment. General obligation bonds were issued to help finance on-going construction projects.

Several capital projects are planned for the 2016-2017 year. We anticipate capital additions to be \$9,131,544 for the 2016-2017 year. We present more detailed information about our capital assets in the Notes to Financial Statements.

Long-Term Obligations

At the end of this year, the District had \$99,213,893 in outstanding debt versus \$85,332,577 last year, an increase of 16.27 percent. The outstanding debt consisted of:

Table 6

	Governmental Activities		
	2016	2015	Variance
General obligation bonds	\$ 79,404,722	\$ 66,455,382	\$ 12,949,340
Bond premium, net of amortization	4,587,443	4,891,595	(304,152)
Compensated absences	1,115,117	1,041,181	73,936
Other postemployment benefits	14,106,611	12,944,419	1,162,192
Total	\$ 99,213,893	\$ 85,332,577	\$ 13,881,316

The District's general obligation bond ratings continue to be "A+ and Aa2" from Standard & Poor's and Moody's, respectively.

Other obligations include compensated absences payable and other postemployment benefits. We present more detailed information regarding our long-term obligations in the Notes to Financial Statements.

Net Pension Liability (NPL)

The District implemented GASB Statement No. 68, *Accounting and Financial Reporting for Pensions – an amendment of GASB No. 27* as June 30, 2015, which required the District to recognize its proportionate share of the unfunded pension obligation for CalSTRS and CalPERS. As of June 30, 2016, the District reported Deferred Outflows from pension activities of \$71,343,942, Deferred Inflows from pension activities of \$46,761,157 and a Net Pension Liability of \$237,291,686. We present more detailed information regarding our net pension liability in the Notes to Financial Statements.

BAKERSFIELD CITY SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2016

FACTORS BEARING ON THE DISTRICT'S FUTURE

Implementation of the new Local Control Funding Formula (LCFF) and the health of the state's economy are important factors affecting the district's future. At full implementation, LCFF is anticipated to bring the District an additional \$143 million per year in state revenues as compared to 2012-2013 (pre-LCFF) state funding levels. LCFF is expected to reach full implementation in 2020-2021 but may take longer depending on the strength of California's economic recovery.

In 2016-2017 the District anticipates receiving approximately \$20 million in additional LCFF funding over the prior year which will allow the district to increase services to students and accomplish goals outlined in the district's Local Control and Accountability Plan. These goals include: 1) providing additional behavioral support services to students; 2) lowering class sizes; 3) increasing library collections at all school sites; 4) providing additional extended learning opportunities to students; 5) increasing student access to computers; 6) providing professional development opportunities to teachers and 7) developing regional Parent Learning Centers.

For the ninth consecutive year the District's enrollment has continued to climb bringing additional revenues to the District while also creating additional operational costs and facility demands. The District has accommodated the growing student population and lower class sizes by opening two new school sites in 2014-2015 and adding additional classrooms to existing campuses.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, students, and investors and creditors with a general overview of the District's finances and to show the District's accountability for the money it receives. If you have questions about this report or need any additional financial information, contact the Bakersfield City School District, Fiscal Services Department, 1300 Baker Street, Bakersfield, California, 93305.

BAKERSFIELD CITY SCHOOL DISTRICT

STATEMENT OF NET POSITION

JUNE 30, 2016

	Governmental Activities
ASSETS	
Deposits and investments	\$ 135,870,508
Receivables	16,985,613
Prepaid expenses	492,225
Discount on bond issuance	910,344
Stores inventories	564,002
Nondepreciable capital assets	28,141,943
Capital assets being depreciated	254,206,064
Accumulated depreciation	(91,316,881)
Total Assets	345,853,818
DEFERRED OUTFLOWS OF RESOURCES	
Deferred outflows of resources related to pensions	71,343,942
Total Deferred Outflows of Resources	71,343,942
LIABILITIES	
Accounts payable	31,226,475
Interest payable	424,382
Unearned revenue	509,564
Long-term obligations:	
Current portion of long-term obligations other than pensions	1,574,152
Noncurrent portion of long-term obligations other than pensions	97,639,741
Total Long-Term Obligations	99,213,893
Aggregate net pension liability	237,291,686
Total Liabilities	368,666,000
DEFERRED INFLOWS OF RESOURCES	
Deferred inflows of resources related to pensions	46,761,157
Total Deferred Inflows of Resources	46,761,157
NET POSITION	
Net investment in capital assets	117,426,402
Restricted for:	
Debt service	4,485,820
Capital projects	9,940,852
Educational programs	5,831,925
Other activities	4,034,705
Unrestricted	(139,949,101)
Total Net Position	\$ 1,770,603

The accompanying notes are an integral part of these financial statements.

BAKERSFIELD CITY SCHOOL DISTRICT

STATEMENT OF ACTIVITIES FOR THE YEAR ENDED JUNE 30, 2015

Functions/Programs	Expenses	Program Revenues		
		Charges for Services and Sales	Operating Grants and Contributions	Capital Grants and Contributions
Governmental Activities:				
Instruction	\$ 220,587,593	\$ 469,007	\$ 43,974,602	\$ 60,261
Instruction-related activities:				
Supervision of instruction	25,887,512	6,236	12,331,325	-
Instructional library, media, and technology	385,367	-	6,954	-
School site administration	17,387,284	-	1,532,402	-
Pupil services:				
Home-to-school transportation	9,662,232	2,277	349,951	-
Food services	20,198,598	448,334	18,865,804	-
All other pupil services	13,138,016	28,511	2,271,007	-
Administration:				
Data processing	3,312,482	573	72	-
All other administration	11,089,380	23,149	1,791,626	-
Plant services	29,710,375	45,176	748,839	-
Ancillary services	954,710	-	14,427	-
Community services	1,225,683	-	315,228	-
Enterprise services	327,080	43,650	5,457	-
Interest on long-term obligations	4,867,308	-	-	-
Other outgo	774,437	889,611	137,798	-
Total Governmental Activities	\$ 359,508,057	\$ 1,956,524	\$ 82,345,492	\$ 60,261
General revenues and subventions:				
Property taxes, levied for general purposes				
Property taxes, levied for debt service				
Taxes levied for other specific purposes				
Federal and State aid not restricted to specific purposes				
Interest and investment earnings				
Special and extraordinary items				
Miscellaneous				
Subtotal, General Revenues				
Change in Net Position				
Net Position - Beginning				
Net Position - Ending				

The accompanying notes are an integral part of these financial statements.

**Net (Expenses)
Revenues and
Changes in
Net Position**

**Governmental
Activities**

\$ (176,083,723)

(13,549,951)

(378,413)

(15,854,882)

(9,310,004)

(884,460)

(10,838,498)

(3,311,837)

(9,274,605)

(28,916,360)

(940,283)

(910,455)

(277,973)

(4,867,308)

252,972

(275,145,780)

19,363,006

3,480,089

478,541

268,577,282

445,909

3,132,798

633,730

296,111,355

20,965,575

(19,194,972)

\$ 1,770,603

BAKERSFIELD CITY SCHOOL DISTRICT

GOVERNMENTAL FUNDS

BALANCE SHEET

JUNE 30, 2016

	General Fund	Cafeteria Fund	Non-Major Governmental Funds
ASSETS			
Deposits and investments	\$ 84,008,451	\$ 1,699,757	\$ 32,704,484
Receivables	11,481,595	5,072,521	400,125
Due from other funds	2,854,043	281,865	1,759
Prepaid expenditures	492,225	-	-
Stores inventories	195,803	368,199	-
Total Assets	\$ 99,032,117	\$ 7,422,342	\$ 33,106,368
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 16,048,557	\$ 655,940	\$ 2,668,029
Due to other funds	904,994	2,641,697	175,128
Unearned revenue	359,952	90,000	59,612
Total Liabilities	17,313,503	3,387,637	2,902,769
Fund Balances:			
Nonspendable	721,206	369,628	-
Restricted	5,530,003	3,665,077	25,034,331
Committed	6,654,328	-	81,704
Assigned	27,551	-	5,087,564
Unassigned	68,785,526	-	-
Total Fund Balances	81,718,614	4,034,705	30,203,599
Total Liabilities and Fund Balances	\$ 99,032,117	\$ 7,422,342	\$ 33,106,368

The accompanying notes are an integral part of these financial statements.

Total Governmental Funds	
\$	118,412,692
	16,954,241
	3,137,667
	492,225
	564,002
\$	139,560,827

\$	19,372,526
	3,721,819
	509,564
	23,603,909
	1,090,834
	34,229,411
	6,736,032
	5,115,115
	68,785,526
	115,956,918
\$	139,560,827

BAKERSFIELD CITY SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE STATEMENT OF NET POSITION JUNE 30, 2016

Total Fund Balance - Governmental Funds	\$ 115,956,918
Amounts Reported for Governmental Activities in the Statement of Net Position are Different Because:	
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in governmental funds.	
The cost of capital assets is	\$ 282,348,007
Accumulated depreciation is	<u>(91,316,881)</u>
Net Capital Assets	191,031,126
Expenditures relating to contributions made to pension plans were recognized on the modified accrual basis, but are not recognized on the accrual basis.	19,890,481
Unamortized costs: In governmental funds, bond discounts are recognized as expenditures in the period they are incurred. In the government-wide statements, bond discounts are amortized over the life of the debt. Unamortized bond discounts is reported in discount on bond issuance on the Statement of Net Position are:	910,344
In governmental funds, unmatured interest on long-term obligations is recognized in the period when it is due. On the government-wide financial statements, unmatured interest on long-term obligations is recognized when it is incurred.	(424,382)
Internal service funds are used by the District's management to charge the costs of the health and welfare and the workers' compensation insurance programs to the individual funds. The assets and liabilities of the internal service funds are included with governmental activities.	6,219,391
The net change in proportionate share of net pension liability as of the measurement date is not recognized as an expenditure under the modified accrual basis, but is recognized on the accrual basis over the expected average remaining service life of members receiving pension benefits.	24,575,855
The difference between projected and actual earnings on pension plan investments are not recognized on the modified accrual basis, but are recognized on the accrual basis as an adjustment to pension expense.	(16,630,849)
The differences between expected and actual experience in the measurement of the total pension liability are not recognized on the modified accrual basis, but are recognized on the accrual basis over the expected average remaining service life of members receiving pension benefits.	272,387

The accompanying notes are an integral part of these financial statements.

BAKERSFIELD CITY SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE STATEMENT OF NET POSITION, Continued JUNE 30, 2016

The changes of assumptions is not recognized as an expenditure under the modified accrual basis, but is recognized on the accrual basis over the expected average remaining service life of members receiving pension benefits.		\$ (3,525,089)
Net pension liability is not due and payable in the current period, and is not reported as a liability in the funds.		(237,291,686)
Long-term obligations, including bonds payable, are not due and payable in the current period and, therefore, are not reported as liabilities in the funds.		
General obligation bonds	\$ 83,992,165	
Compensated absences	1,115,117	
Other postemployment benefits (OPEB)	14,106,611	
Total Long-Term Obligations		(99,213,893)
Total Net Position - Governmental Activities		\$ 1,770,603

The accompanying notes are an integral part of these financial statements.

BAKERSFIELD CITY SCHOOL DISTRICT

GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES FOR THE YEAR ENDED JUNE 30, 2016

	General Fund	Cafeteria Fund
REVENUES		
Local Control Funding Formula	\$ 267,192,019	\$ -
Federal sources	26,171,829	18,721,585
Other State sources	54,566,174	1,398,951
Other local sources	2,609,996	538,051
Total Revenues	350,540,018	20,658,587
EXPENDITURES		
Current		
Instruction	209,527,375	-
Instruction-related activities:		
Supervision of instruction	25,406,185	-
Instructional library, media and technology	143,129	-
School site administration	16,670,026	-
Pupil services:		
Home-to-school transportation	10,742,599	-
Food services	-	19,586,441
All other pupil services	12,826,524	-
Administration:		
Data processing	3,580,421	-
All other administration	9,509,748	771,221
Plant services	27,768,657	592,532
Facility acquisition and construction	6,209,035	-
Ancillary services	948,312	-
Community services	1,231,469	-
Other outgo	774,437	-
Enterprise services	-	-
Debt service		
Principal	-	-
Interest and other	-	-
Total Expenditures	325,337,917	20,950,194
Excess (Deficiency) of Revenues Over Expenditures	25,202,101	(291,607)
Other Financing Sources (Uses)		
Transfers in	-	1,038,479
Other sources	-	-
Transfers out	(5,038,479)	-
Net Financing Sources (Uses)	(5,038,479)	1,038,479
NET CHANGE IN FUND BALANCES	20,163,622	746,872
Fund Balance - Beginning	61,554,992	3,287,833
Fund Balance - Ending	\$ 81,718,614	\$ 4,034,705

The accompanying notes are an integral part of these financial statements.

Non-Major Governmental Funds	Total Governmental Funds
\$ -	\$ 267,192,019
162,016	45,055,430
2,270,205	58,235,330
5,018,406	8,166,453
<u>7,450,627</u>	<u>378,649,232</u>
1,941,135	211,468,510
189,243	25,595,428
-	143,129
58,405	16,728,431
-	10,742,599
-	19,586,441
-	12,826,524
-	3,580,421
115,333	10,396,302
755,804	29,116,993
7,248,870	13,457,905
-	948,312
-	1,231,469
-	774,437
280,515	280,515
1,695,000	1,695,000
4,016,780	4,016,780
<u>16,301,085</u>	<u>362,589,196</u>
<u>(8,850,458)</u>	<u>16,060,036</u>
4,000,000	5,038,479
15,902,798	15,902,798
-	(5,038,479)
<u>19,902,798</u>	<u>15,902,798</u>
11,052,340	31,962,834
19,151,259	83,994,084
<u>\$ 30,203,599</u>	<u>\$ 115,956,918</u>

BAKERSFIELD CITY SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES TO THE STATEMENT OF ACTIVITIES FOR THE YEAR ENDED JUNE 30, 2016

Total Net Change in Fund Balances - Governmental Funds **\$ 31,962,834**
Amounts Reported for Governmental Activities in the Statement
of Activities are Different Because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures; however, for governmental activities, those costs are shown in the Statement of Net Position and allocated over their estimated useful lives as annual depreciation expenses in the Statement of Activities.

This is the amount by which capital outlays exceed depreciation in the period.

Capital outlays	\$ 15,914,396	
Depreciation expense	<u>(8,077,978)</u>	
Net Expense Adjustment		7,836,418

Loss on disposal of capital assets is reported in the government-wide Statement of Net Position, but is not recorded in the governmental funds. (11,279)

In the Statement of Activities, certain operating expenses - compensated absences (vacations) are measured by the amounts earned during the year. In the governmental funds, however, expenditures for these items are measured by the amount of financial resources used (essentially, the amounts actually paid). Vacation earned was more than the amounts paid by \$73,936. (73,936)

In the governmental funds, pension costs are based on employer contributions made to pension plans during the year. However, in the Statement of Activities, pension expense is the net effect of all changes in the deferred outflows, deferred inflows and net pension liability during the year. (4,174,594)

Postemployment benefits other than pensions (OPEB): In governmental funds, OPEB costs are recognized when employer contributions are made. In the Statement of Activities, OPEB costs are recognized on the accrual basis. This year, the difference between OPEB costs and actual employer contributions was: (1,162,192)

Proceeds received from the sale of bonds, net of issuance discount, is a revenue in the governmental funds, but it increases long-term obligations in the Statement of Net Position and does not affect the Statement of Activities. (13,400,992)

The accompanying notes are an integral part of these financial statements.

BAKERSFIELD CITY SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES TO THE STATEMENT OF ACTIVITIES, Continued FOR THE YEAR ENDED JUNE 30, 2016

In governmental funds, debt issue costs are recognized as expenditures in the period they are incurred and premiums are recognized as revenues. In the government-wide statements, these items are amortized over the life of the debt.

Amortization of debt premium	\$ 304,152	
Amortization of discount	<u>(51,800)</u>	
Combined adjustment		\$ 252,352

Payment of principal on long-term obligations is an expenditure in the governmental funds, but it reduces long-term obligations in the Statement of Net Position and does not affect the Statement of Activities:

General obligation bonds		1,695,000
--------------------------	--	-----------

Interest on long-term obligations in the Statement of Activities differs from the amount reported in the governmental funds because interest is recorded as an expenditure in the funds when it is due, and thus requires the use of current financial resources. In the Statement of Activities, however, interest expense is recognized as the interest accrues, regardless of when it is due. The additional interest reported in the Statement of Activities includes additional accumulated interest that was accreted on the District's capital appreciation general obligation bonds and accrued interest on the general obligation bonds.

(1,221,887)

An internal service fund is used by the District's management to charge the costs of the insurance programs (health and welfare and workers' compensation) to the individual funds. The net revenue of the Internal Service Fund is reported with governmental activities.

(736,149)

Change in Net Position of Governmental Activities

\$ 20,965,575

The accompanying notes are an integral part of these financial statements.

BAKERSFIELD CITY SCHOOL DISTRICT

PROPRIETARY FUNDS STATEMENT OF NET POSITION JUNE 30, 2016

	Governmental Activities Internal Service Funds		
	Self Insurance Workers' Compensation Fund	Self Insurance Healthcare Fund	Totals
ASSETS			
Current Assets			
Deposits and investments	\$ 12,320,047	\$ 5,137,769	\$ 17,457,816
Receivables	25,449	5,923	31,372
Due from other funds	621,449	-	621,449
Total Assets	12,966,945	5,143,692	18,110,637
LIABILITIES			
Current Liabilities			
Accounts payable	7,189,569	4,664,380	11,853,949
Due to other funds	22,378	14,919	37,297
Total Current Liabilities	7,211,947	4,679,299	11,891,246
NET POSITION			
Unrestricted	5,754,998	464,393	6,219,391
Total Net Position	\$ 5,754,998	\$ 464,393	\$ 6,219,391

The accompanying notes are an integral part of these financial statements.

BAKERSFIELD CITY SCHOOL DISTRICT**PROPRIETARY FUNDS
STATEMENT OF REVENUES, EXPENSES, AND CHANGES
IN FUND NET POSITION
FOR THE YEAR ENDED JUNE 30, 2016**

	Governmental Activities		
	Internal Service Funds		
	Self Insurance Workers' Compensation Fund	Self Insurance Healthcare Fund	Totals
OPERATING REVENUES			
Charges to other funds and miscellaneous revenues	\$ 3,349,994	\$ 54,208,433	\$ 57,558,427
Total Operating Revenues	<u>3,349,994</u>	<u>54,208,433</u>	<u>57,558,427</u>
OPERATING EXPENSES			
Professional and contract services	3,530,493	54,866,252	58,396,745
Total Operating Expenses	<u>3,530,493</u>	<u>54,866,252</u>	<u>58,396,745</u>
Operating Loss	<u>(180,499)</u>	<u>(657,819)</u>	<u>(838,318)</u>
NONOPERATING REVENUES			
Interest income	82,160	20,009	102,169
Total Nonoperating Revenues	<u>82,160</u>	<u>20,009</u>	<u>102,169</u>
Change in Net Position	(98,339)	(637,810)	(736,149)
Total Net Position - Beginning	<u>5,853,337</u>	<u>1,102,203</u>	<u>6,955,540</u>
Total Net Position - Ending	<u>\$ 5,754,998</u>	<u>\$ 464,393</u>	<u>\$ 6,219,391</u>

The accompanying notes are an integral part of these financial statements.

BAKERSFIELD CITY SCHOOL DISTRICT

PROPRIETARY FUNDS STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2016

	Governmental Activities Internal Service Funds		
	Self Insurance Workers' Compensation Fund	Self Insurance Healthcare Fund	Totals
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash received from premiums	\$ 3,221,242	\$ 49,315,888	\$ 52,537,130
Cash received from refunds	128,752	4,892,545	5,021,297
Cash paid for claims	(2,538,108)	(52,109,349)	(54,647,457)
Cash paid for contracted services	(467,335)	(2,194,078)	(2,661,413)
Net Cash Provided/(Used) by Operating Activities	344,551	(94,994)	249,557
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES			
Nonoperating grants received	1,062,848	5,757	1,068,605
Net Cash Provided by Noncapital Financing Activities	1,062,848	5,757	1,068,605
CASH FLOWS FROM INVESTING ACTIVITIES			
Interest on investments	71,222	18,093	89,315
Net Cash Provided by Investing Activities	71,222	18,093	89,315
Net Increase/(Decrease) in Cash and Cash Equivalents	1,478,621	(71,144)	1,407,477
Cash and Cash Equivalents - Beginning	10,841,426	5,208,913	16,050,339
Cash and Cash Equivalents - Ending	\$ 12,320,047	\$ 5,137,769	\$ 17,457,816
RECONCILIATION OF OPERATING LOSS TO NET CASH PROVIDED/ (USED) BY OPERATING ACTIVITIES			
Operating loss	\$ (180,499)	\$ (657,819)	\$ (838,318)
Changes in assets and liabilities:			
Accounts payable	525,050	562,825	1,087,875
NET CASH PROVIDED/(USED) BY OPERATING ACTIVITIES	\$ 344,551	\$ (94,994)	\$ 249,557

The accompanying notes are an integral part of these financial statements.

BAKERSFIELD CITY SCHOOL DISTRICT

FIDUCIARY FUNDS STATEMENT OF NET POSITION JUNE 30, 2016

	<u>Agency Funds</u>
ASSETS	
Deposits and investments	\$ 113,063
Total Assets	<u><u>\$ 113,063</u></u>
 LIABILITIES	
Due to student groups	\$ 113,063
Total Liabilities	<u><u>\$ 113,063</u></u>

The accompanying notes are an integral part of these financial statements.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Financial Reporting Entity

The Bakersfield City School District (the District) was established in 1882 under the laws of the State of California. The District operates under a locally elected five-member Board form of government and provides educational services to grades K - 8 as mandated by the State and/or Federal agencies. The District operates thirty-four elementary schools, seven middle schools, and two junior high schools.

A reporting entity is comprised of the primary government and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments, boards, and agencies that are not legally separate from the District. For Bakersfield City School District, this includes general operations, food service, and student related activities of the District.

Basis of Presentation - Fund Accounting

The accounting system is organized and operated on a fund basis. A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts, which are segregated for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations. The District's funds are grouped into three broad fund categories: governmental, proprietary, and fiduciary.

Governmental Funds Governmental funds are those through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses, and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets and liabilities is reported as fund balance. The following are the District's major and non-major governmental funds:

Major Governmental Funds

General Fund The General Fund is the chief operating fund for all districts. It is used to account for the ordinary operations of the District. All transactions except those accounted for in another fund are accounted for in this fund.

Two funds currently defined as special revenue funds in the California State Accounting Manual (CSAM) do not meet the GASB Statement No. 54 special revenue fund definition. Specifically, Fund 20, Special Reserve Other Postemployment Benefits Fund, and Fund 15, Pupil Transportation Fund, are not substantially composed of restricted or committed revenue sources. While these funds are authorized by statute and will remain open for internal reporting purposes, these funds function effectively as extensions of the General Fund, and accordingly have been combined with the General Fund for presentation in these audited financial statements.

As a result, the General Fund reflects an increase in assets, fund balance, revenues, and expenditures of \$6,681,880, \$6,681,880, \$49,545, and \$1,331,952, respectively.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Cafeteria Fund The Cafeteria Fund is used to account separately for Federal, State, and local resources to operate the food service program (*Education Code* Sections 38090-38093) and is used only for those expenditures authorized by the governing board as necessary for the operation of the District's food service program (*Education Code* Sections 38091 and 38100).

Non-Major Governmental Funds

Special Revenue Funds The Special Revenue funds are used to account for the proceeds from specific revenue sources (other than trusts, major capital projects, or debt service) that are restricted or committed to expenditures for specified purposes and that compose a substantial portion of the inflows of the fund. Additional resources that are restricted, committed, or assigned to the purpose of the fund may also be reported in the fund.

Child Development Fund The Child Development Fund is used to account separately for Federal, State, and local revenues to operate child development programs and is to be used only for expenditures for the operation of child development programs.

Deferred Maintenance Fund The Deferred Maintenance Fund is used to account separately for State apportionments and the District's contributions for deferred maintenance purposes (*Education Code* Sections 17582-17587) and for items of maintenance approved by the State Allocation Board.

Capital Project Funds The Capital Project funds are used to account for financial resources that are restricted, committed, or assigned to the acquisition or construction of major capital facilities and other capital assets (other than those financed by proprietary funds and trust funds).

Building Fund The Building Fund exists primarily to account separately for proceeds from the sale of bonds (*Education Code* Section 15146) and may not be used for any purposes other than those for which the bonds were issued.

Capital Facilities Fund The Capital Facilities Fund is used primarily to account separately for monies received from fees levied on developers or other agencies as a condition of approving a development (*Education Code* Sections 17620-17626). Expenditures are restricted to the purposes specified in *Government Code* Sections 65970-65981 or to the items specified in agreements with the developer (*Government Code* Section 66006).

County School Facilities Fund The County School Facilities Fund is established pursuant to *Education Code* Section 17070.43 to receive apportionments from the 1998 State School Facilities Fund (Proposition 1A), the 2002 State School Facilities Fund (Proposition 47), the 2004 State School Facilities Fund (Proposition 55), or the 2006 State Schools Facilities Fund (Proposition 1D) authorized by the State Allocation Board for new school facility construction, modernization projects, and facility hardship grants, as provided in the Leroy F. Greene School Facilities Act of 1998 (*Education Code* Section 17070 et seq.).

Special Reserve Capital Outlay Fund The Special Reserve Capital Outlay Fund exists primarily to provide for the accumulation of General Fund monies for capital outlay purposes (*Education Code* Section 42840).

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Debt Service Funds The Debt Service funds are used to account for the accumulation of restricted, committed, or assigned resources for and the payment of principal and interest on general long-term obligations.

Bond Interest and Redemption Fund The Bond Interest and Redemption Fund is used for the repayment of bonds issued for a district (*Education Code* Sections 15125-15262).

Proprietary Funds Proprietary funds are used to account for activities that are more business-like than government-like in nature. Proprietary funds include those for which a fee is charged to external users or to other organizational units of the local education agency, normally on a full cost-recovery basis. Proprietary funds are generally intended to be self-supporting and are classified as enterprise or internal service. The District has the following proprietary funds:

Internal Service Funds Internal Service funds may be used to account for goods or services provided to other funds of the District on a cost-reimbursement basis. The District operates a Self-Insurance Workers' Compensation Fund and a Self-Insurance Healthcare Fund that are accounted for as internal service funds.

Fiduciary Funds Fiduciary funds are used to account for assets held in trustee or agent capacity for others that cannot be used to support the District's own programs. The fiduciary fund category is agency funds. Agency funds are custodial in nature (assets equal liabilities) and do not involve measurement of results of operations. Such funds have no equity accounts since all assets are due to individuals or entities at some future time. The District's agency fund accounts for student body activities (ASB).

Basis of Accounting - Measurement Focus

Government-Wide Financial Statements The government-wide financial statements are prepared using the economic resources measurement focus and the accrual basis of accounting. This is the same approach used in the preparation of the proprietary fund financial statements, but differs from the manner in which governmental fund financial statements are prepared.

The government-wide statement of activities presents a comparison between expenses, both direct and indirect, of the District and for each governmental function, and exclude fiduciary activity. Direct expenses are those that are specifically associated with a service, program, or department and are therefore, clearly identifiable to a particular function. The District does not allocate indirect expenses to functions in the Statement of Activities, except for depreciation. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program or business segment is self-financing or draws from the general revenues of the District. Eliminations have been made to minimize the double counting of internal activities.

Net position should be reported as restricted when constraints placed on net position are either externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or imposed by law through constitutional provisions or enabling legislation. The net position restricted for other activities result from special revenue funds and the restrictions on their use.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Fund Financial Statements Fund financial statements report detailed information about the District. The focus of governmental and proprietary fund financial statements is on major funds rather than reporting funds by type. Each major fund is presented in a separate column. Non-major funds are aggregated and presented in a single column. The internal service funds are presented in two columns on the face of the proprietary fund statements.

Governmental Funds All governmental funds are accounted for using the flow of current financial resources measurement focus and the modified accrual basis of accounting. With this measurement focus, only current assets and current liabilities generally are included on the balance sheet. The statement of revenues, expenditures, and changes in fund balances reports on the sources (revenues and other financing sources) and uses (expenditures and other financing uses) of current financial resources. This approach differs from the manner in which the governmental activities of the government-wide financial statements are prepared. Governmental fund financial statements, therefore, include reconciliations with brief explanations to better identify the relationship between the government-wide financial statements, prepared using the economic resources measurement focus and the accrual basis of accounting, and the governmental fund financial statements, prepared using the flow of current financial resources measurement focus and the modified accrual basis of accounting.

Proprietary Funds Proprietary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. All assets and all liabilities associated with the operation of this fund are included in the statement of net position. The statement of changes in fund net position presents increases (revenues) and decreases (expenses) in net total position. The statement of cash flows provides information about how the District finances and meets the cash flow needs of its proprietary funds.

Fiduciary Funds Fiduciary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. Fiduciary funds are excluded from the government-wide financial statements because they do not represent resources of the District.

Revenues – Exchange and Non-Exchange Transactions Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. Available means that the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter, to be used to pay liabilities of the current fiscal year. Generally, available is defined as collectible within 60 days. However, to achieve comparability of reporting among California districts and so as not to distort normal revenue patterns, with specific respect to reimbursement grants and corrections to State-aid apportionments, the California Department of Education has defined available for districts as collectible within one year. The following revenue sources are considered to be both measurable and available at fiscal year-end: State apportionments, interest, certain grants, and other local sources.

Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, certain grants, entitlements, and donations. Revenue from property taxes is recognized in the fiscal year in which the taxes are received. Revenue from certain grants, entitlements, and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include time and purpose restrictions. On a modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Unearned Revenue Unearned revenue arises when potential revenue does not meet both the "measurable" and "available" criteria for recognition in the current period or when resources are received by the District prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the District has a legal claim to the resources, the liability for unearned revenue is removed from the balance sheet and revenue is recognized.

Certain grants received before the eligibility requirements are met are recorded as unearned revenue. On the governmental fund financial statements, receivables that will not be collected within the available period are also recorded as unearned revenue.

Expenses/Expenditures On the accrual basis of accounting, expenses are recognized at the time they are incurred. The measurement focus of governmental fund accounting is on decreases in net financial resources (expenditures) rather than expenses. Expenditures are generally recognized in the accounting period in which the related fund liability is incurred, if measurable, and typically paid within 90 days. Principal and interest on long-term obligations, which has not matured, are recognized when paid in the governmental funds as expenditures. Allocations of costs, such as depreciation and amortization, are not recognized in the governmental funds but are recognized in the entity-wide statements.

Cash and Cash Equivalents

The District's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition. Cash equivalents also include cash with county treasury balances for purposes of the statement of cash flows.

Investments

Investments held at June 30, 2016, with original maturities greater than one year are stated at fair value. Fair value is estimated based on quoted market prices at year-end. All investments not required to be reported at fair value are stated at cost or amortized cost. Fair values of investments in county and State investment pools are determined by the program sponsor.

Prepaid Expenditures

Prepaid expenditures (expenses) represent amounts paid in advance of receiving goods or services. The District has the option of reporting an expenditure in governmental funds for prepaid items either when purchased or during the benefiting period. The District has chosen to report the expenditures during the benefiting period.

Stores Inventories

Inventories consist of expendable food and supplies held for consumption. Inventories are stated at cost, on the first-in, first-out basis for food items and weighted average basis for supply items. The costs of inventory items are recorded as expenditures in the governmental funds.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Capital Assets and Depreciation

The accounting and reporting treatment applied to the capital assets associated with a fund are determined by its measurement focus. Capital assets are long-lived assets of the District. The District maintains a capitalization threshold of \$15,000. The District does not possess any infrastructure. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not capitalized, but are expensed as incurred.

When purchased, such assets are recorded as expenditures in the governmental funds and capitalized in the government-wide statement of net position. The valuation basis for capital assets is historical cost, or where historical cost is not available, estimated historical cost based on replacement cost. Donated capital assets are capitalized at estimated fair market value on the date donated.

Depreciation is computed using the straight-line method. Estimated useful lives of the various classes of depreciable capital assets are as follows: buildings, 25 to 50 years; improvements, 10 to 35 years; equipment, 5 to 15 years.

Interfund Balances

On fund financial statements, receivables and payables resulting from short-term interfund loans are classified as "interfund receivables/payables". These amounts are eliminated in the governmental activities column of the statement of net position.

Compensated Absences

Compensated absences are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the government-wide statement of net position.

Sick leave is accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recognized as a liability in the District's financial statements. However, credit for unused sick leave is applicable to all classified school members who retire after January 1, 1999. At retirement, each member will receive .004 year of service credit for each day of unused sick leave. Credit for unused sick leave is applicable to all certificated employees and is determined by dividing the number of unused sick days by the number of base service days required to complete the last school year, if employed full-time.

Accounts Payable and Long-Term Obligations

Accounts payable and long-term obligations are reported in the government-wide financial statements. In general, governmental fund accounts payable that are paid in a timely manner and in full from current financial resources are reported as obligations of the funds.

However, compensated absences, special termination benefits, bonds, and other long-term obligations are recognized as liabilities in the entity-wide fund financial statements when due.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Debt Premiums and Discounts

In the government-wide financial statements, long-term obligations are reported as liabilities in the statement of net position. Debt premiums and discounts are amortized over the life of the bonds using the straight-line method.

In governmental fund financial statements, debt premiums and discounts, as well as debt issuance costs are recognized in the current period. The face amount of the debt is reported as other financing sources. Premiums received on debt issuance are also reported as other financing sources. Issuance costs, whether or not withheld from the actual debt proceeds, are reported as debt service expenditures.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position also reports deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The District reports deferred outflows of resources for pension related items.

In addition to liabilities, the Statement of Net Position reports a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The District reports deferred inflows of resources for pension related items.

Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the California State Teachers' Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) plan for schools (Plans) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalSTRS and CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Member contributions are recognized in the period in which they are earned. Investments are reported at fair value.

Fund Balances - Governmental Funds

As of June 30, 2016, fund balances of the governmental funds are classified as follows:

Nonspendable - amounts that cannot be spent either because they are in nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted - amounts that can be spent only for specific purposes because of constitutional provisions or enabling legislation or because of constraints that are externally imposed by creditors, grantors, contributors, or the laws or regulations of other governments.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Committed - amounts that can be used only for specific purposes determined by a formal action of the governing board. The governing board is the highest level of decision-making authority for the District. Commitments may be established, modified, or rescinded only through resolutions or other action as approved by the governing board.

Assigned - amounts that do not meet the criteria to be classified as restricted or committed but that are intended to be used for specific purposes. Under the District's adopted policy, only the governing board or chief business officer/assistant superintendent of business services may assign amounts for specific purposes.

Unassigned - all other spendable amounts.

Spending Order Policy

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balance is available, the District considers restricted funds to have been spent first. When an expenditure is incurred for which committed, assigned, or unassigned fund balances are available, the District considers amounts to have been spent first out of committed funds, then assigned funds, and finally unassigned funds, as needed, unless the governing board has provided otherwise in its commitment or assignment actions.

Minimum Fund Balance Policy

The governing board adopted a minimum fund balance policy for the General Fund in order to protect the District against revenue shortfalls or unpredicted one-time expenditures. The policy requires a Reserve for Economic Uncertainties consisting of unassigned amounts equal to no less than three percent of General Fund expenditures and other financing uses.

Net Position

Net position represents the difference between assets and liabilities. Net position net of investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction, or improvement of those assets. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors, or laws or regulations of other governments. The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position is available. The government-wide financial statements report \$24,293,303 of restricted net position.

Operating Revenues and Expenses

Operating revenues are those revenues that are generated directly from the primary activity of the proprietary funds. For the District, these revenues are premiums charged to the operating funds to support the health and welfare and workers' compensation coverage. Operating expenses are necessary costs incurred to provide the good or service that is the primary activity of the fund. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Interfund Activity

Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after non-operating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented in the financial statements. Interfund transfers are eliminated in the governmental activities column of the Statement of Activities.

Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgetary Data

The budgetary process is prescribed by provisions of the *California Education Code* and requires the governing board to hold a public hearing and adopt an operating budget no later than July 1 of each year. The District governing board satisfied these requirements. The adopted budget is subject to amendment throughout the year to give consideration to unanticipated revenue and expenditures primarily resulting from events unknown at the time of budget adoption with the legal restriction that expenditures cannot exceed appropriations by major object account.

The amounts reported as the original budgeted amounts in the budgetary statements reflect the amounts when the original appropriations were adopted. The amounts reported as the final budgeted amounts in the budgetary statements reflect the amounts after all budget amendments have been accounted for.

Property Tax

Secured property taxes attach as an enforceable lien on property as of January 1. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. The County of Kern bills and collects the taxes on behalf of the District. Local property tax revenues are recorded when received.

Change in Accounting Principles

In February 2015, the GASB issued Statement No. 72, *Fair Value Measurement and Application*. This Statement addresses accounting and financial reporting issues related to fair value measurements. The definition of *fair value* is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. This Statement provides guidance for determining a fair value measurement for financial reporting purposes. This Statement also provides guidance for applying fair value to certain investments and disclosures related to all fair value measurements.

The District has implemented the provisions of this Statement as of June 30, 2016.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

In June 2015, the GASB issued Statement No. 73, *Accounting and Financial Reporting for Pensions and Related Assets That Are Not Within the Scope of GASB Statement No. 68, and Amendments to Certain Provisions of GASB Statements No. 67 and No. 68*. The objective of this Statement is to improve the usefulness of information about pensions included in the general purpose external financial reports of state and local governments for making decisions and assessing accountability. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement establishes requirements for defined benefit pensions that are not within the scope of Statement No. 68, *Accounting and Financial Reporting for Pensions*, as well as for the assets accumulated for purposes of providing those pensions. In addition, it establishes requirements for defined contribution pensions that are not within the scope of Statement No. 68. It also amends certain provisions of Statement No. 67, *Financial Reporting for Pension Plans*, and Statement No. 68 for pension plans and pensions that are within their respective scopes.

The provisions in this Statement effective as of June 30, 2016, include the provisions for assets accumulated for purposes of providing pensions through defined benefit plans and the amended provisions of Statements No. 67 and No. 68. The District has implemented these provisions as of June 30, 2016. The provisions in this Statement related to defined benefit pensions that are not within the scope of Statement No. 68 are effective for periods beginning after June 15, 2016.

In June 2015, the GASB issued Statement No. 76, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*. The objective of this Statement is to identify—in the context of the current governmental financial reporting environment—the hierarchy of generally accepted accounting principles (GAAP). The "GAAP hierarchy" consists of the sources of accounting principles used to prepare financial statements of state and local governmental entities in conformity with GAAP and the framework for selecting those principles. This Statement reduces the GAAP hierarchy to two categories of authoritative GAAP and addresses the use of authoritative and non-authoritative literature in the event that the accounting treatment for a transaction or other event is not specified within a source of authoritative GAAP.

This Statement supersedes Statement No. 55, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*.

The District has implemented the provisions of this Statement as of June 30, 2016.

In December 2015, the GASB issued Statement No. 79, *Certain External Investment Pools and Pool Participants*. This Statement addresses accounting and financial reporting for certain external investment pools and pool participants. Specifically, it establishes criteria for an external investment pool to qualify for making the election to measure all of its investments at amortized cost for financial reporting purposes. An external investment pool qualifies for that reporting if it meets all of the applicable criteria established in this Statement. The specific criteria address (1) how the external investment pool transacts with participants; (2) requirements for portfolio maturity, quality, diversification, and liquidity; and (3) calculation and requirements of a shadow price. Significant noncompliance prevents the external investment pool from measuring all of its investments at amortized cost for financial reporting purposes. Professional judgment is required to determine if instances of noncompliance with the criteria established by this Statement during the reporting period, individually or in the aggregate, were significant.

BAKERSFIELD CITY SCHOOL DISTRICT

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JUNE 30, 2016

If an external investment pool does not meet the criteria established by this Statement, that pool should apply the provisions in paragraph 16 of Statement No. 31, *Accounting and Financial Reporting for Certain Investments and for External Investment Pools*, as amended. If an external investment pool meets the criteria in this Statement and measures all of its investments at amortized cost, the pool's participants also should measure their investments in that external investment pool at amortized cost for financial reporting purposes. If an external investment pool does not meet the criteria in this Statement, the pool's participants should measure their investments in that pool at fair value, as provided in paragraph 11 of Statement No. 31, as amended.

This Statement establishes additional note disclosure requirements for qualifying external investment pools that measure all of their investments at amortized cost for financial reporting purposes and for governments that participate in those pools. Those disclosures for both the qualifying external investment pools and their participants include information about any limitations or restrictions on participant withdrawals.

The District has implemented the provisions of this Statement as of June 30, 2016.

New Accounting Pronouncements

In June 2015, the GASB issued Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*. The objective of this Statement is to improve the usefulness of information about postemployment benefits other than pensions (other postemployment benefits or OPEB) included in the general purpose external financial reports of state and local governmental OPEB plans for making decisions and assessing accountability. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement replaces Statements No. 43, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*. It also includes requirements for defined contribution OPEB plans that replace the requirements for those OPEB plans in Statement No. 25, *Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans*, as amended, Statement No. 43, and Statement No. 50, *Pension Disclosures*.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2016. Early implementation is encouraged.

In June 2015, the GASB issued Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pension*. The primary objective of this Statement is to improve accounting and financial reporting by state and local governments for postemployment benefits other than pensions (other postemployment benefits or OPEB). It also improves information provided by state and local governmental employers about financial support for OPEB that is provided by other entities. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

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This Statement replaces the requirements of Statements No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*, for OPEB. Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, establishes new accounting and financial reporting requirements for OPEB plans.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2017. Early implementation is encouraged.

In August 2015, the GASB issued Statement No. 77, *Tax Abatement Disclosures*. This Statement requires governments that enter into tax abatement agreements to disclose the following information about the agreements:

- Brief descriptive information, such as the tax being abated, the authority under which tax abatements are provided, eligibility criteria, the mechanism by which taxes are abated, provisions for recapturing abated taxes, and the types of commitments made by tax abatement recipients
- The gross dollar amount of taxes abated during the period
- Commitments made by a government, other than to abate taxes, as part of a tax abatement agreement

The requirements of this Statement are effective for financial statements for periods beginning after December 15, 2015. Early implementation is encouraged.

In December 2015, the GASB issued Statement No. 78, *Pensions Provided Through Certain Multiple-Employer Defined Benefit Pension Plans*. The objective of this Statement is to address a practice issue regarding the scope and applicability of Statement No. 68, *Accounting and Financial Reporting for Pensions*. This issue is associated with pensions provided through certain multiple-employer defined benefit pension plans and to state or local governmental employers whose employees are provided with such pensions.

Prior to the issuance of this Statement, the requirements of Statement No. 68 applied to the financial statements of all state and local governmental employers whose employees are provided with pensions through pension plans that are administered through trusts that meet the criteria in paragraph 4 of that Statement.

This Statement amends the scope and applicability of Statement No. 68 to exclude pensions provided to employees of state or local governmental employers through a cost-sharing multiple-employer defined benefit pension plan that (1) is not a state or local governmental pension plan, (2) is used to provide defined benefit pensions both to employees of state or local governmental employers and to employees of employers that are not state or local governmental employers, and (3) has no predominant state or local governmental employer (either individually or collectively with other state or local governmental employers that provide pensions through the pension plan). This Statement establishes requirements for recognition and measurement of pension expense, expenditures, and liabilities; note disclosures; and required supplementary information for pensions that have the characteristics described above.

The requirements of this Statement are effective for reporting periods beginning after December 15, 2015. Early implementation is encouraged.

BAKERSFIELD CITY SCHOOL DISTRICT

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JUNE 30, 2016

In January 2016, the GASB issued Statement No. 80, *Blending Requirements for Certain Component Units - amendment of GASB Statement No. 14*. The objective of this Statement is to improve financial reporting by clarifying the financial statement presentation requirements for certain component units. This Statement amends the blending requirements established in paragraph 53 of Statement No. 14, *The Financial Reporting Entity, as amended*. The additional criterion requires blending of a component unit incorporated as a not-for-profit corporation in which the primary government is the sole corporate member. The additional criterion does not apply to component units included in the financial reporting entity pursuant to the provisions of Statement No. 39, *Determining Whether Certain Organizations Are Component Units*.

The requirements of this Statement are effective for reporting periods beginning after June 15, 2016. Early implementation is encouraged.

In March 2016, the GASB issued Statement No. 81, *Irrevocable Split-Interest Agreements*. The objective of this Statement is to improve accounting and financial reporting for irrevocable split-interest agreements by providing recognition and measurement guidance for situations in which a government is a beneficiary of the agreement.

This Statement requires that a government that receives resources pursuant to an irrevocable split-interest agreement recognize assets, liabilities, and deferred inflows of resources at the inception of the agreement. Furthermore, this Statement requires that a government recognize assets representing its beneficial interests in irrevocable split-interest agreements that are administered by a third party, if the government controls the present service capacity of the beneficial interests. This Statement requires that a government recognize revenue when the resources become applicable to the reporting period.

The requirements of this Statement are effective for financial statements for periods beginning after December 15, 2016, and should be applied retroactively. Early implementation is encouraged.

In March 2016, the GASB issued Statement No. 82, *Pension Issues - An Amendment of GASB Statements No. 67, No. 68, and No. 73*. The objective of this Statement is to address certain issues that have been raised with respect to Statements No. 67, *Financial Reporting for Pension Plans*, No. 68, *Accounting and Financial Reporting for Pensions*, and No. 73, *Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement No. 68, and Amendments to Certain Provisions of GASB Statements No. 67 and No. 68*. Specifically, this Statement addresses issues regarding (1) the presentation of payroll-related measures in required supplementary information, (2) the selection of assumptions and the treatment of deviations from the guidance in an Actuarial Standard of Practice for financial reporting purposes, and (3) the classification of payments made by employers to satisfy employee (plan member) contribution requirements.

The requirements of this Statement are effective for reporting periods beginning after June 15, 2016, except for the requirements of this Statement for the selection of assumptions in a circumstance in which an employer's pension liability is measured as of a date other than the employer's most recent fiscal year-end. In that circumstance, the requirements for the selection of assumptions are effective for that employer in the first reporting period in which the measurement date of the pension liability is on or after June 15, 2017. Early implementation is encouraged.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

NOTE 2 - DEPOSITS AND INVESTMENTS

Summary of Deposits and Investments

Deposits and investments as of June 30, 2016, are classified in the accompanying financial statements as follows:

Governmental activities	\$ 135,870,508
Fiduciary funds	113,063
Total Deposits and Investments	<u>\$ 135,983,571</u>

Deposits and investments as of June 30, 2016, consist of the following:

Cash on hand and in banks	\$ 905,955
Cash in revolving	124,236
Investments	134,953,380
Total Deposits and Investments	<u>\$ 135,983,571</u>

Policies and Practices

The District is authorized under *California Government Code* to make direct investments in local agency bonds, notes, or warrants within the State; U.S. Treasury instruments; registered State warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium term corporate notes; shares of beneficial interest issued by diversified management companies, certificates of participation, obligations with first priority security; and collateralized mortgage obligations.

Investment in County Treasury - The District is considered to be an involuntary participant in an external investment pool as the District is required to deposit all receipts and collections of monies with their County Treasurer (*Education Code* Section 41001). The fair value of the District's investment in the pool is reported in the financial statements at amounts based upon the District's pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

Investment in the State Investment Pool - The District is a voluntary participant in the Local Agency Investment Fund (LAIF) that is regulated by *California Government Code* Section 16429 under the oversight of the Treasurer of the State of California. The fair value of the District's investment in the Pool is reported in the accompanying financial statement at amounts based upon the District's pro-rata share of the fair value provided by LAIF for the entire LAIF portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by LAIF, which is recorded on the amortized cost basis.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

General Authorizations

Limitations as they relate to interest rate risk, credit risk, and concentration of credit risk are indicated in the schedules below:

Authorized Investment Type	Maximum Remaining Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds, Notes, Warrants	5 years	None	None
Registered State Bonds, Notes, Warrants	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
U.S. Agency Securities	5 years	None	None
Banker's Acceptance	180 days	40%	30%
Commercial Paper	270 days	25%	10%
Negotiable Certificates of Deposit	5 years	30%	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements	92 days	20% of base	None
Medium-Term Corporate Notes	5 years	30%	None
Mutual Funds	N/A	20%	10%
Money Market Mutual Funds	N/A	20%	10%
Mortgage Pass-Through Securities	5 years	20%	None
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None
Joint Powers Authority Pools	N/A	None	None

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The District does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. The District manages its exposure to interest rate risk by investing in the County Pool which purchases a combination of shorter term and longer term investments and which also times cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity evenly over time as necessary to provide the cash flow and liquidity needed for operations.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Segmented Time Distribution

Information about the sensitivity of the fair values of the District's investments to market interest rate fluctuations is provided by the following schedule that shows the distribution of the District's investments by maturity:

Investment Type	Fair Value	12 Months or Less	13 - 36 Months	37 - 60 Months	More Than 60 Months
County Pool	\$ 132,804,315	\$72,755,800	\$48,537,999	\$11,510,516	\$ -
State Investment Pool - LAIF	191	191	-	-	-
SISC III Investment Pool	2,291,433	2,291,433	-	-	-
Total	<u>\$ 135,095,939</u>	<u>\$75,047,424</u>	<u>\$48,537,999</u>	<u>\$11,510,516</u>	<u>\$ -</u>

Credit Risk

Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The District's investments in LAIF and SISC are not required to be rated, nor have they been rated as of June 30, 2016.

Investment Type	Fair Value	Minimum Legal Rating	Rating as of Year End			
			AAA	AA	A	Unrated
County Pool	\$ 132,804,315	N/A	\$5,310,503	\$63,726,038	\$46,466,903	\$17,300,871
State Investment Pool - LAIF	191	N/A	-	-	-	191
SISC III Investment Pool	2,291,433	N/A	-	-	-	2,291,433
Total	<u>\$ 135,095,939</u>		<u>\$5,310,503</u>	<u>\$63,726,038</u>	<u>\$46,466,903</u>	<u>\$19,592,495</u>

Custodial Credit Risk - Deposits

This is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does not have a policy for custodial credit risk for deposits. However, the California Government Code requires that a financial institution secure deposits made by State or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under state law (unless so waived by the governmental unit). The market value of the pledged securities in the collateral pool must equal at least 110 percent of the total amount deposited by the public agency. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150 percent of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105 percent of the secured deposits. As of June 30, 2016, \$402,026 of the District's cash balance was exposed to custodial credit risk because it was uninsured and collateralized with securities held by the pledging financial institution's trust department or agent, but not in the name of the District. These amounts include funds held by fiscal agents for the District's food service program and its Self-Insurance Funds.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Custodial Credit Risk – Investments

This is the risk that, in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in possession of an outside party. Of the investment in SISC III of \$2,291,433, the District has a custodial credit risk exposure of \$2,291,433 because the related securities are uninsured, unregistered and held by the brokerage firm which is also the counterparty for these securities. The District does not have a policy limiting the amount of securities that can be held by counterparties.

NOTE 3 - FAIR VALUE MEASUREMENTS

The District categorizes the fair value measurements of its investments based on the hierarchy established by generally accepted accounting principles. The fair value hierarchy, which has three levels, is based on the valuation inputs used to measure an asset's fair value. The following provides a summary of the hierarchy used to measure fair value:

Level 1 - Quoted prices in active markets for identical assets that the District has the ability to access at the measurement date. Level 1 assets may include debt and equity securities that are traded in an active exchange market and that are highly liquid and are actively traded in over-the-counter markets.

Level 2 - Observable inputs other than Level 1 prices such as quoted prices for similar assets in active markets, quoted prices for identical or similar assets in markets that are not active, or other inputs that are observable, such as interest rates and curves observable at commonly quoted intervals, implied volatilities, and credit spreads. For financial reporting purposes, if an asset has a specified term, a Level 2 input is required to be observable for substantially the full term of the asset.

Level 3 - Unobservable inputs should be developed using the best information available under the circumstances, which might include the District's own data. The District should adjust that data if reasonably available information indicates that other market participants would use different data or certain circumstances specific to the District are not available to other market participants.

Uncategorized - Investments in the Kern County Treasury Investment Pool and Local Agency Investment Funds are not measured using the input levels above because the District's transactions are based on a stable net asset value per share. All contributions and redemptions are transacted at \$1.00 net asset value per share.

The District's fair value measurements are as follows at June 30, 2016:

Investment Type	Fair Value	Fair Value Measurements Using			Uncategorized
		Level 1 Inputs	Level 2 Inputs	Level 3 Inputs	
SISC III Investment Pool	\$ 2,291,433	\$ 2,291,433	\$ -	\$ -	\$ -
County Pool	132,804,315	-	-	-	132,804,315
Local Agency Investment Funds	191	-	-	-	191
Total	<u>\$ 135,095,939</u>	<u>\$ 2,291,433</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 132,804,506</u>

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

All assets have been valued using a market approach, with quoted market prices.

NOTE 4 - RECEIVABLES

Receivables at June 30, 2016, consist of intergovernmental grants, entitlements, interest and other local sources. All receivables are considered collectible in full.

	General Fund	Cafeteria Fund	Non-Major Governmental Funds	Governmental Funds Total	Internal Service Funds	Total Governmental Activities
Federal Government						
Categorical aid	\$ 6,317,613	\$4,698,292	\$ 39,266	\$11,055,171	\$ -	\$11,055,171
State Government						
State grants and entitlements	4,858,482	357,001	203,755	5,419,238	-	5,419,238
Local Sources	305,500	17,228	157,104	479,832	31,372	511,204
Total	<u>\$ 11,481,595</u>	<u>\$5,072,521</u>	<u>\$ 400,125</u>	<u>\$16,954,241</u>	<u>\$31,372</u>	<u>\$16,985,613</u>

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

NOTE 5 - CAPITAL ASSETS

Capital asset activity for the fiscal year ended June 30, 2016, are as follows:

	Balance July 1, 2015	Additions	Deductions	Balance June 30, 2016
Governmental Activities				
Capital Assets not being depreciated				
Land	\$ 14,580,278	\$ -	\$ -	\$ 14,580,278
Construction in progress	20,270,634	13,386,624	20,095,593	13,561,665
Total Capital Assets Not Being Depreciated	34,850,912	13,386,624	20,095,593	28,141,943
Capital Assets being depreciated				
Land improvements	37,294,184	2,230,996	-	39,525,180
Buildings and improvements	171,893,766	17,864,597	54,500	189,703,863
Furniture and equipment	24,051,798	2,527,772	1,602,549	24,977,021
Total Capital Assets Being Depreciated	233,239,748	22,623,365	1,657,049	254,206,064
Less Accumulated Depreciation				
Land improvements	9,014,967	1,652,745	-	10,667,712
Buildings and improvements	59,276,237	4,929,073	54,500	64,150,810
Furniture and equipment	16,593,469	1,496,160	1,591,270	16,498,359
Total Accumulated Depreciation	84,884,673	8,077,978	1,645,770	91,316,881
Governmental Activities Capital Assets, Net	\$ 183,205,987	\$ 27,932,011	\$ 20,106,872	\$ 191,031,126

Depreciation expense was charged as a direct expense to governmental functions as follows:

Governmental Activities	
Instruction	\$ 6,813,348
Instructional library, media, and technology	241,336
School site administration	257,472
Home-to-school transportation	16,834
Food services	254,718
All other pupil services	8,650
Community services	3,258
All other general administration	434,770
Data processing	15,166
Plant services	32,426
Total Depreciation Expenses Governmental Activities	<u>\$ 8,077,978</u>

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

NOTE 6 - INTERFUND TRANSACTIONS

Interfund Receivables/Payables (Due To/Due From)

Interfund receivable and payable balances arise from interfund transactions and are recorded by all funds affected in the period in which transactions are executed. Interfund receivable and payable balances at June 30, 2016, between major and non-major governmental funds and internal service funds are as follows:

	Interfund Receivables	Interfund Payables
Major Governmental Funds		
General	\$ 2,854,043	\$ 904,994
Cafeteria	281,865	2,641,697
Total Major Governmental Funds	<u>3,135,908</u>	<u>3,546,691</u>
Non-Major Governmental Funds		
Child Development	60	141,305
Capital Facilities	-	31,729
County School Facilities	1,699	2,015
Special Reserve Capital Outlay	-	79
Total Non-Major Governmental Funds	<u>1,759</u>	<u>175,128</u>
Subtotal All Governmental Funds	<u>3,137,667</u>	<u>3,721,819</u>
Self-Insurance	621,449	37,297
Total Governmental Activities	<u>\$ 3,759,116</u>	<u>\$ 3,759,116</u>
The Cafeteria Fund owes the General Fund for a temporary loan.		\$ 1,500,000
The Cafeteria Fund owes the General Fund for miscellaneous operating costs.		74,997
The Child Development Fund owes the General Fund for miscellaneous operating costs.		14,636
The Self Insurance Funds owe the General Fund for salary and benefit costs.		37,297
The County School Facilities Fund owes the General Fund for miscellaneous operating costs.		2,015
The Capital Facilities Fund owes the General Fund for a transfer of expenditures.		31,729
The Special Reserve Capital Outlay Fund owes the County School Facilities Fund for a transfer of expenditures.		79
The Child Development Fund owes the General Fund for retiree benefits costs.		35,785
The Cafeteria Fund owes the General Fund for retiree benefit costs.		295,479
The Cafeteria Fund owes the General Fund for indirect costs.		771,221
The Child Development Fund owes the General Fund for indirect costs.		90,884
The General Fund owes the Child Development Fund for miscellaneous operating costs.		60
The General Fund owes the Cafeteria Fund for miscellaneous operating costs.		834
The General Fund owes the Cafeteria Fund for bad debt expense.		281,031
The General Fund owes the County School Facilities Fund for a transfer of expenditures.		1,620
The General Fund owes the Self Insurance Fund for workers' compensation claims.		621,449
Total		<u>\$ 3,759,116</u>

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Operating Transfers

Interfund transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, (2) move receipts restricted to debt service from the funds collecting the receipts to the debt service fund as debt service payments become due, and (3) use unrestricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorizations. Interfund transfers for the year ended June 30, 2016, consist of the following:

The General Fund transferred to the Special Reserve Capital Outlay Fund for capital projects.	\$ 4,000,000
The General Fund transferred to the Cafeteria Fund for bad debts expense.	<u>1,038,479</u>
Total	<u><u>\$ 5,038,479</u></u>

NOTE 7 - PREPAID EXPENDITURES

Prepaid expenditures at June 30, 2016, consist of the following:

	General Fund
Travel and conference	\$ 7,280
Services and operating expenditures	<u>484,945</u>
Total	<u><u>\$ 492,225</u></u>

NOTE 8 - ACCOUNTS PAYABLE

Accounts payable at June 30, 2016, consist of the following:

	General Fund	Cafeteria Fund	Non-Major Governmental Funds	Governmental Funds Total	Internal Service Funds	Total Governmental Activities
Vendor payables	\$ 10,242,482	\$ 490,389	\$ 2,657,800	\$ 13,390,671	\$ 11,853,949	\$ 25,244,620
Salaries and benefits payable	4,702,532	165,551	10,229	4,878,312	-	4,878,312
Property taxes	<u>1,103,543</u>	<u>-</u>	<u>-</u>	<u>1,103,543</u>	<u>-</u>	<u>1,103,543</u>
Total	<u><u>\$ 16,048,557</u></u>	<u><u>\$ 655,940</u></u>	<u><u>\$ 2,668,029</u></u>	<u><u>\$ 19,372,526</u></u>	<u><u>\$ 11,853,949</u></u>	<u><u>\$ 31,226,475</u></u>

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2016

NOTE 9 - UNEARNED REVENUE

Unearned revenue at June 30, 2016, consists of the following:

	General Fund	Cafeteria Fund	Non-Major Governmental Funds	Total Governmental Activities
Federal financial assistance	\$ 10,712	\$ 90,000	\$ -	\$ 100,712
State categorical aid	-	-	59,612	59,612
Local financial assistance	349,240	-	-	349,240
Total	<u>\$ 359,952</u>	<u>\$ 90,000</u>	<u>\$ 59,612</u>	<u>\$ 509,564</u>

NOTE 10 - LONG-TERM OBLIGATIONS

Summary

The changes in the District's long-term obligations other than pensions during the year consisted of the following:

	Balance July 1, 2015	Additions	Deductions	Balance June 30, 2016	Due in One Year
General obligation bonds	\$ 66,455,382	\$ 14,644,340	\$ 1,695,000	\$ 79,404,722	\$ 1,270,000
Bond premium, net of amortization	4,891,595	-	304,152	4,587,443	304,152
Compensated absences	1,041,181	559,214	485,278	1,115,117	-
Other postemployment benefits	12,944,419	8,300,300	7,138,108	14,106,611	-
Total	<u>\$ 85,332,577</u>	<u>\$ 23,503,854</u>	<u>\$ 9,622,538</u>	<u>\$ 99,213,893</u>	<u>\$ 1,574,152</u>
Bond discount	<u>\$ 843,137</u>	<u>\$ 119,007</u>	<u>\$ 51,800</u>	<u>\$ 910,344</u>	<u>\$ 51,800</u>

Payments on the general obligation bonds are made by the Bond Interest and Redemption Fund with local tax revenues. The compensated absences will be paid by the fund for which the employee worked. The contributions associated with the other postemployment benefits were funded by the General, Child Development, and Cafeteria Funds.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Bonded Debt

The outstanding general obligation bonded debt is as follows:

Issue Date	Maturity Date	Interest Rate %	Original Issue	Bonds Outstanding July 1, 2015	Interest Accreted/ Issued	Redeemed	Bonds Outstanding June 30, 2016
2007, A	2018	4.00-5.25	\$ 34,000,000	\$ 2,720,000	\$ -	\$ 725,000	\$ 1,995,000
2012, B	2033	4.39	18,050,000	18,005,000	-	-	18,005,000
2012, C	2047	5.75-5.90	16,146,619	18,980,382	1,124,340	-	20,104,722
2012, D	2019	1.515-2.749	1,090,000	820,000	-	215,000	605,000
2015, A	2032	2.00-5.00	25,930,000	25,930,000	-	570,000	25,360,000
2015, E	2039	4.656-5.00	12,770,000	-	12,770,000	-	12,770,000
2015, F	2019	1.129-2.68	750,000	-	750,000	185,000	565,000
Total			<u>\$ 108,736,619</u>	<u>\$ 66,455,382</u>	<u>\$ 14,644,340</u>	<u>\$ 1,695,000</u>	<u>\$ 79,404,722</u>

Debt Service Requirements to Maturity

2007 Series A General Obligation Bonds

The annual requirements to amortize the 2007 Series A general obligation bonds payable, outstanding as of June 30, 2016, are as follows:

Current Interest Bonds

Fiscal Year	Principal	Interest to Maturity	Total
2017	\$ 900,000	\$ 61,800	\$ 961,800
2018	1,095,000	21,900	1,116,900
Total	<u>\$ 1,995,000</u>	<u>\$ 83,700</u>	<u>\$ 2,078,700</u>

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2016

2012 Series B General Obligation Bonds

Current Interest Bonds

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2017	\$ 5,000	\$ 790,419	\$ 795,419
2018	5,000	790,200	795,200
2019	5,000	789,981	794,981
2020	605,000	789,761	1,394,761
2021	750,000	763,202	1,513,202
2022-2026	3,495,000	3,294,697	6,789,697
2027-2031	4,270,000	2,568,590	6,838,590
2032-2033	8,870,000	587,382	9,457,382
Total	<u>\$ 18,005,000</u>	<u>\$ 10,374,232</u>	<u>\$ 28,379,232</u>

2012 Series C General Obligation Bonds

Convertible Capital Appreciation Bonds

<u>Fiscal Year</u>	<u>Principal</u>
2037	\$ 7,750,000
2042	17,070,000
2047	28,720,000
Total Requirements	53,540,000
Less Unaccreted Principal	(33,435,278)
Total Current Obligation	<u>\$ 20,104,722</u>

Upon maturity of Capital Appreciation Bonds, the bonds convert to Current Interest Bonds with the following mandatory early redemption requirements:

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2031-2035	\$ 3,330,000	\$ 6,171,780	\$ 9,501,780
2036-2040	13,495,000	13,327,093	26,822,093
2041-2045	23,540,000	8,324,200	31,864,200
2046-2047	13,175,000	1,184,130	14,359,130
Total	<u>\$ 53,540,000</u>	<u>\$ 29,007,203</u>	<u>\$ 82,547,203</u>

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2016

2012 Series D General Obligation Bonds

Current Interest Bonds

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2017	\$ 145,000	\$ 15,631	\$ 160,631
2018	70,000	12,470	82,470
2019	390,000	10,721	400,721
Total	<u>\$ 605,000</u>	<u>\$ 38,822</u>	<u>\$ 643,822</u>

2015 Series A Refunding General Obligation Bonds

Current Interest Bonds

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2017	\$ -	\$ 1,050,900	\$ 1,050,900
2018	-	1,050,900	1,050,900
2019	1,305,000	1,031,325	2,336,325
2020	1,120,000	989,350	2,109,350
2021	1,065,000	943,275	2,008,275
2022-2026	6,890,000	3,948,350	10,838,350
2027-2031	12,230,000	1,641,850	13,871,850
2032	2,750,000	41,250	2,791,250
Total	<u>\$ 25,360,000</u>	<u>\$ 10,697,200</u>	<u>\$ 36,057,200</u>

2015 Series E General Obligation Bonds

Current Interest Bonds

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2017	\$ -	\$ 616,243	\$ 616,243
2018	-	616,243	616,243
2019	185,000	616,243	801,243
2020	305,000	607,630	912,630
2021	335,000	593,429	928,429
2022-2026	2,240,000	2,703,382	4,943,382
2027-2031	3,405,000	2,071,097	5,476,097
2032-2036	3,450,000	1,260,750	4,710,750
2037-2039	2,850,000	293,500	3,143,500
Total	<u>\$ 12,770,000</u>	<u>\$ 9,378,517</u>	<u>\$ 22,148,517</u>

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2016

2015 Series F Refunding General Obligation Bonds

Current Interest Bonds

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2017	\$ 220,000	\$ 11,295	\$ 231,295
2018	250,000	7,821	257,821
2019	95,000	2,546	97,546
Total	<u>\$ 565,000</u>	<u>\$ 21,662</u>	<u>\$ 586,662</u>

Compensated Absences

The long-term portion of compensated absences for the District at June 30, 2016, amounted to \$1,115,117.

Other Postemployment Benefits (OPEB) Obligation

The District's annual required contribution for the year ended June 30, 2016, was \$7,782,523, and contributions made by the District during the year were \$6,389,531, which included the implicit rate subsidy factor of 1.3129. Interest on the net OPEB obligation and adjustments to the annual required contribution were \$517,777 and \$(748,577), respectively, which resulted in an increase to the net OPEB obligation of \$1,162,192. As of June 30, 2016, the net OPEB obligation was \$14,106,611. See Note 13 for additional information regarding the OPEB obligation and the postemployment benefits plan.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

NOTE 11 - FUND BALANCES

Fund balances are composed of the following elements:

	General Fund	Cafeteria Fund	Non-Major Governmental Funds	Total
Nonspendable				
Revolving cash	\$ 33,178	\$ 1,429	\$ -	\$ 34,607
Stores inventories	195,803	368,199	-	564,002
Prepaid expenditures	492,225	-	-	492,225
Total Nonspendable	<u>721,206</u>	<u>369,628</u>	<u>-</u>	<u>1,090,834</u>
Restricted				
Legally restricted programs	5,530,003	3,665,077	301,922	9,497,002
Capital projects	-	-	20,246,589	20,246,589
Debt services	-	-	4,485,820	4,485,820
Total Restricted	<u>5,530,003</u>	<u>3,665,077</u>	<u>25,034,331</u>	<u>34,229,411</u>
Committed				
Other postemployment benefits	6,654,328	-	-	6,654,328
Deferred maintenance program	-	-	-	-
Capital projects	-	-	81,704	81,704
Total Committed	<u>6,654,328</u>	<u>-</u>	<u>81,704</u>	<u>6,736,032</u>
Assigned				
Pupil Transportation	27,551	-	-	27,551
Capital projects	-	-	5,087,564	5,087,564
Total Assigned	<u>27,551</u>	<u>-</u>	<u>5,087,564</u>	<u>5,115,115</u>
Unassigned				
Reserve for economic uncertainties	9,911,263	-	-	9,911,263
Remaining unassigned	58,874,263	-	-	58,874,263
Total Unassigned	<u>68,785,526</u>	<u>-</u>	<u>-</u>	<u>68,785,526</u>
Total	<u>\$ 81,718,614</u>	<u>\$ 4,034,705</u>	<u>\$ 30,203,599</u>	<u>\$ 115,956,918</u>

NOTE 12 - EXPENDITURES (BUDGET VERSUS ACTUAL)

At June 30, 2016, there were no District major funds that exceeded the budgeted amounts.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

NOTE 13 - POSTEMPLOYMENT HEALTH CARE PLAN AND OTHER POSTEMPLOYMENT BENEFITS (OPEB) OBLIGATION

Plan Description

The District's Retiree Health Insurance Program is a single-employer defined benefit postemployment healthcare plan administered by the Blue Cross Prudent Buyer Classic medical plan and the Navitus Health Solution prescription drug plan. For those employees with a hire date prior to January 1, 2007, the District provides District-paid medical and prescription drug coverage for full-time employees who retire on or after attaining age 55 with at least five years of service and are eligible to retire. For those employees with a hire date after January 1, 2007, the District provides District-paid medical and prescription drug coverage for full-time employees who retire on or after attaining age 55 with at least ten years of service. The District pays medical insurance premiums for the eligible retirees until age 65. This coverage is self-insured on a fully credible basis through the Self-Insured Schools of California (SISC III).

Contribution Information

The contribution requirements of plan members and the District are established and may be amended by the District and the Teachers Association (BETA), the local California Service Employees Association (CSEA), Laborers' International Union of North America (LIUNA), and unrepresented groups. The required contribution is based on projected pay-as-you-go financing requirements. For fiscal year 2015-2016, the District contributed \$4,866,731 to the plan excluding the applied implicit rate subsidy of 1.3129, all of which was used for current premiums (approximately 70 percent of total premiums). Plan members receiving benefits contributed \$2,092,738 or approximately 30 percent of the total premiums.

Annual OPEB Cost and Net OPEB Obligation

The District's annual OPEB cost (expense) is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial accrued liabilities (UAAL) (or funding excess) over a period not to exceed thirty years. The following table shows the components of the District's annual OPEB cost for the year, the amount actually contributed to the plan, and changes in the District's net OPEB obligation to the Plan:

Annual required contribution	\$ 7,782,523
Interest on net OPEB obligation	517,777
Adjustment to annual required contribution	(748,577)
Annual OPEB cost (expense)	<u>7,551,723</u>
Contributions made	<u>(6,389,531)</u>
Increase in net OPEB obligation	1,162,192
Net OPEB obligation, beginning of year	12,944,419
Net OPEB obligation, end of year	<u><u>\$ 14,106,611</u></u>

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Trend Information

Trend information for annual OPEB cost, the percentage of annual OPEB cost contributed to the Plan, and the net OPEB obligation is as follows:

Year Ended June 30,	Annual OPEB Cost	Actual Contribution	Percentage Contributed	Net OPEB Obligation
2016	\$ 7,551,723	\$ 6,389,531	84.61%	\$ 14,106,611
2015	7,575,876	6,221,273	82.12%	12,944,419
2014	7,856,064	6,128,369	78.01%	11,589,816

Funded Status and Funding Progress

A schedule of funding progress as of the most recent actuarial valuation is as follow:

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Liability (AAL) - Projected Unit Credit (b)	Unfunded AAL (UAAL) (b - a)	Funded Ratio (a / b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ([b - a] / c)
July 1, 2014	\$ -	\$ 67,902,493	\$ 67,902,493	0.00%	\$ 168,033,200	40.41%

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the July 1, 2014, actuarial valuation, the projected unit credit method was used. The actuarial assumptions included a four percent investment rate of return (net of administrative expenses), based on the plan being funded in an irrevocable employee benefit trust invested in a combined equity and fixed income portfolio. Healthcare cost trend rates ranged from an initial eight percent to an ultimate rate of five percent. The UAAL is being amortized at a level dollar method. The remaining amortization period at July 1, 2016, was 28 years.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

NOTE 14 - RISK MANAGEMENT

Joint Powers Agreements

The District participates in a joint powers agreement (JPA) with the Self-Insured Schools of California for its property and liability coverage (SISC II) and health and welfare benefits (SISC III). The District has entered into a service contract with the Self-Insured Schools of California Workers' Compensation (SISC I) program to provide claims administration services for the District's workers' compensation claims.

A board consisting of representatives from member districts governs each SISC JPA. The governing boards control the operation of the JPAs independent of any influence by the District beyond the District's representation on the governing board(s). Each JPA is independently accountable for its fiscal matters. These JPAs have budget and financial reporting requirements separate and independent from its member districts, and are not subject to any approval other than that of the JPA governing board.

Property and Liability

The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees and natural disasters. During fiscal year ending June 30, 2016, the District contracted with Self-Insured Schools of California Property and Liability Program (SISC II) for property and liability insurance coverage. Member districts pay a premium commensurate with the level of coverage requested and share surpluses and deficits proportionately to their participation. Settled claims have not exceeded this commercial coverage in any of the past three years. There has not been a significant reduction in coverage from the prior year.

Workers' Compensation

For fiscal year 2016, the District is self-insured for workers' compensation. The self-insurance program started in 1983-1984. The District has been self-insuring its workers' compensation program in California in accordance with *Insurance Code* 11870. The District entered into a service contract with Self-Insured Schools of California Workers' Compensation (SISC I) effective July 1, 1995, to provide claims administration services. The District pays an annual service fee to SISC I for these services. Fees for the years ending June 30, 2016 and June 30, 2015, were \$273,984 and \$255,268, respectively. The District pays directly to Walter Mortensen Insurance the premium for excess workers' compensation coverage. Self-insured retention is currently \$1,000,000. The District pays directly to the Kern Foundation for Medical Care the fees for the Medical Provider Network (MPN) services. The District is responsible for obtaining its own actuarial valuation. The firm of Glicksman Consulting LLC provides actuarial services for the District.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Employee Medical Benefits

The District has contracted with the Self-Insured Schools of California Health and Welfare Benefits JPA (SISC III) to provide employee health benefits. SISC III is a shared risk pool. Rates are set through an annual utilization review and calculation process. The District is considered a "credible" district within the SISC III pool for their medical and pharmacy claims. Being credible means they are responsible for and assume all risk for their own claims, up to \$150,000 for medical claims, per member per plan year. The District participates in the regular SISC pool for dental and vision coverage. The District pays a monthly contribution, which is placed in a common fund from which claim payments are made for all SISC III participating districts. SISC III has a right to return monies to a district subsequent to the settlement of all expenses and claims if a district withdraws from the pool.

Unpaid Claims Liabilities

The Self Insurance Funds establish a liability for both reported and unreported events, which includes estimates of both future payments of losses and related claim adjustment expenses. The following represent the changes in approximate aggregate liabilities for the District from July 1, 2014 to June 30, 2016:

	Workers' Compensation	Health and Welfare
Liability Balance, July 1, 2014	\$ 8,276,209	\$ 3,848,677
Claims and changes in estimates	(681,369)	52,409,613
Claims payments	930,321	52,156,735
Liability Balance, June 30, 2015	6,664,519	4,101,555
Claims and changes in estimates	3,588,208	53,234,999
Claims payments	3,063,158	52,672,174
Liability Balance, June 30, 2016	\$ 7,189,569	\$ 4,664,380
Assets available to pay claims at June 30, 2016	\$ 12,320,047	\$ 5,137,769

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

NOTE 15 - EMPLOYEE RETIREMENT SYSTEMS

Qualified employees are covered under multiple-employer defined benefit pension plans maintained by agencies of the State of California. Academic employees are members of the California State Teachers' Retirement System (CalSTRS) and classified employees are members of the California Public Employees' Retirement System (CalPERS).

For the fiscal year ended June 30, 2016, the District reported net pension liabilities, deferred outflows of resources, deferred inflows of resources, and pension expense for each of the above plans as follows:

Pension Plan	Collective Net Pension Liability	Collective Deferred Outflows of Resources	Collective Deferred Inflows of Resources	Collective Pension Expense
CalSTRS	\$ 179,919,780	\$ 49,556,619	\$ 31,848,880	\$ 17,215,945
CalPERS	57,371,906	21,787,323	14,912,277	6,203,763
Total	<u>\$ 237,291,686</u>	<u>\$ 71,343,942</u>	<u>\$ 46,761,157</u>	<u>\$ 23,419,708</u>

The details of each plan are as follows:

California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the State Teachers Retirement Plan (STRP) administered by the California State Teachers' Retirement System (CalSTRS). STRP is a cost-sharing multiple-employer public employee retirement system defined benefit pension plan. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2014, annual actuarial valuation report, Defined Benefit Program Actuarial Valuation. This report and CalSTRS audited financial information are publically available reports that can be found on the CalSTRS website under Publications at:
<http://www.calstrs.com/member-publications>.

Benefits Provided

The STRP provides retirement, disability and survivor benefits to beneficiaries. Benefits are based on members' final compensation, age, and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

The STRP is comprised of four programs: Defined Benefit Program, Defined Benefit Supplement Program, Cash Balance Benefit Program, and Replacement Benefits Program. The STRP holds assets for the exclusive purpose of providing benefits to members and beneficiaries of these programs. CalSTRS also uses plan assets to defray reasonable expenses of administering the STRP. Although CalSTRS is the administrator of the STRP, the state is the sponsor of the STRP and obligor of the trust. In addition, the state is both an employer and nonemployer contributing entity to the STRP.

The District contributes exclusively to the STRP Defined Benefit Program, thus disclosures are not included for the other plans.

The STRP provisions and benefits in effect at June 30, 2016, are summarized as follows:

	STRP Defined Benefit Program	
	On or before December 31, 2012	On or after January 1, 2013
Hire date		
Benefit formula	2% at 60	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	60	62
Monthly benefits as a percentage of eligible compensation	2.0% - 2.4%	2.0% - 2.4%
Required employee contribution rate	9.20%	8.56%
Required employer contribution rate	10.73%	10.73%
Required state contribution rate	7.12589%	7.12589%

Contributions

Required member, District and State of California contributions rates are set by the California Legislature and Governor and detailed in Teachers' Retirement Law. The contributions rates are expressed as a level percentage of payroll using the entry age normal actuarial method. In accordance with AB 1469, employer contributions into the CalSTRS will be increasing to a total of 19.1 percent of applicable member earnings phased over a seven-year period. The contribution rates for each plan for the year ended June 30, 2016, are presented above and the District's total contributions were \$14,295,169.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2016, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related state support and the total portion of the net pension liability that was associated with the District were as follows:

Total net pension liability, including State share:

District's proportionate share of net pension liability	\$ 179,919,780
State's proportionate share of the net pension liability associated with the District	95,157,730
Total	<u><u>\$ 275,077,510</u></u>

The net pension liability was measured as of June 30, 2015. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts and the State, actuarially determined. The District's proportionate share for the measurement period June 30, 2015 and June 30, 2014, respectively was 0.2672 percent and 0.2335 percent, resulting in a net increase in the proportionate share of 0.0338 percent.

For the year ended June 30, 2016, the District recognized pension expense of \$17,215,945. In addition, the District recognized pension expense and revenue of \$7,371,035 for support provided by the State. At June 30, 2016, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 14,295,169	\$ -
Net change in proportionate share of net pension liability	21,085,458	-
Difference between projected and actual earnings on pension plan investments	14,175,992	28,842,378
Differences between expected and actual experience in the measurement of the total pension liability	-	3,006,502
Total	<u><u>\$ 49,556,619</u></u>	<u><u>\$ 31,848,880</u></u>

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year. The deferred outflows/(inflows) of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2017	(6,070,128)
2018	(6,070,128)
2019	(6,070,128)
2020	3,543,998
Total	<u>\$ (14,666,386)</u>

The deferred outflows/(inflows) of resources related to the net change in proportionate share of net pension liability and differences between expected and actual experience in the measurement of the total pension liability will be amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the 2014-2015 measurement period is seven years and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2017	\$ 3,013,159
2018	3,013,159
2019	3,013,159
2020	3,013,159
2021	3,013,159
Thereafter	3,013,161
Total	<u>\$ 18,078,956</u>

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Actuarial Methods and Assumptions

Total pension liability for STRP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2014, and rolling forward the total pension liability to June 30, 2015. The financial reporting actuarial valuation as of June 30, 2014, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2014
Measurement date	June 30, 2015
Experience study	July 1, 2006 through June 30, 2010
Actuarial cost method	Entry age normal
Discount rate	7.60%
Investment rate of return	7.60%
Consumer price inflation	3.00%
Wage growth	3.75%

CalSTRS uses custom mortality tables to best fit the patterns of mortality among its members. These custom tables are based on RP2000 series tables adjusted to fit CalSTRS experience.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant. Based on the model for CalSTRS consulting actuary's investment practice, a best estimate range was determined by assuming the portfolio is re-balanced annually and that the annual returns are lognormally distributed and independent from year to year to develop expected percentiles for the long-term distribution of annualized returns. The assumed asset allocation is based on Teachers' Retirement Board of the California State Teachers' Retirement System (board) policy for target asset allocation in effect on February 2, 2012, the date the current experience study was approved by the board. Best estimates of ten-year geometric real rates of return and the assumed asset allocation for each major asset class used as input to develop the actuarial investment rate of return are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	47%	4.50%
Private equity	12%	6.20%
Real estate	15%	4.35%
Inflation sensitive	5%	3.20%
Fixed income	20%	0.20%
Cash/liquidity	1%	0.00%

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Discount Rate

The discount rate used to measure the total pension liability was 7.60 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.60 percent) and assuming that contributions, benefit payments and administrative expense occurred midyear. Based on these assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

<u>Discount Rate</u>	<u>Net Pension Liability</u>
1% decrease (6.60%)	\$ 271,664,865
Current discount rate (7.60%)	\$ 179,919,780
1% increase (8.60%)	\$ 103,672,213

California Public Employees Retirement System (CalPERS)

Plan Description

Qualified employees are eligible to participate in the School Employer Pool (SEP) under the California Public Employees' Retirement System (CalPERS), a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2014 annual actuarial valuation report, Schools Pool Actuarial Valuation, 2014. This report and CalPERS audited financial information are publically available reports that can be found on the CalPERS website under Forms and Publications at:
<https://www.calpers.ca.gov/page/forms-publications>.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of service credit, a benefit factor and the member's final compensation. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 50 with statutorily reduced benefits. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 52 with statutorily reduced benefits. All members are eligible for non-duty disability benefits after five years of service. The Basic Death Benefit is paid to any member's beneficiary if the member dies while actively employed. An employee's eligible survivor may receive the 1957 Survivor Benefit if the member dies while actively employed, is at least age 50 (or 52 for members hired on or after January 1, 2013), and has at least five years of credited service. The cost of living adjustments for each plan are applied as specified by the Public Employees' Retirement Law.

The CalPERS provisions and benefits in effect at June 30, 2016, are summarized as follows:

	School Employer Pool (CalPERS)	
	On or before December 31, 2012	On or after January 1, 2013
Hire date	December 31, 2012	January 1, 2013
Benefit formula	2% at 55	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	55	62
Monthly benefits as a percentage of eligible compensation	1.1% - 2.5%	1.0% - 2.5%
Required employee contribution rate	7.000%	6.000%
Required employer contribution rate	11.847%	11.847%

Contributions

Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. Total plan contributions are calculated through the CalPERS annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The District is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. The contributions rates are expressed as percentage of annual payroll. The contribution rates for each plan for the year ended June 30, 2016, are presented above and the total District contributions were \$5,595,312.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

As of June 30, 2016, the District reported net pension liabilities for its proportionate share of the CalPERS net pension liability totaling \$57,371,906. The net pension liability was measured as of June 30, 2015. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. The District's proportionate share for the measurement period June 30, 2015 and June 30, 2014, respectively was 0.3892 percent and 0.3584 percent, resulting in a net increase in the proportionate share of 0.0308 percent.

For the year ended June 30, 2016, the District recognized pension expense of \$6,203,763. At June 30, 2016, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 5,595,312	\$ -
Net change in proportionate share of net pension liability	3,490,397	-
Difference between projected and actual earnings on pension plan investments	9,422,725	11,387,188
Differences between expected and actual experience in the measurement of the total pension liability	3,278,889	-
Changes of assumptions	-	3,525,089
Total	<u>\$ 21,787,323</u>	<u>\$ 14,912,277</u>

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year. The deferred outflows/(inflows) of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2017	\$ (1,440,048)
2018	(1,440,048)
2019	(1,440,048)
2020	2,355,681
Total	<u>\$ (1,964,463)</u>

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

The deferred outflows/(inflows) of resources related to the net change in proportionate share of net pension liability, changes of assumptions, and differences between expected and actual experience in the measurement of the total pension liability will be amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the 2014-2015 measurement period is 3.9 years and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/(Inflows) of Resources
2017	\$ 1,118,688
2018	1,118,688
2019	1,006,821
Total	<u>\$ 3,244,197</u>

Actuarial Methods and Assumptions

Total pension liability for the SEP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2014, and rolling forward the total pension liability to June 30, 2015. The financial reporting actuarial valuation as of June 30, 2014, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2014
Measurement date	June 30, 2015
Experience study	July 1, 1997 through June 30, 2011
Actuarial cost method	Entry age normal
Discount rate	7.65%
Investment rate of return	7.65%
Consumer price inflation	2.75%
Wage growth	Varies by entry age and service

Mortality assumptions are based on mortality rates resulting from the most recent CalPERS experience study adopted by the CalPERS Board. For purposes of the post-retirement mortality rates, those revised rates include five years of projected ongoing mortality improvement using Scale AA published by the Society of Actuaries.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Using historical returns of all the funds' asset classes, expected compound returns were calculated over the short-term (first ten years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent. The target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	51%	5.25%
Global fixed income	19%	0.99%
Private equity	10%	6.83%
Real estate	10%	4.50%
Inflation sensitive	6%	0.45%
Infrastructure and Forestland	2%	4.50%
Liquidity	2%	-0.55%

Discount Rate

The discount rate used to measure the total pension liability was 7.65 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Based on these assumptions, the School Employer Pool fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount rate	Net Pension Liability
1% decrease (6.65%)	\$ 93,377,556
Current discount rate (7.65%)	\$ 57,371,906
1% increase (8.65%)	\$ 27,430,801

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

SISC Defined Benefit Pension Plan (SDBP)

Plan Description

All part-time, temporary, and seasonal (PTS) employees are eligible to participate in the SISC Defined Benefit Plan (SDBP), a multiple-employer public employee retirement plan. The District is part of a "cost-sharing" pool within SDBP. One actuarial valuation is performed for those employers participating in the pool, and the same contribution rate applies to each. At June 30, 2016, the District employed 152 PTS employees with a total payroll of \$4,694,636.

Employees who retire on or after age 65 are entitled to a retirement benefit, payable monthly for life, equal to 1.5 percent of their average compensation multiplied by credited service up to 30 years. Average compensation is the employee's average monthly compensation for the highest three consecutive calendar years of employment. A year of credited service is received for each year in which the employee receives compensation for service with the employer. Credited service will not include periods of employment with the employer during which the employee is covered under another plan sponsored by the employer. Copies of the SDBP annual financial report may be obtained from their executive office.

On Behalf Payments

The State of California makes contributions to CalSTRS on behalf of the District. These payments consist of State General Fund contributions to CalSTRS in the amount of \$7,918,154 (7.12589 percent of annual payroll). Contributions are no longer appropriated in the annual *Budget Act* for the legislatively mandated benefits to CalPERS. Therefore, there is no on behalf contribution rate for CalPERS. Under accounting principles generally accepted in the United States of America, these amounts are to be reported as revenues and expenditures. Accordingly, these amounts have been recorded in these financial statements.

NOTE 16 - COMMITMENTS AND CONTINGENCIES

Grants

The District received financial assistance from Federal and State agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the General Fund or other applicable funds. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2016.

Litigation

The District is involved in various litigation arising from the normal course of business. In the opinion of management and legal counsel, the disposition of all litigation pending is not expected to have a material adverse effect on the overall financial position of the District at June 30, 2016.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2016

Construction Commitments

As of June 30, 2016, the District had the following commitments with respect to the unfinished capital projects:

Capital Projects	Remaining Construction Commitment	Expected Date of Completion
Voorhies modernization phase I	\$ 2,646,539	2017-2018
Harding extended kindergarten and site improvements	270,855	2017-2018
Multiple sites - extended kindergarten expansion	2,805,503	2017-2018
Multiple sites - special education growth classrooms	879,905	2017-2018
Eissler A/C and lighting upgrade	571,047	2016-2017
Eissler classroom additions and improvements	531,580	2016-2017
District health centers	481,796	2016-2017
Curran walk-in freezer enclosure	347,360	2016-2017
Noble walk-in freezer enclosure	342,535	2016-2017
Chipman mechanical modernization	254,424	2016-2017
Total	<u>\$ 9,131,544</u>	

NOTE 17 - PARTICIPATION IN PUBLIC ENTITY RISK POOLS, JOINT POWERS AUTHORITIES AND OTHER RELATED PARTY TRANSACTIONS

The District is a member of the Self-Insured Schools of California Property and Liability Program (SISC II), Self-Insured Schools of California Workers' Compensation Program (SISC I), Self-Insured Schools of California Health and Welfare Benefit Program (SISC III), Partners in Nutrition Cooperative (PINCO), and School Project for Utility Rate Reduction (SPURR) joint powers authorities (JPAs). The District pays an annual premium to the applicable entity for its health, workers' compensation, and property liability coverage. Payments for food and utilities received from the JPAs are paid to PINCO and SPURR, respectively. The relationships between the District and the JPAs are such that they are not component units of the District for financial reporting purposes.

These entities have budgeting and financial reporting requirements independent of member units and their financial statements are not presented in these financial statements; however, fund transactions between the entities and the District are included in these statements. Audited financial statements are generally available from the respective entities.

The District has appointed one member to the governing board of SISC II. During the year ended June 30, 2016, the District made a payment of \$1,279,485 to SISC II.

The District has appointed one member to the governing board of SISC I. During the year ended June 30, 2016, the District made payments of \$2,315,854 to SISC I.

The District has appointed one member to the governing board of SISC III. During the year ended June 30, 2016, the District made payments of \$52,839,208 to SISC III.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2016

The District has appointed one member to the governing board of PINCO. During the year ended June 30, 2016, the District made payments of \$2,613,070 to PINCO.

The District has appointed no board members to the governing board of SPURR. During the year ended June 30, 2016, the District made payments of \$243,810 to SPURR.

REQUIRED SUPPLEMENTARY INFORMATION

BAKERSFIELD CITY SCHOOL DISTRICT

GENERAL FUND BUDGETARY COMPARISON SCHEDULE FOR THE YEAR ENDED JUNE 30, 2016

	Budgeted Amounts		Actual	Variances - Favorable (Unfavorable)
	Original	Final		Final to Actual
REVENUES				
Local Control Funding Formula	\$ 268,772,901	\$ 267,192,018	\$ 267,192,019	\$ 1
Federal sources	27,519,663	26,171,827	26,171,829	2
Other State sources	46,392,855	54,566,174	54,566,174	-
Other local sources	1,629,980	2,609,991	2,609,996	5
Total Revenues	344,315,399	350,540,010	350,540,018	8
EXPENDITURES				
Current				
Certificated salaries	143,219,671	135,835,043	135,725,960	109,083
Classified salaries	45,374,325	45,666,258	45,666,256	2
Employee benefits	78,642,381	83,458,795	83,431,795	27,000
Books and supplies	23,631,696	24,722,368	24,722,367	1
Services and operating expenditures	27,630,591	27,185,047	27,185,044	3
Other outgo	(19,527)	(85,903)	(87,668)	1,765
Capital outlay	9,976,681	8,694,163	8,694,163	-
Total Expenditures	328,455,818	325,475,771	325,337,917	137,854
Excess of Revenues Over Expenditures	15,859,581	25,064,239	25,202,101	137,862
Other Financing Sources (Uses)				
Transfers out	-	(5,038,480)	(5,038,479)	1
Net Financing Sources (Uses)	-	(5,038,480)	(5,038,479)	1
NET CHANGE IN FUND BALANCES	15,859,581	20,025,759	20,163,622	137,863
Fund Balance -Beginning	61,554,992	61,554,992	61,554,992	-
Fund Balance - Ending	\$ 77,414,573	\$ 81,580,751	\$ 81,718,614	\$ 137,863

See accompanying note to required supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT

CAFETERIA FUND BUDGETARY COMPARISON SCHEDULE FOR THE YEAR ENDED JUNE 30, 2016

	Budgeted Amounts			Variances - Favorable (Unfavorable) Final to Actual
	Original	Final	Actual	
REVENUES				
Federal sources	\$ 17,258,000	\$ 18,721,584	\$ 18,721,585	\$ 1
Other State sources	1,326,000	1,398,951	1,398,951	-
Other local sources	634,500	538,051	538,051	-
Total Revenues	19,218,500	20,658,586	20,658,587	1
EXPENDITURES				
Current				
Classified salaries	6,836,136	6,309,285	6,309,285	-
Employee benefits	3,083,291	2,846,918	2,846,917	1
Books and supplies	9,414,580	10,200,132	10,200,068	64
Services and operating expenditures	567,044	780,059	780,058	1
Other outgo	762,210	771,222	771,221	1
Capital outlay	480,000	42,645	42,645	-
Total Expenditures	21,143,261	20,950,261	20,950,194	67
Excess of Revenues Over Expenditures	(1,924,761)	(291,675)	(291,607)	68
Other Financing Sources (Uses)				
Transfers in	-	1,038,479	1,038,479	-
Net Financing Sources (Uses)	-	1,038,479	1,038,479	-
NET CHANGE IN FUND BALANCES	(1,924,761)	746,804	746,872	68
Fund Balance -Beginning	3,287,833	3,287,833	3,287,833	-
Fund Balance - Ending	\$ 1,363,072	\$ 4,034,637	\$ 4,034,705	\$ 68

See accompanying note to required supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT**SCHEDULE OF OTHER POSTEMPLOYMENT BENEFITS (OPEB) FUNDING
PROGRESS
FOR THE YEAR ENDED JUNE 30, 2016**

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) - Projected Unit Credit (b)	Unfunded AAL (UAAL) (b - a)	Funded Ratio (a / b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ([b - a] / c)
July 1, 2014	\$ -	\$ 67,902,493	\$ 67,902,493	0.00%	\$ 168,033,200	40.41%
July 1, 2012	\$ -	\$ 70,961,778	\$ 70,961,778	0.00%	\$ 144,743,770	49.03%
July 1, 2010	\$ -	\$ 56,861,004	\$ 56,861,004	0.00%	\$ 133,959,639	42.45%

See accompanying note to required supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT**SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET
PENSION LIABILITY
FOR THE YEAR ENDED JUNE 30, 2016**

	<u>2016</u>	<u>2015</u>
CalSTRS		
District's proportion of the net pension liability (asset)	<u>0.2672%</u>	<u>0.2335%</u>
District's proportionate share of the net pension liability (asset)	\$ 179,919,780	\$ 136,430,742
State's proportionate share of the net pension liability (asset) associated with the District	<u>95,157,730</u>	<u>82,382,772</u>
Total	<u><u>\$ 275,077,510</u></u>	<u><u>\$ 218,813,514</u></u>
District's covered - employee payroll	<u>\$ 124,928,468</u>	<u>\$ 115,849,612</u>
District's proportionate share of the net pension liability (asset) as a percentage of its covered - employee payroll	<u>144.02%</u>	<u>117.77%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>74%</u>	<u>77%</u>
CalPERS		
District's proportion of the net pension liability (asset)	<u>0.3892%</u>	<u>0.3584%</u>
District's proportionate share of the net pension liability (asset)	<u>\$ 57,371,906</u>	<u>\$ 40,692,770</u>
District's covered - employee payroll	<u>\$ 43,104,732</u>	<u>\$ 37,723,361</u>
District's proportionate share of the net pension liability (asset) as a percentage of its covered - employee payroll	<u>133.10%</u>	<u>107.87%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>79%</u>	<u>83%</u>

Note: In the future, as data become available, ten years of information will be presented.

See accompanying note to required supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT

SCHEDULE OF DISTRICT CONTRIBUTIONS FOR THE YEAR ENDED JUNE 30, 2016

	2016	2015
CalSTRS		
Contractually required contribution	\$ 14,295,169	\$ 11,093,648
Contributions in relation to the contractually required contribution	14,295,169	11,093,648
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>
District's covered - employee payroll	<u>\$ 133,226,179</u>	<u>\$ 124,928,468</u>
Contributions as a percentage of covered - employee payroll	<u>10.73%</u>	<u>8.88%</u>
CalPERS		
Contractually required contribution	\$ 5,595,312	\$ 5,073,858
Contributions in relation to the contractually required contribution	5,595,312	5,073,858
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>
District's covered - employee payroll	<u>\$ 47,229,780</u>	<u>\$ 43,104,732</u>
Contributions as a percentage of covered - employee payroll	<u>11.847%</u>	<u>11.771%</u>

Note : In the future, as data become available, ten years of information will be presented.

See accompanying note to required supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTE TO REQUIRED SUPPLEMENTARY INFORMATION JUNE 30, 2016

NOTE 1 - PURPOSE OF SCHEDULES

Budgetary Comparison Schedules

These schedules present information for the original and final budgets and actual results of operations, as well as the variances from the final budget to actual results of operations.

Schedule of Other Postemployment Benefits (OPEB) Funding Progress

This schedule is intended to show trends about the funding progress of the District's actuarially determined liability for postemployment benefits other than pensions.

Schedule of the District's Proportionate Share of the Net Pension Liability

This schedule presents information on the District's proportionate share of the net pension liability (NPL), the plans' fiduciary net position and, when applicable, the State's proportionate share of the NPL associated with the District. In the future, as data becomes available, ten years of information will be presented.

Schedule of District Contributions

This schedule presents information on the District's required contribution, the amounts actually contributed, and any excess or deficiency related to the required contribution. In the future, as data becomes available, ten years of information will be presented.

Changes in Benefit Terms

There were no changes in benefit terms since the previous valuation for either CalSTRS and CalPERS.

Changes in Assumptions

The CalSTRS plan rate of investment return assumption was not changed from the previous valuation. The CalPERS plan rate of investment return assumption was changed from 7.50 percent to 7.65 percent since the previous valuation.

SUPPLEMENTARY INFORMATION

BAKERSFIELD CITY SCHOOL DISTRICT

SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS FOR THE YEAR ENDED JUNE 30, 2016

Federal Grantor/Pass-Through Grantor/Program	Federal Catalog Number	Pass-Through Entity Identifying Number	Federal Expenditures
U.S. DEPARTMENT OF EDUCATION			
Passed Through California Department of Education:			
No Child Left Behind Act			
Title I, Part A, Basic	84.010	14329	\$ 13,559,676
Title I, Part C, Migrant Education	84.011	14326	2,530,576
Title II, Part A, Improving Teacher Quality	84.367	14341	2,010,868
Title III, Limited English Proficient	84.365	14346	1,129,538
Title III, Immigrant Education	84.365	15146	7,400
Special Education Cluster			
IDEA, Part B Basic Local Assistance	84.027	13379	5,308,150
IDEA, Part B, Preschool Local Entitlement	84.027A	13682	349,812
IDEA, Part B, Preschool Grants	84.173	13430	146,113
IDEA, Part B, Local Assistance, Private School	84.027	10115	15,238
IDEA, Part B, Mental Health Allocation	84.027A	14468	345,260
IDEA, Part B, Preschool Staff Development	84.173A	13431	1,000
IDEA, Part B, Alternate Dispute Resolution	84.173A	13007	11,431
Subtotal Special Education Cluster			<u>6,177,004</u>
IDEA, Part C, Early Intervention	84.181	23761	61,630
Subtotal U.S. Department of Education			<u>25,476,692</u>
U.S. DEPARTMENT OF AGRICULTURE			
Passed Through California Department of Education:			
Forest Reserve	10.665	10044	2,739
Fresh Fruit and Vegetable	10.582	14968	792,262
Child Nutrition Cluster			
National School Lunch	10.555	13391	13,278,125
Basic Breakfast	10.553	13525	134,160
Especially Needy Breakfast	10.553	13526	3,436,538
Meals Supplements - Snack	10.555	13391	676,339
Summer Food Program	10.559	13004	404,160
Food Distribution - Commodities	10.555	13391	1,485,611
Subtotal Child Nutrition Cluster			<u>19,414,933</u>
Subtotal U.S. Department of Agriculture			<u>20,209,934</u>

See accompanying note to supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT**SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS (Continued)
FOR THE YEAR ENDED JUNE 30, 2016**

<u>Federal Grantor/Pass-Through Grantor/Program</u>	<u>Federal Catalog Number</u>	<u>Pass-Through Entity Identifying Number</u>	<u>Federal Expenditures</u>
U.S. DEPARTMENT OF HEALTH AND HUMAN SERVICES			
Passed Through California Department of Health Care Services:			
Medicaid Programs			
Medi-Cal Billing Option	93.778	10013	\$ 631,848
Medi-Cal Administrative Activities	93.778	10060	564,000
Subtotal Medicaid Programs			<u>1,195,848</u>
Passed Through California Department of Education:			
CCDF Matching-General Child Development Program	93.596	13609	<u>162,016</u>
Subtotal U.S. Department of Health and Human Services			<u>1,357,864</u>
Total Federal Programs			<u><u>\$ 47,044,490</u></u>

See accompanying note to supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT

LOCAL EDUCATION AGENCY ORGANIZATION STRUCTURE JUNE 30, 2016

ORGANIZATION

The Bakersfield City School District was established in 1882 and consists of an area comprising approximately 158 square miles in Kern County. The District operates 34 elementary schools, seven middle schools, and two junior high schools. There were no boundary changes during the year.

GOVERNING BOARD

MEMBER	OFFICE	TERM EXPIRES
Dr. Fred L. Haynes	President	2016
Lillian Tafoya	President Pro Tem	2016
Andrae Gonzales	Clerk	2018
Dr. Raymond J. Gonzales	Clerk Pro Tem	2016
Pam Baugher	Member	2018

ADMINISTRATION

Kent Ashworth	Interim District Superintendent
Pat Alexander	Interim Assistant Superintendent, Academic Improvement and Accountability
Dr. Diane Cox	Assistant Superintendent, Human Resources
Steve McClain	Chief Business Official

See accompanying note to supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT

SCHEDULE OF AVERAGE DAILY ATTENDANCE FOR THE YEAR ENDED JUNE 30, 2016

	Second Period Report	Annual Report
Regular ADA		
Transitional kindergarten through third	13,396.13	13,393.27
Fourth through sixth	9,692.02	9,671.00
Seventh and eighth	5,622.16	5,597.96
Total Regular ADA	28,710.31	28,662.23
Extended Year Special Education		
Transitional kindergarten through third	17.43	17.43
Fourth through sixth	16.66	16.66
Seventh and eighth	8.48	8.48
Total Extended Year Special Education	42.57	42.57
Total ADA	28,752.88	28,704.80

See accompanying note to supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT

SCHEDULE OF INSTRUCTIONAL TIME FOR THE YEAR ENDED JUNE 30, 2016

Grade Level	1986-1987 Minutes Requirement	2015-2016 Actual Minutes	Number of Days Traditional Calendar	Status
Kindergarten	36,000	40,560	180	Complied
Grades 1 - 2	50,400			
Grade 1		51,420	180	Complied
Grade 2		51,420	180	Complied
Grade 3		51,780	180	Complied
Grades 4 - 8	54,000			
Grade 4		55,020	180	Complied
Grade 5		55,020	180	Complied
Grade 6		55,020	180	Complied
Grade 7		54,828	180	Complied
Grade 8		54,828	180	Complied

See accompanying note to supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT

RECONCILIATION OF ANNUAL FINANCIAL AND BUDGET REPORT WITH AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED JUNE 30, 2016

There were no adjustments to the Unaudited Actual Financial Report which required reconciliation to the audited financial statements at June 30, 2016.

See accompanying note to supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT

SCHEDULE OF FINANCIAL TRENDS AND ANALYSIS FOR THE YEAR ENDED JUNE 30, 2016

	(Budget) 2017 ^{1, 4}	2016 ⁴	2015 ^{3, 4}	2014 ^{3, 4}
GENERAL FUND				
Revenues	\$ 359,488,841	\$ 350,490,472	\$ 290,327,681	\$ 258,371,310
Total Revenues	<u>359,488,841</u>	<u>350,490,472</u>	<u>290,327,681</u>	<u>258,371,310</u>
Expenditures	348,679,774	324,005,965	289,698,460	263,472,099
Other uses and transfers out	<u>5,539,015</u>	<u>6,369,479</u>	<u>1,000,000</u>	<u>3,106,778</u>
Total Expenditures and Other Uses	<u>354,218,789</u>	<u>330,375,444</u>	<u>290,698,460</u>	<u>266,578,877</u>
INCREASE/(DECREASE) IN FUND BALANCE	<u>\$ 5,270,052</u>	<u>\$ 20,115,028</u>	<u>\$ (370,779)</u>	<u>\$ (8,207,567)</u>
ENDING FUND BALANCE	<u>\$ 80,306,786</u>	<u>\$ 75,036,734</u>	<u>\$ 54,921,706</u>	<u>\$ 55,292,485</u>
AVAILABLE RESERVES ²	<u>\$ 76,019,754</u>	<u>\$ 68,785,526</u>	<u>\$ 52,139,712</u>	<u>\$ 51,798,197</u>
AVAILABLE RESERVES AS A PERCENTAGE OF TOTAL OUTGO	<u>21.5%</u>	<u>20.8%</u>	<u>17.9%</u>	<u>19.4%</u>
LONG-TERM OBLIGATIONS	<u>Not Available</u>	<u>\$ 99,213,893</u>	<u>\$ 85,332,577</u>	<u>\$ 82,674,080</u>
AVERAGE DAILY ATTENDANCE AT P-2	<u>28,863</u>	<u>28,753</u>	<u>28,574</u>	<u>28,131</u>

The General Fund balance has increased by \$19,744,249 over the past two years. The fiscal year 2016-2017 budget projects an increase of \$5,270,052 (7.02 percent). For a district this size, the State recommends available reserves of at least three percent of total General Fund expenditures, transfers out, and other uses (total outgo).

The District has incurred operating deficits in two of the past three years but anticipates incurring an operating surplus during the 2016-2017 fiscal year. Total long-term obligations have increased by \$16,539,813 over the past two years. The increase is primarily due to the issuance of general obligation bonds.

Average daily attendance has increased by 622 over the past two years. Additional growth of 110 ADA is anticipated during fiscal year 2016-2017.

¹ Budget 2017 is included for analytical purposes only and has not been subjected to audit.

² Available reserves consist of all unassigned fund balances including all amounts reserved for economic uncertainties contained with the General Fund.

³ On behalf payments have been excluded from this schedule for fiscal years 2015 and 2014.

⁴ General Fund amounts do not include activity related to the consolidation of the Pupil Transportation Fund and the Special Reserve Postemployment Benefits Fund as required by GASB Statement No. 54.

See accompanying note to supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT

PROPOSITION 10 GRANTS SCHEDULE OF REVENUES AND EXPENDITURES FOR THE YEAR ENDED JUNE 30, 2016

Revenues:

State grant funds		\$ 348,656
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Expenditures:

Certificated salaries	\$ 82,725	
Classified salaries	82,448	
Employee benefits	92,139	
Books and supplies	51,645	
Services and other operating expenses	26,838	
Other outgo	12,861	
Total Expenditures		348,656
Excess of revenues over expenditures		\$ -

See accompanying note to supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT**NON-MAJOR GOVERNMENTAL FUNDS
COMBINING BALANCE SHEET
JUNE 30, 2016**

	Child Development Fund	Deferred Maintenance Fund	Building Fund
ASSETS			
Deposits and investments	\$ 337,719	\$ -	\$ 12,106,273
Receivables	227,972	-	36,620
Due from other funds	60	-	-
Total Assets	\$ 565,751	\$ -	\$ 12,142,893
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 62,912	\$ -	\$ 1,755,452
Due to other funds	141,305	-	-
Unearned revenue	59,612	-	-
Total Liabilities	263,829	-	1,755,452
Fund Balances:			
Restricted	301,922	-	10,387,441
Committed	-	-	-
Assigned	-	-	-
Total Fund Balances	301,922	-	10,387,441
Total Liabilities and Fund Balances	\$ 565,751	\$ -	\$ 12,142,893

See accompanying note to supplementary information.

Capital Facilities Fund	County School Facilities Fund	Special Reserve Capital Outlay Fund	Bond Interest and Redemption Fund	Total Non-Major Governmental Funds
\$ 3,951,448	\$ 6,746,212	\$ 5,077,012	\$ 4,485,820	\$ 32,704,484
109,510	15,392	10,631	-	400,125
-	1,699	-	-	1,759
<u>\$ 4,060,958</u>	<u>\$ 6,763,303</u>	<u>\$ 5,087,643</u>	<u>\$ 4,485,820</u>	<u>\$ 33,106,368</u>
\$ 23,288	\$ 826,377	\$ -	\$ -	\$ 2,668,029
31,729	2,015	79	-	175,128
-	-	-	-	59,612
<u>55,017</u>	<u>828,392</u>	<u>79</u>	<u>-</u>	<u>2,902,769</u>
4,005,941	5,853,207	-	4,485,820	25,034,331
-	81,704	-	-	81,704
-	-	5,087,564	-	5,087,564
<u>4,005,941</u>	<u>5,934,911</u>	<u>5,087,564</u>	<u>4,485,820</u>	<u>30,203,599</u>
<u>\$ 4,060,958</u>	<u>\$ 6,763,303</u>	<u>\$ 5,087,643</u>	<u>\$ 4,485,820</u>	<u>\$ 33,106,368</u>

BAKERSFIELD CITY SCHOOL DISTRICT

NON-MAJOR GOVERNMENTAL FUNDS COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES FOR THE YEAR ENDED JUNE 30, 2016

	Child Development Fund	Deferred Maintenance Fund	Building Fund
REVENUES			
Federal sources	\$ 162,016	\$ -	\$ -
Other State sources	2,220,579	-	-
Other local sources	224,854	531	92,383
Total Revenues	2,607,449	531	92,383
EXPENDITURES			
Current			
Instruction	1,941,135	-	-
Instruction-related activities:			
Supervision of instruction	189,243	-	-
School site administration	58,405	-	-
Administration:			
All other administration	90,884	-	-
Plant services	-	28,702	199,517
Facility acquisition and construction	-	67,956	2,414,196
Enterprise services	280,515	-	-
Debt service			
Principal	-	-	-
Interest and other	-	-	362,498
Total Expenditures	2,560,182	96,658	2,976,211
Excess (Deficiency) of Revenues Over Expenditures	47,267	(96,127)	(2,883,828)
Expenditures Other Financing Sources (Uses)			
Transfers in	-	-	-
Other sources	-	-	12,770,000
Net Financing Sources (Uses)	-	-	12,770,000
NET CHANGE IN FUND BALANCES	47,267	(96,127)	9,886,172
Fund Balance - Beginning	254,655	96,127	501,269
Fund Balance - Ending	\$ 301,922	\$ -	\$ 10,387,441

See accompanying note to supplementary information.

Capital Facilities Fund	County School Facilities Fund	Special Reserve Capital Outlay Fund	Bond Interest and Redemption Fund	Total Non-Major Governmental Funds
\$ -	\$ -	\$ -	\$ -	\$ 162,016
-	-	-	49,626	2,270,205
1,161,769	62,061	25,622	3,451,186	5,018,406
<u>1,161,769</u>	<u>62,061</u>	<u>25,622</u>	<u>3,500,812</u>	<u>7,450,627</u>
-	-	-	-	1,941,135
-	-	-	-	189,243
-	-	-	-	58,405
24,449	-	-	-	115,333
-	-	527,585	-	755,804
52,982	4,678,770	34,966	-	7,248,870
-	-	-	-	280,515
-	-	-	1,695,000	1,695,000
-	-	-	3,654,282	4,016,780
<u>77,431</u>	<u>4,678,770</u>	<u>562,551</u>	<u>5,349,282</u>	<u>16,301,085</u>
<u>1,084,338</u>	<u>(4,616,709)</u>	<u>(536,929)</u>	<u>(1,848,470)</u>	<u>(8,850,458)</u>
-	-	4,000,000	-	4,000,000
-	-	-	3,132,798	15,902,798
-	-	4,000,000	3,132,798	19,902,798
1,084,338	(4,616,709)	3,463,071	1,284,328	11,052,340
2,921,603	10,551,620	1,624,493	3,201,492	19,151,259
<u>\$ 4,005,941</u>	<u>\$ 5,934,911</u>	<u>\$ 5,087,564</u>	<u>\$ 4,485,820</u>	<u>\$ 30,203,599</u>

BAKERSFIELD CITY SCHOOL DISTRICT

AGENCY FUNDS COMBINING BALANCE SHEET JUNE 30, 2016

ASSETS

Cash	\$ 113,063
Total Assets	<u>\$ 113,063</u>

LIABILITIES

Due to student groups	
Chipman Jr. High	\$ 24,455
College Heights	6,396
Compton Jr. High	1,458
Curran	12,318
Emerson Middle	6,435
Eissler	2,403
Garza	2,784
Harding	1,199
Stella Hills Middle	5
McKinley	301
Munsey	885
Nichols	6,747
Pauly	4,633
Sequoia Middle	10,279
Stiern Middle	266
Thorner	1,671
Washington Middle	30,828
Total Liabilities	<u>\$ 113,063</u>

See accompanying note to supplementary information.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTE TO SUPPLEMENTARY INFORMATION JUNE 30, 2016

NOTE 1 - PURPOSE OF SCHEDULES

Schedule of Expenditures of Federal Awards

The accompanying Schedule of Expenditures of Federal Awards includes the Federal grant activity of the District and is presented on the modified accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the financial statements. The District has not elected to use the ten percent de minimis cost rate as covered in Section 200.414 Indirect (F&A) costs of the Uniform Guidance.

The following schedule provides reconciliation between revenues reported on the Statement of Revenues, Expenditures, and Changes in Fund Balance, and the related expenditures reported on the Schedule of Expenditures of Federal Awards. The reconciling amounts consist of the fair value of commodities received by the District that are not recorded in the District's financial statements and the carryover expenditures of Medicaid Programs.

	CFDA Number	Amount
Total Federal Revenues From the Statement of Revenues, Expenditures, and Changes in Fund Balances:		\$ 45,055,430
Reconciling items:		
Food Distribution	10.555	1,485,611
Medi-Cal Billing Option	93.778	235,194
Medi-Cal Administrative Assistance	93.778	268,255
Total Schedule of Expenditures of Federal Awards		<u>\$ 47,044,490</u>

Local Education Agency Organization Structure

This schedule provides information about the District's boundaries and schools operated, members of the governing board, and members of the administration.

Schedule of Average Daily Attendance (ADA)

Average daily attendance (ADA) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

Schedule of Instructional Time

The District has received incentive funding for increasing instructional time as provided by the Incentives for Longer Instructional Day. The District neither met nor exceeded its target funding. This schedule presents information on the amount of instructional time offered by the District and whether the District complied with the provisions of *Education Code* Sections 46200 through 46206.

BAKERSFIELD CITY SCHOOL DISTRICT

NOTE TO SUPPLEMENTARY INFORMATION JUNE 30, 2016

Districts must maintain their instructional minutes at the 1986-1987 requirements as required by *Education Code* Section 46201.

Reconciliation of Annual Financial and Budget Report With Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Unaudited Actual Financial Report to the audited financial statements.

Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

Proposition 10 Grants

This schedule discloses the District's revenues and expenditures that occurred during the fiscal year to support the School Readiness Initiative program (SRI). The program is funded from the Tobacco tax money referred to as Proposition 10 money. The program's objectives are to provide early care and educational services with Kindergarten transition programs, provide parenting and family support services, provide health and social services, and to assist in the school's capacity to prepare children and families for school success.

Non-Major Governmental Funds - Balance Sheet and Statement of Revenues, Expenditures and Changes in Fund Balances

The Non-Major Governmental Funds Combining Balance Sheet and Combining Statement of Revenues, Expenditures and Changes in Fund Balances is included to provide information regarding the individual funds that have been included in the Non-Major Governmental Funds column on the Governmental Funds Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances.

Agency Funds - Combining Balance Sheet

For each school site with an Associated Student Body (ASB), this schedule discloses the school site's individual ASB account balance. The total reported reconciles to the amount reported on the Fiduciary Funds - Statement of Net Position.

INDEPENDENT AUDITOR'S REPORTS



**INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER
FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS
BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN
ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS***

Governing Board
Bakersfield City School District
Bakersfield, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Bakersfield City School District (the District) as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise Bakersfield City School District's basic financial statements, and have issued our report thereon dated November 30, 2016.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Bakersfield City School District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Bakersfield City School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Bakersfield City School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. *A material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. *A significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Bakersfield City School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

We noted certain matters that we reported to management of Bakersfield City School District in a separate letter dated November 30, 2016.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Vannink, Trine, Day & Co, LLP

Fresno, California
November 30, 2016



**INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR
EACH MAJOR PROGRAM AND ON INTERNAL CONTROL
OVER COMPLIANCE REQUIRED BY THE UNIFORM GUIDANCE**

Governing Board
Bakersfield City School District
Bakersfield, California

Report on Compliance for Each Major Federal Program

We have audited Bakersfield City School District's compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of Bakersfield City School District's (the District) major Federal programs for the year ended June 30, 2016. Bakersfield City School District's major Federal programs are identified in the Summary of Auditor's Results section of the accompanying Schedule of Findings and Questioned Costs.

Management's Responsibility

Management is responsible for compliance with the federal statutes, regulations, and the terms and conditions of its Federal awards applicable to its Federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Bakersfield City School District's major Federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major Federal program occurred. An audit includes examining, on a test basis, evidence about Bakersfield City School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major Federal program. However, our audit does not provide a legal determination of Bakersfield City School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Bakersfield City School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major Federal programs for the year ended June 30, 2016.

Report on Internal Control Over Compliance

Management of Bakersfield City School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Bakersfield City School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major Federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major Federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Bakersfield City School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a Federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a Federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a Federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Vannink, Trine, Day & Co, LLP

Fresno, California
November 30, 2016



INDEPENDENT AUDITOR'S REPORT ON STATE COMPLIANCE

Governing Board
Bakersfield City School District
Bakersfield, California

Report on State Compliance

We have audited Bakersfield City School District's compliance with the types of compliance requirements as identified in the *2015-2016 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* that could have a direct and material effect on each of the Bakersfield City School District's State government programs as noted below for the year ended June 30, 2016.

Management's Responsibility

Management is responsible for compliance with the requirements of State laws, regulations, and the terms and conditions of its State awards applicable to its State programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance of each of the Bakersfield City School District's State programs based on our audit of the types of compliance requirements referred to above. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *2015-2016 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. These standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the compliance requirements referred to above that could have a material effect on the applicable government programs noted below. An audit includes examining, on a test basis, evidence about Bakersfield City School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion. Our audit does not provide a legal determination of Bakersfield City School District's compliance with those requirements.

Unmodified Opinion

In our opinion, Bakersfield City School District complied, in all material respects, with the compliance requirements referred to above that are applicable to the government programs noted below that were audited for the year ended June 30, 2016.

In connection with the audit referred to above, we selected and tested transactions and records to determine the Bakersfield City School District's compliance with the State laws and regulations applicable to the following items:

	Procedures Performed
LOCAL EDUCATION AGENCIES OTHER THAN CHARTER SCHOOLS	
Attendance	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	Yes
Independent Study	No (see below)
Continuation Education	No (see below)
Instructional Time	Yes
Instructional Materials	Yes
Ratios of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	No (see below)
Gann Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	No (see below)
Middle or Early College High Schools	No (see below)
K-3 Grade Span Adjustment	Yes
Transportation Maintenance of Effort	Yes
SCHOOL DISTRICTS, COUNTY OFFICES OF EDUCATION, AND CHARTER SCHOOLS	
Educator Effectiveness	Yes
California Clean Energy Jobs Act	Yes
After School Education and Safety Program:	
General Requirements	Yes
After School	Yes
Before School	No (see below)
Proper Expenditure of Education Protection Account Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control Accountability Plan	Yes
Independent Study - Course Based	No (see below)
Immunizations	No (see below)
CHARTER SCHOOLS	
Attendance	No (see below)
Mode of Instruction	No (see below)
Non Classroom-Based Instruction/Independent Study for Charter Schools	No (see below)
Determination of Funding for Non Classroom-Based Instruction	No (see below)
Annual Instruction Minutes Classroom-Based	No (see below)
Charter School Facility Grant Program	No (see below)

We did not perform procedures for Independent Study because the independent study ADA was under the level that requires testing.

We did not perform Continuation Education procedures because the program is not offered by the District.

The District did not offer CalSTRS Early Retirement Incentive program; therefore, testing was not required.

The District does not have any Juvenile Court Schools; therefore, we did not perform procedures related to Juvenile Court Schools.

The District does not have any Middle or Early College High Schools; therefore, we did not perform procedures related to Middle or Early College High Schools.

The District does not offer a Before School Education and Safety Program; therefore, we did not perform procedures related to the Before School Education and Safety Program.

The District does not offer Independent Study - Course Based program; therefore, we did not perform any procedures related to Independent Study - Course Based Program.

The District did not have any schools listed on the immunization assessment reports; therefore, we did not perform any related procedures.

Additionally, the District does not operate any Charter Schools; therefore, we did not perform procedures for Charter School Programs.

Vannink, Trine, Day & Co, LLP

Fresno, California
November 30, 2016

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

BAKERSFIELD CITY SCHOOL DISTRICT

SUMMARY OF AUDITOR'S RESULTS FOR THE YEAR ENDED JUNE 30, 2016

FINANCIAL STATEMENTS

Type of auditor's report issued:	<u>Unmodified</u>
Internal control over financial reporting:	
Material weakness identified?	<u>No</u>
Significant deficiency identified?	<u>None reported</u>
Noncompliance material to financial statements noted?	<u>No</u>

FEDERAL AWARDS

Internal control over major Federal programs:	
Material weakness identified?	<u>No</u>
Significant deficiency identified?	<u>None reported</u>
Type of auditor's report issued on compliance for major Federal programs:	<u>Unmodified</u>
Any audit findings disclosed that are required to be reported in accordance with Section 200.516(a) of the Uniform Guidance?	<u>No</u>
Identification of major Federal programs:	

<u>CFDA Numbers</u>	<u>Name of Federal Program or Cluster</u>
<u>10.553, 10.555, 10.559</u>	<u>Child Nutrition Cluster</u>

Dollar threshold used to distinguish between Type A and Type B programs:	<u>\$ 1,411,335</u>
Auditee qualified as low-risk auditee?	<u>Yes</u>

STATE AWARDS

Type of auditor's report issued on compliance for programs:	<u>Unmodified</u>
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BAKERSFIELD CITY SCHOOL DISTRICT

**FINANCIAL STATEMENT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2016**

None reported.

BAKERSFIELD CITY SCHOOL DISTRICT

**FEDERAL AWARDS FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2016**

None reported.

BAKERSFIELD CITY SCHOOL DISTRICT

**STATE AWARDS FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2016**

None reported.

BAKERSFIELD CITY SCHOOL DISTRICT

**SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2016**

There were no audit findings reported in the prior year's schedule of financial statement findings.

APPENDIX D

FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (this “Disclosure Certificate”) is executed and delivered by the Bakersfield City School District (the “District”) in connection with the execution and delivery of \$22,000,000 aggregate principal amount of General Obligation Bonds, Election of 2016, 2017 Series A (the “Bonds”). The Bonds are being issued pursuant to Resolution adopted by the Board of Education of the District on March 2, 2017 (the “Resolution”). Capitalized terms used but not defined herein shall have the meanings ascribed thereto in the Resolution.

In consideration of the execution and delivery of the Bonds by the District and the purchase of such Bonds by the Original Purchaser described below, the District hereby covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Bondholders and in order to assist J.P. Morgan Securities LLC (the “Original Purchaser”) in complying with Rule 15c2-12(b)(5) (the “Rule”) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as amended.

SECTION 2. Additional Definitions. In addition to the above definitions and the definitions set forth in the Resolution, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 4 and 5 of this Disclosure Certificate.

“Bondholder” or “Holder” means any holder of the Bonds or any beneficial owner of the Bonds so long as they are immobilized with DTC.

“Designated Material Event” means any of the events listed in Section 6(a) of this Disclosure Certificate.

“Dissemination Agent” shall mean the District, or any Dissemination Agent, or any alternate or successor Dissemination Agent, designated in writing by the Superintendent (or otherwise by the District), which Dissemination Agent has evidenced its acceptance in writing.

“EMMA System” shall mean the MSRB’s Electronic Municipal Market Access system, which can be found at www.emma.msrb.org, or any other repository of disclosure information that may be designated by the Securities and Exchange Commission in the future.

“Material Event” means any of the events listed in Section 6(b) of this Disclosure Certificate.

“Material Events Disclosure” means dissemination of a notice of a Designated Material Event or Material Event as set forth in Section 6.

“MSRB” shall mean the Municipal Securities Rulemaking Board.

“State” shall mean the State of California.

SECTION 3. CUSIP® Numbers and Final Official Statement. The CUSIP Numbers for the Bonds have been assigned. The Final Official Statement relating to the Bonds is dated March 15, 2017.

SECTION 4. Provision of Annual Reports.

(a) The District shall cause the Dissemination Agent, not later than 240 days after the end of the District's fiscal year (currently ending June 30), commencing with the report for the Fiscal Year ending June 30, 2017, to provide to the MSRB through the EMMA System an Annual Report which is consistent with the requirements of Section 5 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 5 of this Disclosure Certificate; provided that the audited financial statements of the District may be submitted, when and if available, separately from the balance of the relevant Annual Report.

(b) If the District is unable to provide to the MSRB through the EMMA System an Annual Report by the date required in paragraph (a) above, the District shall send a notice to the MSRB through the EMMA System in substantially the form attached as Exhibit A.

(c) The Dissemination Agent shall:

(i) determine each year prior to the Annual Report Date the electronic filing requirements of the MSRB for the Annual Reports; and

(ii) if the Dissemination Agent is other than the District or an official of the District, the Dissemination Agent shall file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, stating the date it was provided and confirming that it has been filed with the MSRB through the EMMA System.

SECTION 5. Content of Annual Report. The District's Annual Report shall contain or incorporate by reference the following:

(a) Financial information including the general purpose financial statements of the District for the preceding fiscal year, prepared in conformity with generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board and the American Institute of Certified Public Accountants. If audited financial information is not available by the time the Annual Report is required to be filed pursuant to Section 4(a) hereof, the financial information included in the Annual Report may be unaudited, and the District will provide audited financial information to the EMMA System as soon as practical after it has been made available to the District.

(b) Operating data, including the following information with respect to the District's preceding fiscal year (to the extent not included in the audited financial statements described in paragraph (a) above):

(i) Outstanding indebtedness and lease obligations, as of the preceding fiscal year;

(ii) General fund budget and actual results, as of the preceding fiscal year;

(iii) Average daily attendance and State funding information, or equivalent information, as may be reasonably available, as of the preceding fiscal year;

(iv) Assessed valuations, as of the most recent equalized assessed roll; and

(v) Largest local secured taxpayers, as of the most recent equalized assessed roll.

(c) Any or all of the items listed above may be incorporated by reference from other documents, including official statements of debt issues of the District or related public entities, which have been submitted to the EMMA System or to the Securities and Exchange Commission. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The District shall clearly identify each other document so incorporated by reference.

SECTION 6. Reporting of Designated Material Events and Material Events.

(a) The District agrees to provide or cause to be provided to the MSRB notice of the occurrence of any of the following Designated Material Events with respect to the Bonds not later than ten (10) Business Days after the occurrence of the event:

- (i) Principal and interest payment delinquencies;
- (ii) Unscheduled draws on any debt service reserves reflecting financial difficulties;
- (iii) Unscheduled draws on any credit enhancements reflecting financial difficulties;
- (iv) Substitution of or failure to perform by any credit provider;
- (v) Issuance by the Internal Revenue Service of an adverse tax opinion, a proposed or final determination of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB);
- (vi) Tender offers;
- (vii) Defeasances
- (viii) Ratings; and
- (ix) Bankruptcy, insolvency, receivership or similar event of the obligated person.

For purposes of item (ix) above, the described event shall be deemed to occur when any of the following shall occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the United States Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or other governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority have supervision or jurisdiction over substantially all of the assets or business of the District.

(b) The District shall give, or cause to be given, notice of the occurrence of any of the following Material Events with respect to the Bonds, if material, not later than ten (10) Business Days after the occurrence of the event:

(i) Unless described in paragraph 6(a)(v) hereof, other material events affecting the tax status of the Bonds;

(ii) Modifications of rights to Bondholders;

(iii) Optional, unscheduled or contingent Bond calls;

(iv) Release, substitution or sale of property securing repayment of the Bonds;

(v) Non-payment related defaults;

(vi) The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms; or

(vii) Appointment of a successor or additional Paying Agent or the change of name of a Paying Agent.

(c) The District shall give, or cause to be given, in a timely manner, notice of a failure to provide the annual financial information on or before the date specified in Section 4 hereof, as provided in Section 4(b) hereof.

(d) Upon the occurrence of a Designated Material Event described in Section 6(a) hereof, or if the District determines that knowledge of a Material Event described in Section 6(b) hereof would be material under applicable federal securities laws, the District shall within ten (10) Business Days of occurrence of the Designated Material Event or Material Event file a notice of such occurrence with the MSRB in electronic format, accompanied by such identifying information as is prescribed by the MSRB. Notwithstanding the foregoing, notice of a Designated Material Event described in subsection (a)(vii) or a Material Event described in subsection (b)(iii) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected Bonds pursuant to the Resolution.

SECTION 7. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate when the District is no longer an obligated person with respect to the Bonds, as provided in the Rule, upon the defeasance, prior redemption or payment in full of all of the Bonds.

SECTION 8. Dissemination Agent. The District may, from time to time, appoint or engage an alternate or successor Dissemination Agent to assist in carrying out the District's obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent.

The Dissemination Agent shall be entitled to the protections, limitations from liability, immunities and indemnities provided to the Paying Agent as set forth in the Resolution which is incorporated by reference herein. The Dissemination Agent agrees to perform only those duties of the

Dissemination Agent specifically set forth in the Agreement, and no implied duties, covenants or obligations shall be read into this Agreement against the Dissemination Agent.

The Dissemination Agent shall have no duty or obligation to review the Annual Report nor shall the Dissemination Agent be responsible for filing any Annual Report not provided to it by the District in a timely manner in a form suitable for filing. In accepting the appointment under this Agreement, the Dissemination Agent is not acting in a fiduciary capacity to the registered holders or beneficial owners of the Bonds, the District, or any other party or person.

The Dissemination Agent may consult with counsel of its choice and shall be protected in any action taken or not taken by it in accordance with the advice or opinion of such counsel. No provision of this Agreement shall require the Dissemination Agent to risk or advance or expend its own funds or incur any financial liability. The Dissemination Agent shall have the right to resign from its duties as Dissemination Agent under this Agreement upon thirty days' written notice to the District. The Dissemination Agent shall be entitled to compensation for its services as Dissemination Agent and reimbursement for its out-of-pocket expenses, attorney's fees, costs and advances made or incurred in the performance of its duties under this Agreement in accordance with its written fee schedule provided to the District, as such fee schedule may be amended from time to time in writing. The District agrees to indemnify and hold the Dissemination Agent harmless from and against any cost, claim, expense, or liability related to or arising from the acceptance of and performance of the duties of the Dissemination Agent hereunder, provided the Dissemination Agent shall not be indemnified to the extent of its willful misconduct or negligence. The obligations of the District under this Section shall survive the termination or discharge of this Disclosure Certificate and the Bonds.

SECTION 9. Amendment. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate under the following conditions, provided no amendment to this Disclosure Certificate shall be made that affects the rights, duties or obligations of the Dissemination Agent without its written consent:

(a) The amendment may be made only in connection with a change in circumstances that arises from a change in legal requirements, change in law or change in the identity, nature or status of the obligated person, or type of business conducted;

(b) This Disclosure Certificate, as amended, would have complied with the requirements of the Rule at the time of the primary offering of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment does not materially impair the interests of Holders, as determined either by parties unaffiliated with the District or another obligated person (such as Bond Counsel) or by the written approval of the Bondholders; provided, that the Annual Report containing the amended operating data or financial information shall explain, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided.

SECTION 10. Additional Information. If the District chooses to include any information from any document or notice of occurrence of a Designated Material Event or a Material Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Disclosure Certificate to update such information or to include it in any future disclosure or notice of occurrence of a Designated Material Event or Material Event.

Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Designated Material Event or Material Event, in addition to that which is required by this Disclosure Certificate.

SECTION 11. Default. The District shall give notice to the MSRB through the EMMA System of any failure to provide the Annual Report when the same is due hereunder, which notice shall be given prior to July 1 of that year. In the event of a failure of the District to comply with any provision of this Disclosure Certificate, any Bondholder may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default under the Resolution, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Original Purchaser and Holders from time to time of the Bonds, and shall create no rights in any other person or entity.

SECTION 13. Governing Law. This Disclosure Certificate shall be governed by the laws of the State, applicable to contracts made and performed in such State.

Dated: _____, 2017

BAKERSFIELD CITY SCHOOL DISTRICT

By: _____
Assistant Superintendent, Business Services

EXHIBIT A

**NOTICE TO MUNICIPAL SECURITIES RULEMAKING BOARD
OF FAILURE TO FILE ANNUAL REPORT**

Name of Issuer: BAKERSFIELD CITY SCHOOL DISTRICT

Name of Issue: \$_____ General Obligation Bonds, Election of 2016, 2017 Series A

Date of Issuance: _____, 2017

NOTICE IS HEREBY GIVEN that the above-named Issuer has not provided an Annual Report with respect to the above-captioned Bonds as required by Section 4(a) of the Continuing Disclosure Certificate dated _____, 2017. The Issuer anticipates that the Annual Report will be filed by _____.

Dated: _____

BAKERSFIELD CITY SCHOOL DISTRICT

By: _____

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APPENDIX E

BOOK-ENTRY-ONLY SYSTEM

The information in this Appendix concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy or completeness thereof. The District cannot and does not give any assurances that DTC, DTC Direct Participants or Indirect Participants will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, as to the Bonds, (b) Bonds representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis or that DTC, DTC Direct Participants or DTC Indirect Participants will act in the manner described in this Official Statement. The current "Rules" applicable to DTC are on file with the Securities and Exchange Commission and the current "Procedures" of DTC to be followed in dealing with DTC Direct Participants are on file with DTC.

General

The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. Such information is not incorporated herein by reference.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their

purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District (or the Paying Agent on behalf thereof) as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Principal, premium, if any, interest payments and redemption proceeds on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal, premium, if any, interest payments and redemption proceeds to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A Beneficial Owner shall give notice to elect to have its Bonds purchased or tendered, through its Participant, to the Paying Agent, and shall effect delivery of such Bonds by causing the Direct Participant to transfer the Participant's interest in the Bonds, on DTC's records, to the Paying Agent. The requirement for physical delivery of Bonds in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Bonds are transferred by Direct Participants on

DTC's records and followed by a book-entry credit of tendered Bonds to the Paying Agent's DTC account.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District or the Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered.

The information in this Appendix concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

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APPENDIX F

SPECIMEN MUNICIPAL BOND INSURANCE POLICY



MUNICIPAL BOND INSURANCE POLICY

ISSUER: [NAME OF ISSUER]

Policy No: _____

MEMBER: [NAME OF MEMBER]

BONDS: \$ _____ in aggregate principal
amount of [NAME OF TRANSACTION]
[and maturing on]

Effective Date: _____

Risk Premium: \$ _____

Member Surplus Contribution: \$ _____

Total Insurance Payment: \$ _____

BUILD AMERICA MUTUAL ASSURANCE COMPANY ("BAM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") for the Bonds named above (as set forth in the documentation providing for the issuance and securing of the Bonds), for the benefit of the Owners or, at the election of BAM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the first Business Day following the Business Day on which BAM shall have received Notice of Nonpayment, BAM will disburse (but without duplication in the case of duplicate claims for the same Nonpayment) to or for the benefit of each Owner of the Bonds, the face amount of principal of and interest on the Bonds that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by BAM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of such principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in BAM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by BAM is incomplete, it shall be deemed not to have been received by BAM for purposes of the preceding sentence, and BAM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, any of whom may submit an amended Notice of Nonpayment. Upon disbursement under this Policy in respect of a Bond and to the extent of such payment, BAM shall become the owner of such Bond, any appurtenant coupon to such Bond and right to receipt of payment of principal of or interest on such Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under such Bond. Payment by BAM either to the Trustee or Paying Agent for the benefit of the Owners, or directly to the Owners, on account of any Nonpayment shall discharge the obligation of BAM under this Policy with respect to said Nonpayment.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent (as defined herein) are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity (unless BAM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration) and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment made to an Owner by or on behalf of the Issuer of principal or interest that is Due for Payment, which payment has been recovered from such Owner pursuant to the United States Bankruptcy Code in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means delivery to BAM of a notice of claim and certificate, by certified mail, email or telecopy as set forth on the attached Schedule or other acceptable electronic delivery, in a form satisfactory to BAM, from and signed by an Owner, the Trustee or the Paying Agent, which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount, (d) payment instructions and (e) the date such claimed amount becomes or became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer, the Member or any other person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

BAM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee, the Paying Agent, the Member and the Issuer specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee, the Paying Agent, the Member or the Issuer (a) copies of all notices required to be delivered to BAM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to BAM and shall not be deemed received until received by both and (b) all payments required to be made by BAM under this Policy may be made directly by BAM or by the Insurer's Fiscal Agent on behalf of BAM. The Insurer's Fiscal Agent is the agent of BAM only, and the Insurer's Fiscal Agent shall in no event be liable to the Trustee, Paying Agent or any Owner for any act of the Insurer's Fiscal Agent or any failure of BAM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, BAM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to BAM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy. This Policy may not be canceled or revoked.

This Policy sets forth in full the undertaking of BAM and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW. THIS POLICY IS ISSUED WITHOUT CONTINGENT MUTUAL LIABILITY FOR ASSESSMENT.

In witness whereof, BUILD AMERICA MUTUAL ASSURANCE COMPANY has caused this Policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By: _____
Authorized Officer

Notices (Unless Otherwise Specified by BAM)

Email:
claims@buildamerica.com
Address:
200 Liberty Street, 27th floor
New York, New York 10281
Telecopy:
212-962-1524 (attention: Claims)

SPECIMEN



CALIFORNIA

ENDORSEMENT TO

**MUNICIPAL BOND
INSURANCE POLICY**

NO.

This Policy is not covered by the California Insurance Guaranty Association established pursuant to Article 15.2 of Chapter 1 of Part 2 of Division 1 of the California Law.

Nothing herein shall be construed to waive, alter, reduce or amend coverage in any other section of the Policy. If found contrary to the Policy language, the terms of this Endorsement supersede the Policy language.

IN WITNESS WHEREOF, BUILDAMERICA MUTUAL ASSURANCE COMPANY has caused this policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By

Authorized Officer